

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board of Directors (“Board”) of Hong Seng Consolidated Berhad (“Hong Seng” or the “Company”) believes that the practice of good corporate governance is important to ensure long-term sustainability and business prosperity and to preserve shareholders’ trust. The Board is fully committed to maintaining high standards of corporate governance practices set out in the Malaysian Code on Corporate Governance (“MCCG”) throughout Hong Seng and its subsidiaries (“Group”) to safeguard the interests of its shareholders and stakeholders.

This Corporate Governance Overview Statement (“Statement”) is augmented with a Corporate Governance Report (“CG Report”) based on a prescribed format as enumerated in Paragraph 15.25 of the Main Market Listing Requirements (“Listing Requirements”) of Bursa Malaysia Securities Berhad (“Bursa Securities”) so as to provide a detailed articulation on the application of the Group’s corporate governance practices as set out in the MCCG throughout the financial period ended 31 March 2024 (“FPE 2024”).

This Statement should also be read together with the CG Report for the FPE 2024 which is available on the Company’s website at <https://www.hongseng.com.my> as well as via an announcement on the website of Bursa Securities at www.bursamalaysia.com.

This Statement makes reference to the following three (3) principles of the MCCG:-

PRINCIPLE A	PRINCIPLE B	PRINCIPLE C
Board Leadership and Effectiveness	Effective Audit and Risk Management	Integrity in Corporate Reporting and Meaningful Relationship with Stakeholders

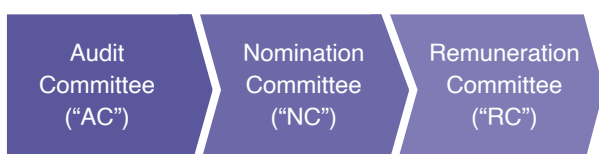
PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS

PART I – BOARD RESPONSIBILITIES

1.1 Board and Board Committees

The Board is primarily responsible for determining the Company’s strategic objectives and policies and monitoring the progress toward achieving the objectives and policies. In this regard, the Board is guided by the principles and practices set out in the approved Board Charter to ensure that all Board members, acting collectively and individually on behalf of the Company, are aware of the specific functions of the Board, their duties and responsibilities and that the principles and practices of good corporate governance are applied in all their dealings in respect of, and on behalf of the Company.

To ensure the effectiveness in discharging its duties and responsibilities, the Board has delegated certain responsibilities to the following committees appointed by the Board:-



Each Board Committee operates its functions in accordance with clearly defined Terms of Reference (“TOR”) adopted by the Board. These Committees are authorised by the Board to deal with and to deliberate on matters delegated to them within their respective TOR and report to the Board on their proceedings and deliberation together with its recommendations to the Board for approval. The Board Committees’ TOR can be accessed via the Company’s website, <https://www.hongseng.com.my>.

1.2 Chairman of the Board

The Board is led and managed by an effective and experienced Board. The Board acknowledges its key responsibilities in directing the strategic plans, monitoring its performance targets, and developing the long-term goals of businesses of the Group.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART I – BOARD RESPONSIBILITIES (CONT'D)

1.2 Chairman of the Board (Cont'd)

After Dato' Mohamed Suffian Bin Awang resigned as Chairman of the Board on 28 April 2023, the position remains unfilled. The Company continues its search for a qualified candidate who embodies a balanced mix of skills, expertise, attributes, and core competencies. This selection process prioritizes factors such as character, gender diversity, experience, integrity, competence, and availability commitment.

The Board acknowledges that the Company Secretaries play an important role and will ensure that the Company Secretaries fulfil the functions for which they have been appointed.

During the FPE 2024, all Board and Board Committees meetings were properly convened, accurate and proper records of the proceedings and resolutions passed were taken and maintained in the statutory records of the Company.

1.3 Chairman and Executive Directors ("EDs")

The roles of the Chairman and EDs are distinctly separate, each with specific responsibilities aimed at ensuring effective leadership within both the Board and the Group. The Chairman of the Board oversees the leadership and efficient operation of the Board itself. Meanwhile, the EDs are responsible for managing the Group, including the overall business operations, day-to-day management of the Company, and the execution of the Board's policies and decisions.

The EDs also ensure that the Group's corporate identity, products and services are of high standard and reflect the market environment, and that business practices and activities are in compliance with regulatory requirements.

The roles and responsibilities of the EDs are detailed in the Board Charter which is available at the Company's website at <https://www.hongseng.com.my>.

Overall, the Board is satisfied with the performance and support rendered by the Company Secretaries and their team.

1.5 Meeting of Board and Board Committees

To facilitate the Directors' time planning, an annual meeting calendar is prepared in advance of each new year by the Company Secretaries. The meeting calendar provides the Directors with scheduled dates for meetings of the Board and Board Committees as well as the annual general meeting ("AGM"). The closed periods for dealings in securities by Directors and principal officers based on the scheduled dates of meetings for making announcements of the Company's quarterly results were also provided therein.

The Board meets at least once every quarter and additional meetings are convened as and when necessary. Notices of the Board and Board Committees meetings together with the meeting materials (including meeting minutes) are usually circulated to the Directors/ Board Committee Members at least seven (7) days before the meeting to enable the Directors to review and consider the agenda items to be discussed and where necessary, to obtain further explanations in order to be fully briefed before the meeting.

The Company Secretaries ensure that all Board and Board Committees' meetings are properly convened. Draft meeting minutes are circulated to the chairman of the meeting for review within a reasonable timeframe after the meetings. Meeting minutes record the proceedings of the meeting and resolutions passed by the Board/ Board Committees including the names of the Directors who abstained from voting or deliberation on a particular matter.

1.4 Qualified and Competent Company Secretaries

The Board is supported by two (2) Company Secretaries who are experienced and qualified to act as Company Secretaries under Section 235(2) of the Companies Act 2016 and are registered holders of the Practising Certificate issued by the Companies Commission of Malaysia. The Board appointed a new joint Secretary on 1 March 2024 for better management of the Company's secretarial and administrative duties. All Directors have access to the advice and services of the Companies Secretaries.

The Company Secretaries consistently participate in relevant training programs, conferences, or seminars organised by authorities and professional bodies. This ensures they stay updated on corporate governance developments and regulatory changes pertinent to their role, enabling them to provide valuable advisory services to the Board.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART I – BOARD RESPONSIBILITIES (CONT'D)

1.5 Meeting of Board and Board Committees (Cont'd)

All the records of proceedings and resolutions passed are kept at the registered office of the Company.

For matters which require the Board's decision on an urgent basis outside of Board Meetings, relevant supporting documents along with the Directors' Written Resolution will be circulated for the Board's consideration. All written resolutions approved by the Board will be tabled for notation at the next Board Meeting.

1.6 Board Charter

The Board has formalised and adopted a Board Charter which sets out the roles, duties and responsibilities as well as the composition and processes to enable all Board members, to be aware of their duties and responsibilities at all times. The Board Charter is available at the Company's website at <https://www.hongseng.com.my>.

The Board Charter would be reviewed periodically and updated in accordance with the needs of the Company and any new regulations that may have an impact on the discharge of the Board's responsibilities.

1.7 Code of Conduct and Ethics

The Board has also adopted a Code of Conduct and Ethics which provides guidance to stakeholders on the ethical behaviour to be expected from the Group and sets out the Board's responsibilities as well as the Management's responsibilities to communicate, measure and monitor its values and performance to achieve objectives and to instill values. The Code of Conduct and Ethics is available on the Company's website at <https://www.hongseng.com.my>.

1.8 Whistle Blowing Policy

A Whistle Blowing Policy and Procedures were adopted by the Board to provide a platform for employees, directors and others to report serious concerns about risks of wrongful activities or reports of wrongdoing or to raise any concern or suspicion without fear of victimization or recrimination. The implementation of the Whistle Blowing Policy is in line with the Companies Act 2016 and Section 17A of the Malaysian Anti-Corruption Commission Act ("the Acts"), where provisions have been made to protect the officers who make disclosures on breach or non-observance of any requirement or provision of the Acts or any serious offence involving fraud and dishonesty.

The Board will review and update the Whistle Blowing Policy at least once every three (3) years to ensure its effectiveness and consistency with the governing legislation and regulatory requirements.

The Whistle Blowing Policy and Procedures is available on the Company's website at <https://www.hongseng.com.my>.

1.9 Anti-Bribery and Corruption Policy

The Board had put in place an Anti-Bribery and Anti-Corruption Policy in line with the Malaysian Anti-Corruption Commission (Amendment) Act 2018 ("MACC Act 2018"). This policy aims to ensure that any business undertaken by the Group is free from acts of corruption and internal fraud and at the same time, to act in the best interests of the Company, its shareholders and stakeholders. The Anti-Bribery and Anti-Corruption Policy will be reviewed at least once in every three (3) years and in accordance with the needs of the Company.

The Anti-Bribery and Anti-Corruption Policy and Procedures are available on the Company's website at <https://www.hongseng.com.my>.

1.10 Directors' Fit and Proper Policy

In line with the new Paragraph 15.01A of the Listing Requirements, the Board had adopted the Directors' Fit and Proper Policy to ensure a transparent and rigorous process for the appointment and/or re-election of Directors and Key Senior Management of the Group. The Directors' Fit and Proper Policy shall be reviewed by the Board and be revised at any time as it may deem necessary to ensure that it remains consistent with the Board's objectives, current regulations and practices.

The Directors' Fit and Proper Policy is available on the Company's website at <https://www.hongseng.com.my>.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART I – BOARD RESPONSIBILITIES (CONT'D)

1.11 Sustainability Governance

The Board believes that sustainable business practices are essential to the creation of long-term value and that running the business in a responsible manner is intrinsically tied to achieving operational excellence.

In terms of structural oversight over sustainability including strategies, priorities and targets, it is reposed at the Board level with Management being responsible for operational execution with respect to Environmental, Social and Governance factors as part of the Group's corporate strategy.

As fiduciary to the Company's shareholders, the Board is focused on maintaining exemplary corporate governance practices, which include a commitment to ethics, integrity and corporate responsibility. The Board also ensures the Company's internal and external stakeholders are well informed on the sustainability strategies, priorities, targets as well as overall performance which the Sustainability Statement has provided a detailed articulation in this Annual Report.

The Board also incorporated the assessment of the Board's understanding of sustainability issues in the annual performance evaluation that are critical to the Company's performance.

PART II – BOARD COMPOSITION

2.1 Board Composition and Balance

The Board currently consists of seven (7) members and the composition of the current Board is set out in the table below:-

No.	Names	Designation
1.	Christopher Chan Hooi Guan	Executive Director
2.	Lester Chin Kent Lake	Executive Director
3.	Lee Li Chain	Executive Director
4.	Leong Seng Wui (Appointed on 8 April 2024)	Executive Director
5.	Yap Kien Ming	Independent Non-Executive Director
6.	Leong Kam Soon	Independent Non-Executive Director
7.	Dato' Kang Chez Chiang	Independent Non-Executive Director

Four (4) out of seven (7) Directors are Executive Directors, while the remaining three (3) Directors are Independent Non-Executive Directors. Furthermore, one (1) of the Executive Director is a female Director, namely Ms. Lee Li Chain representing 14.3% female representation at the Board level.

The Board members have diverse backgrounds and experiences in various fields. Collectively, they bring a wide range of skills, experience and knowledge to manage the Group's business. The profile of these Directors is provided in this Annual Report.

The current Board composition complies with Paragraph 15.02 of the Listing Requirements of Bursa Securities, which requires at least two (2) directors or one-third (1/3) of the Board, whichever is higher, to be Independent Directors.

The presence of Independent Directors ensures that views, consideration, judgment and discretion exercised by the Board in decision making remain objective and independent whilst assuring the interest of other parties such as minority shareholders are fully addressed and adequately protected as well as being accorded with due consideration.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II – BOARD COMPOSITION (CONT'D)

2.2 Tenure of Independent Non-Executive Directors

The Board acknowledges the recommendation by the MCGG that the tenure of an Independent Director should not exceed a cumulative term of nine (9) years. However, if the Board intends to retain Director who has served as an Independent Director of the Company for a cumulative term of more than nine (9) years, the Board must justify its decision and seek the shareholders' approval through a two-tier voting process at a general meeting. Furthermore, the Board recognises that as per the Listing Requirements of Bursa Securities, the tenure of an Independent Director should not exceed a cumulative term of twelve (12) years.

The Board has not adopted a policy that limits the tenure of its Independent Directors to nine (9) years, being a step-up practice. However, the assessment of the independence of Independent Directors will be conducted annually via the Annual Evaluation of Independence of Directors to ensure that they are independent of management and free from any business or other relationship which could materially interfere with the exercise of their independent judgement or the ability to act in the best interests of the Company.

During the FPE 2024, none of our Directors has served the Board as an Independent Director of the Company for a cumulative term of more than nine (9) years. Further, based on the independence assessment carried out during the financial period under review, the Board is satisfied with the level of independence demonstrated by all the Independent Non-Executive Directors and their abilities to act in the best interest of the Company.

2.3 Board Diversity and Senior Management Team

The Board is supportive of the diversity of the Board and Senior Management Team. The Group strictly adheres to the practice of non-discrimination of any form, whether based on race, age, religion and gender throughout the organisation, including the selection of Board members and Senior Management. The Board encourages a dynamic and diverse composition by nurturing suitable and potential candidates equipped with competency, skills, experience, character, time commitment, integrity and other qualities in meeting the future needs of the Group.

Where and when appropriate, the Board, through the NC, will prioritise the female representation when identifying suitable candidates. However, the selection of a new Board member will not be based solely on gender but will also consider the candidate's skill sets, experience, and knowledge. The Company's primary focus in new appointments is always to choose the most qualified candidates. Therefore, the usual selection criteria, emphasising a robust combination of competencies, skills, extensive experience, and knowledge to enhance the Board, remains paramount.

In view of the gained attention of boardroom diversity as an important element of a well-functioned organisation, the Gender Diversity Policy was adopted to provide a framework for the Company to improve its gender diversity at the Board and Senior Management level and the same is available on the Company's website at <https://www.hongseng.com.my>.

Currently, there is a female Director on the Board, namely, Ms. Lee Li Chain.

2.4 Board Committees

The Board Committees are set up to manage specific tasks for which the Board is responsible within a defined TOR. This ensures that the Board members can spend their time more efficiently while the Board Committees are entrusted with the authority to examine particular issues.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II – BOARD COMPOSITION (CONT'D)

2.4 Board Committees (Cont'd)

The Board has established three (3) Board Committees and the membership of each committee is set out in the table below:-

Composition	Designation	AC	NC	RC
Christopher Chan Hooi Guan	Executive Director	N/A	N/A	N/A
Lester Chin Kent Lake	Executive Director	N/A	N/A	N/A
Lee Li Chain	Executive Director	N/A	N/A	N/A
Leong Seng Wui	Executive Director	N/A	N/A	N/A
<i>(Appointed on 8 April 2024)</i>				
Yap Kien Ming	Independent Non-Executive Director	Member	Chairman	Chairman
Leong Kam Soon	Independent Non-Executive Director	Chairman	Member	Member
Dato' Kang Chez Chiang	Independent Non-Executive Director	Member	Member	N/A

The TOR of the respective Board Committees are published on the Company's website, <https://www.hongseng.com.my>.

2.5 NC

The NC of the Company comprises the following members, all of them being Independent Non-Executive Directors:-

• Mr. Yap Kien Ming	Chairman
• Mr. Leong Kam Soon	Member
• Dato' Kang Chez Chiang	Member

The NC oversees the overall composition of the Board in terms of size, a mix of skills, experience and core competencies, as well as the balance between Executive Directors and Independent Non-Executive Directors.

The members of the Board are to be appointed in a formal and transparent practice as endorsed by the MCCG. The NC will scrutinise the candidates and recommend the same for the Board's approval. In discharging this duty, the NC will assess the suitability of an individual by taking into account the individual's mix of skill, functional knowledge, expertise, experience, professionalism, integrity and/or other commitments that the candidate can bring to complement the Board.

The NC also assists the Board in its annual review of the required mix of skills and experience and other qualities including core competencies that Directors should bring to the Board and assess the effectiveness of the Board as a whole, as well as, look into succession planning, boardroom and gender diversity and training courses.

The NC undertook the following activities during the FPE 2024:-

- (a) Evaluated the balance of skills, knowledge and experience of the Board. Carries out the assessment and rating of each Director's performances against the criteria as set out in the annual assessment form. The performance of Non-Executive Directors was also carefully considered, including whether they could devote sufficient time to the role.
- (b) Reviewed and assessed the performance and effectiveness of the Board and Board Committees as a whole with the objective of assessing its effectiveness.
- (c) Reviewed and assessed the independence of the Independent Directors of the Company.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II – BOARD COMPOSITION (CONT'D)

2.5 NC (Cont'd)

The NC undertook the following activities during the FPE 2024:- (Cont'd)

- (d) Reviewed and assessed the contribution and performance of the AC.
- (e) Considered and recommended to the Board the re-election of Directors who retired pursuant to the Company's Constitution at the AGM.
- (f) Reviewed and recommended to the Board for approval, the appointment of Mr. Leong Seng Wui as a new Executive Director.

2.6 Board Appointment and Re-appointment Process

The NC is tasked by the Board to make independent recommendations for appointments to the Board. In evaluating the suitability of candidates, the NC considers, inter-alia, the character, experience, integrity, commitment, competency, qualification and track record of the proposed new nominee for appointment to the Board. In the case of a nominee for the position of Independent Non-Executive Director, NC evaluates the nominee's ability to discharge such responsibilities/functions as expected from Independent Non-Executive Directors. The Board has in the review of the skills of Directors, including information technology, legal, public relations and experience in the retailing industry as the matrix of skills of Directors that would be prioritised when selecting candidates for appointment to the Board.

In accordance with the Listing Requirements of Bursa Securities and the Company's Constitution, one-third (1/3) of the Directors of the Company for the time being shall retire at the AGM of the Company provided always that all Directors shall retire from office at least every three (3) years but shall be eligible for re-election at the AGM. Additionally, the Directors appointed to fill a casual vacancy or as an addition to the Board shall hold office only until the conclusion of the next AGM and shall be eligible for re-election.

In assessing the candidates' eligibility for re-election, the NC considers their competencies, commitment, contribution, and performance based on their respective performance evaluation to the Board and their ability to act in the best interest of the Company.

The Board makes recommendations concerning the re-election, re-appointment and continuation in office of any Director for shareholders' approval at the AGM.

2.7 Annual Assessment of Effectiveness of the Board and Board Committees as whole

The Board has, through the NC, undertaken a formal and objective annual evaluation to assess the effectiveness of the Board and the Board Committees as a whole and the contribution of each Director, including the independence of the Independent Non-Executive Directors, referring to the guides available and the good corporate governance compliance.

In evaluating the performance of Independent Directors, certain criteria were established and adopted, amongst others, attendance at Board or Committee meetings, key responsibilities of the adequate preparation for Board and/or Committee meetings, regular contribution to Board or Committee meetings, personal input to the role and other contributions to the Board or Committee as a whole.

In evaluating the performance of Executive Directors, an assessment was carried out against diverse key performance indicators, amongst others, financial, strategic and sustainability, conformance and compliance, business acumen or increase shareholders' wealth, succession planning and personal input to the role.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II – BOARD COMPOSITION (CONT'D)

2.8 Attendance of Board and Board Committees' Meetings

The records of attendance for the Board and Board Committees' Meetings held during the FPE 2024 are as follows:-

Director	Type of Meetings	Number of Meetings Attended			
		Board	AC	NC	RC
Dato' Mohamed Suffian Bin Awang (<i>Resigned on 28 April 2023</i>)		3/3	N/A	N/A	N/A
Dato' Seri Teoh Hai Hin (<i>Resigned on 10 July 2023</i>)		4/4	N/A	N/A	N/A
Lester Chin Kent Lake		7/7	N/A	N/A	N/A
Christopher Chan Hooi Guan		7/7	N/A	N/A	N/A
Lee Li Chain		7/7	N/A	N/A	N/A
Tuan Ng Keok Chai (<i>Resigned on 21 March 2023</i>)		3/3	3/3	N/A	1/1
Yap Kien Ming		7/7	7/7	1/1	1/1
Leong Kam Soon		7/7	7/7	1/1	1/1
Dato' Kang Chez Chiang		7/7	7/7	1/1	N/A
Leong Seng Wui (<i>Appointed on 8 April 2024</i>)		N/A	N/A	N/A	N/A
Teoh Soon Han (<i>Alternate Director to Dato' Seri Teoh Hai Hin</i>) (<i>Ceased on 10 July 2023</i>)		N/A	N/A	N/A	N/A

The Board meets at least once in every quarter on a scheduled basis and additional meetings are to be convened as when deemed necessary by the Board. All the Directors have complied with the minimum 50% attendance requirement as stipulated in the Listing Requirements. The Board is satisfied with the level of time commitment given by the Directors of the Company towards fulfilling their duties and responsibilities. This is evidenced by the attendance record of the Directors as set out herein above.

2.9 Directors' Training

The Directors are encouraged to attend seminars and/or conferences organised by relevant regulatory authorities and professional bodies to keep abreast with the latest developments in the marketplace and new statutory and regulatory requirements. The training needs of each Director would be assessed and proposed by the individual Director. Each Director determines the areas of training that he may require for personal development as a Director or as a member of the Board Committees.

Details of training attended by the Directors during the FPE 2024 are as follows:-

Director	Training Programmes
Lester Chin Kent Lake	- Amendments to Main Market Listing Requirements of Bursa Malaysia Securities Berhad in relation to Enhances Sustainability Reporting Framework - Amendments to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad relating to Sustainability Training for Directors, Conflict of Interest and other amendments
Christopher Chan Hooi Guan	- Amendments to Main Market Listing Requirements of Bursa Malaysia Securities Berhad in relation to Enhances Sustainability Reporting Framework - Amendments to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad relating to Sustainability Training for Directors, Conflict of Interest and other amendments - Management of Cyber Risk

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II – BOARD COMPOSITION (CONT'D)

2.9 Directors' Training (Cont'd)

Director	Training Programmes
Lee Li Chain	• Amendments to Main Market Listing Requirements of Bursa Malaysia Securities Berhad in relation to Enhances Sustainability Reporting Framework • Amendments to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad relating to Sustainability Training for Directors, Conflict of Interest and other amendments • CFO Nightmares – Accounting, Auditing, Taxes and Personal Liabilities • Public Listed Company Transformation #digital 4ESG Forum – Exploring the Intersection of Digitalisation and ESG • Virtual MIA International Accountants Conference 2023 – Future Fit Profession : Charting a Better Tomorrow • BDO Tax Seminar on Budget 2024
Leong Seng Wui	• Mandatory Anti Money Laundry (AML) Self Training and Assessment • Mandatory Anti-Bribery and Corruption (ABC) Training and Assessment • Fraud Awareness Training and Assessment
Yap Kien Ming	• Amendments to Main Market Listing Requirements of Bursa Malaysia Securities Berhad in relation to Enhances Sustainability Reporting Framework • Amendments to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad relating to Sustainability Training for Directors, Conflict of Interest and other amendments • Sustainability in the Digital Age @ Asia School of Business • Advocacy Sessions for Directors and CEO of Main Market Listing @ Bursa Malaysia
Leong Kam Soon	• Amendments to Main Market Listing Requirements of Bursa Malaysia Securities Berhad in relation to Enhances Sustainability Reporting Framework • Amendments to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad relating to Sustainability Training for Directors, Conflict of Interest and other amendments • Advocacy Session on the Continuing Disclosure Requirements & Corporate Disclosure Policy of the Listing Requirements
Dato' Kang Chez Chiang	• Amendments to Main Market Listing Requirements of Bursa Malaysia Securities Berhad in relation to Enhances Sustainability Reporting Framework • Amendments to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad relating to Sustainability Training for Directors, Conflict of Interest and other amendments

The Board would continuously, evaluate and assess the training needs of each Director to keep them abreast with the state of the economy, technological advances, regulatory updates, management strategies and development in various aspects of the business environment to enhance the Board's skills and knowledge in discharging its responsibilities.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART III - REMUNERATION (CONT'D)

3.1 Remuneration Policy

The RC is tasked to review the remuneration policy for the Directors and Senior Management of the Group. The Remuneration Committee comprises the following members, all being Independent Non-Executive Directors:-

- | | |
|--|----------|
| • Mr. Yap Kien Ming | Chairman |
| • Mr. Leong Kam Soon | Member |
| • Tuan Ng Keok Chai
(Resigned on 21 March 2023) | Member |

The Board had established a formal and transparent Remuneration Policy as a guide for the Board and the RC to determine the remuneration of Directors and/or Senior Management of the Company, which takes into account the demands, complexities and performance of the Company as well as skills and experience required.

The annual Directors' fee and benefits payable to the Non-Executive Directors are endorsed by the Board for approval by the shareholders of the Company at the AGM. The Directors do not participate in decisions regarding their own remuneration packages.

The Remuneration Policies and Procedures are available at the Company's website at <https://www.hongseng.com.my>.

3.2 Remuneration of Directors

The details of the remuneration of the Directors of the Company received from the Company and the Group during the FPE 2024 are as follows:-

The Company

Name of Directors	Fees	Allowance	Salary	Bonus	Benefits-in kind	Others emoluments	Total
Lester Chin Kent Lake	-	-	28,000	-	-	4,181	32,181
Lee Li Chain	-	5,040	157,360	-	-	20,029	182,429
Yap Kien Ming	54,000	-	-	-	-	-	54,000
Leong Kam Soon	54,000	-	-	-	-	-	54,000
Dato' Kang Chez Chiang	54,000	-	-	-	-	-	54,000
Tuan Ng Keok Chai (Resigned on 21 March 2023)	17,032	-	-	-	-	-	17,032
Dato' Mohamed Suffian Bin Awang (Resigned on 28 April 2023)	69,333	-	-	-	-	-	69,333
TOTAL	248,365	5,040	185,360	-	-	24,210	462,975

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A – BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART III - REMUNERATION (CONT'D)

3.2 Remuneration of Directors (Cont'd)

The details of the remuneration of the Directors of the Company received from the Company and the Group during the FPE 2024 are as follows:- (Cont'd)

The Group

Name of Directors	Fees	Allowance	Salary	Bonus	Benefits-in kind	Others emoluments	Total
Dato' Mohamed Suffian Bin Awang (Resigned on 28 April 2023)	69,334	-	-	-	-	-	69,334
Christopher Chan Hooi Guan	18,000	90,000	10,000	-	-	-	118,000
Lester Chin Kent Lake	-	-	90,000	-	-	13,438	103,438
Lee Li Chain	-	16,200	505,800	70,250	-	72,808	665,058
Yap Kien Ming	54,000	-	-	-	-	-	54,000
Leong Kam Soon	54,000	-	-	-	-	-	54,000
Tuan Ng Keok Chai (Resigned on 21 March 2023)	17,032	-	-	-	-	-	17,032
Dato' Kang Chez Chiang	54,000	-	-	-	-	-	54,000
TOTAL	266,366	106,200	605,800	70,250	-	86,246	1,134,862

All Executive Directors are also senior management of the Group, hence their remuneration is as detailed in the table above.

PRINCIPLE B – EFFECTIVENESS AUDIT AND RISK MANAGEMENT

PART I – AC

4.1 Effective and Independent AC

The AC comprises three (3) members, all of whom are Independent Non-Executive Directors. The Chairman of the AC is not the Chairman of the Board. The Chairman of the AC is a member of the Association of Chartered Certified Accountants, the Chartered Institution of Management Accounts and the Malaysian Institute of Accountants.

The TOR of the AC requires a former partner of the external audit firm of the Company to observe a cooling-off period of at least (3) years before being appointed as a member of the AC. None of the members of AC was a former partner of the external audit firm of the Company and in order to uphold utmost independence, the Board has no intention to appoint any former key audit partner as a member of the AC.

Collectively, the AC possesses a wide range of necessary skills to discharge its duties and members of the AC are financially literate and are able to understand matters under the purview of the AC including the financial reporting process. In order to strengthen the present financial literacy of each member, all members of the AC will balance their participation in continuous professional development programmes on accounting and auditing standards, practices and rules.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE B – EFFECTIVENESS AUDIT AND RISK MANAGEMENT (CONT'D)

PART I – AC (CONT'D)

4.2 External Auditors

For effectiveness and independent conduct of the Audit Committee's functions, the AC has separate discussions with the External Auditors without the presence of the Executive Directors and Management as and when necessary to discuss matters that the AC or the auditors believe should be discussed privately or to have a discussion about any matters of significance that arose during the audit process.

The AC had obtained assurance from the External Auditors confirming that they are, and have been, independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

Overall, the Board is satisfied with the performance, suitability and independence of the External Auditors of the Company, Grant Thornton Malaysia PLT had recommended their re-appointment to the shareholders for approval at the forthcoming AGM of the Company.

In addition, the External Auditors are invited to attend the Company's AGM so that they are available to answer any questions from shareholders on the conduct of the statutory audit and contents of the Audited Financial Statement.

PART II – RISK MANAGEMENT AND INTERNAL CONTROL FRAMEWORK

5.1 Risk Management and Internal Control

The Board acknowledges its overall responsibility for maintaining a sound system of internal control to safeguard shareholders' investments and the Company's assets. The system of internal control covers not only financial controls but operational and compliance controls and risk management.

The Board has delegated the responsibility of reviewing the adequacy and effectiveness of the risk management and internal control systems to the AC.

Details of the Group's risk management and internal control framework are set out in the Statement on Risk Management and Internal Control of the Annual Report 2024.

5.2 Internal Audit Function

The Internal Audit Function is outsourced to an independent professional firm which reports directly to the Audit Committee. The Internal Audit firm appointed by the Company is free from any relationships or conflict of interest which could impair their objectivity and independence.

The Company adopts the COSO (Committee of Sponsoring Organisations of the Treadway Commission) control framework throughout our implementation as a basis for assessing the adequacy and effectiveness of the Company's risk and control processes.

The Internal Auditors performed their work by referring to a recognised framework such as the standards recommended by the International Professional Practices Framework of the Institute of Internal Auditors.

The internal audit functions and activities carried out during the FPE 2024 are as disclosed in the AC Report in this Annual Report.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE C – INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

PART I – ENGAGEMENT WITH STAKEHOLDERS

6.1 Continuous Communication with Stakeholders

The Company recognises the importance of keeping shareholders and investors informed of the Group's business and corporate developments. Such information is disseminated via the Company's annual reports, various disclosures to Bursa Securities including quarterly financial results and various announcements made from time to time.

The Group maintains a website at <https://www.hongseng.com.my> where shareholders or investors may access information on the Group under "Investors" link encompassing corporate information, latest financial results, latest annual reports, announcements to Bursa Securities, Board Charter, Code of Conduct and Ethics of the Board, TOR of the Board Committees, Whistleblowing Policy and Procedure, etc. Stakeholders can at any time seek clarification or raise queries through the corporate website, by email at bizco@hongseng.com.my.

The Board is committed to provide effective communication to its shareholders and the general public regarding the business, operations and financial performance of the Group and where necessary, information filed with regulators is in accordance with all applicable legal and regulatory requirements.

6.2 Corporate Disclosure Policy

The Company has adopted a formal Corporate Disclosure Policy to promote comprehensive, accurate and timely disclosures pertaining to the Company and the Group to the regulators, shareholders and stakeholders.

PART II - CONDUCT OF GENERAL MEETINGS

7.1 Conduct of General Meetings

The Company's general meeting remains the principal forum for dialogue with shareholders, in particular, private investors, whereby they are provided with an opportunity to participate, raise questions pertaining to issues in the Annual Report, Audited Financial Statements and corporate developments/proposals of the Group, the resolutions being proposed and/or on the business of the Group and communicate their expectations and possible concerns.

In line with Practice 13.1 of MCGG, the notice convening the Twenty-Second AGM ("22nd AGM") was issued to shareholders at least 28 days before the 22nd AGM date, which gives shareholders sufficient time to prepare themselves to attend the 22nd AGM or to appoint a proxy to attend and vote on their behalf.

In addition, the Board also ensures that the Notice of AGM contains details of resolutions proposed along with background information and relevant explanatory notes. The explanation will assist the shareholders in making their informed decisions and exercising their voting rights.

In line with Paragraph 8.29A (1) of the Listing Requirements of Bursa Securities, all resolutions set out in the notice of general meetings will be put to vote by poll. The Company also appoints an independent scrutineer to validate the votes cast in the general meetings. The outcome of the general meetings will then be announced to Bursa Securities on the same meeting day while the summary of key matters of the annual general meeting, if any, discussed during the said general meetings will be posted on the Company website.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE C – INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS (CONT'D)**PART II - CONDUCT OF GENERAL MEETINGS (CONT'D)****7.2 Effective Communication and Proactive Engagement**

All the Directors (save for Leong Seng Wui who was appointed on 8 April 2024) attended the 22nd AGM held on 27 February 2023 and be accountable to the shareholders for their stewardship of the Company. The Board welcomes questions and feedback from the shareholders during the 22nd AGM and ensures that their questions are responded to in a proper and systematic manner. The Senior Management and External Auditors also attended the AGM.

From the Company's perspective, the AGM provides a valuable opportunity for Directors to personally engage with shareholders to understand their needs and seek their feedback. The Board encourages questions and feedback from the shareholders during the shareholders' meetings and ensures their queries are responded to properly and systematically.

The Board had ensured that the required infrastructure and tools were in place to enable the smooth broadcast of the 22nd AGM and meaningful engagement with the shareholders. The summary of the key matters discussed at the 22nd AGM was also published on the Company's website for the shareholders' information.

STATEMENT BY THE BOARD ON THE CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board has deliberated, reviewed and approved this Statement. The Board considers and is satisfied that to the best of its knowledge, the Company has fulfilled its obligations under the MCCG, the relevant chapters of the Listing Requirements of Bursa Securities on corporate governance and all applicable laws and regulations throughout the FPE 2024, except for the departures set out in the CG Report.

The Board shall continue to strive for high standards of corporate governance throughout the Group, and the highest level of integrity and ethical standards in all of its business dealings.

ADDITIONAL COMPLIANCE INFORMATION

1. STATUS OF UTILISATION OF PROCEEDS RAISED FROM CORPORATE PROPOSALS

The Company did not raise any funds through any corporate proposals during the financial period ended 31 March 2024 ("FPE 2024").

2. MATERIAL CONTRACTS INVOLVING INTERESTS OF DIRECTORS AND/OR MAJOR SHAREHOLDERS

The Company and its subsidiaries ("the Group") have not entered into any material contracts (not being contracts entered into in the ordinary course of business) involving the interests of the Directors and/or major shareholders during the FPE 2024.

3. AUDIT AND NON-AUDIT FEES

The amount of audit and non-audit fees paid/payable to the External Auditors by the Group and the Company for the services rendered for the FPE 2024 are as follows:-

	Group (RM)	Company (RM)
Audit Fees	201,355	48,000
Non-audit Fees	96,000	96,000

4. RECURRENT RELATED PARTY TRANSACTIONS ("RRPT") OF A REVENUE OR TRADING NATURE

The Company had, at the 22nd Annual General Meeting ("AGM") of the Company held on 27 February 2023 obtained its shareholders' mandate to allow the Group to enter into RRPT of a revenue or trading nature which are necessary for the day-to-day operations of the Group and in the ordinary course of business with the related parties.

In accordance with Paragraph 3.1.5 of Practice Note 12 of the Listing Requirements of Bursa Securities, details of the RRPT conducted during the FPE 2024 pursuant to the aforesaid shareholders' mandate are as follows:-

Transacting Parties	Interested Related Parties	Nature of Transactions	Actual Value of for the FPE 2024
HKL Dynamics Sdn Bhd (formerly known as Hong Seng Gloves Sdn. Bhd.) ("HKL Dynamics") and HS Vision One Sdn. Bhd. ("HS Vision")	Dato' Seri Teoh Hai Hin ("DSTHH") ⁽¹⁾⁽²⁾ Teoh Soon Han ("TSH") ⁽³⁾ Teoh Hai Peng ("THP") ⁽⁴⁾ Dato' Teoh Hai Bim ("THB") ⁽⁴⁾ Teoh Hai Seng ("THS") Teoh Huan Jie ("THJ") Dalphon Limited ⁽⁵⁾	Renting of 4 blocks of single-storey factory building, a single-storey office building and a single-storey canteen and storage areas erected on a parcel of leasehold land on Lot 97, Jalan Sepuluh, Bakar Arang Industrial Estate, 08000 Sungai Petani, Kedah measuring approximately 217,800 square feet (with a total gross built-up area of 130,964 square feet) from HS Vision by HKL Dynamics, a 85% owned subsidiary of the Company for the purpose to set up the Glove Production Plant, for a term of 3 years (with an option to renew for another 2 years) with rental of RM130,000 per month commencing from 10 December 2020.	390,000

ADDITIONAL COMPLIANCE INFORMATION (CONT'D)

4. RECURRENT RELATED PARTY TRANSACTIONS ("RRPT") OF A REVENUE OR TRADING NATURE (CONT'D)**Notes:**

- ^{1.} DSTHH served as a Group Managing Director has resigned as a Director of the Company on 10 July 2023. DSTHH who was deemed interested pursuant to Section 8 of the Companies Act, 2016, was also a major shareholder of our Company by virtue of his interests in Dalphon Limited. On 27 June 2023, DSTHH ceased to be the major shareholder of the Company. However, DSTHH was still deemed as the major shareholder pursuant to Paragraph 10.02(f) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("Listing Requirements") up to 27 December 2023;
- ^{2.} DSTHH is also a director and a controlling shareholder of HS Vision. HS Vision has disposed the factory to a third party on 31 May 2023. Subsequently, HS Vision has terminated the tenancy with HKL Dynamics and HKL Dynamics has entered into a new tenancy with the new landlord, who is a third party;
- ^{3.} TSH, the Alternate Director to DSTHH, is DSTHH's daughter;
- ^{4.} THP and THB, brothers of DSTHH, are directors and shareholders of HS Vision. THS, a brother of DSTHH and THJ, a son of DSTHH, are shareholders of HS Vision; and
- ^{5.} On 27 June 2023, Dalphon Limited (a company controlled by DSTHH) has ceased to be the major shareholder of the Company. However, Dalphon Limited was still deemed as the major shareholder pursuant to Paragraph 10.02(f) of the Listing Requirements up to 27 December 2023.

DIRECTORS' RESPONSIBILITY STATEMENT

The Board of Directors ("Directors") of the Company are responsible for ensuring the financial statements of the Group and the Company are properly drawn up in accordance with the provisions of the Companies Act 2016 ("CA 2016") and applicable approved accounting standards prescribed by the Malaysian Accounting Standards Board so as to give a true and fair view of the state of affairs of the Company and its subsidiaries ("the Group") as at the end of the financial period and of the financial performance of the Group.

In preparing the financial statements of the Group for the financial period ended 31 March 2024, the Directors have:

- responsible for ensuring proper accounting records are kept, which disclose with reasonable accuracy;
- applied relevant and appropriate accounting policies consistently and in accordance with applicable approved accounting standards;
- made judgements and estimates that are prudent and reasonable;
- ensured applicable financial reporting standards have been followed, subject to any material departures disclosures and explained in the financial statements; and
- prepared it on a going concern basis unless it is inappropriate to presume that the Group and the Company will continue in business.

The Directors are responsible for ensuring that proper accounting records are kept, which disclose with reasonable accuracy, at any time, the financial position of the Group and of the Company are in compliance with the provisions of the CA 2016.

In addition, the Directors have general responsibilities for taking such steps that are reasonably available to them to safeguard the assets of the Group, and to prevent and detect fraud and other irregularities.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

The Board of Directors (“the Board”) of Hong Seng Consolidated Berhad (“the Company”) is pleased to present the Statement on Risk Management and Internal Control of the Company and its subsidiaries (“the Group”) which outlines the nature and scope of risk management and the internal control systems of the Group for the financial period ended 31 March 2024 (“FPE 2024”) in accordance with Paragraph 15.26(b) of the Main Market Listing Requirements (“Listing Requirements”) of Bursa Malaysia Securities Berhad (“Bursa Securities”) and the Principles and Best Practices provisions relating to risk management and internal controls provided in the Malaysian Code on Corporate Governance. This Statement is guided by the Statement on Risk Management and Internal Control: Guideline for Directors of Listed Issuers.

BOARD’S RESPONSIBILITIES

The Board recognises and affirms its overall responsibility for the Group’s system of internal controls, which includes the establishment of an appropriate risk and control framework as well as the review of its effectiveness, adequacy and integrity. It should be noted, however, that such systems are designed to manage rather than to eliminate the risk of failure to achieve business objectives. In addition, it should be noted that these systems can only provide reasonable but not absolute assurance against material misstatement or fraud and losses.

The Board is assisted by Management in implementing the Board’s policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to manage and control these risks.

RISK MANAGEMENT AND INTERNAL CONTROL

The key features of the risk management and internal control systems are described below:-

Risk Management Framework

The Group has established a proper risk management framework that ensures an ongoing process for identifying, evaluating, managing and reporting risk that may affect the achievement of the Group’s business objectives and strategies. The process has been in place during the period up to the date of approval of the annual report and is subject to review by the Board.

The Group has in place risk profiles of major business units. Key risks of major business units were identified, assessed and categorised to highlight the source of risk, their impacts and the likelihood of occurrence.

The risk profiles of the major business units of the Group are being monitored by its respective key Management staff. Key risks of the Group are discussed at Management Meetings on a need basis.

Management will update the results of risk assessment including preparing detailed risk registers and documenting all discussions at Management and Board meetings on key risks and action plans to address the key risks.

Internal Control System

The key elements of the Group’s internal control system include:-

- Clearly defined organisation structure, reporting lines of responsibilities and appropriate level of delegation;
- Clearly defined roles and responsibilities, authority and accountability within the Group;
- Limit of Authority (“LOA”) matrix that clearly outlines Management limits and approval authority across various key processes;
- Recruitment of adequate experienced, skilled and professional staff with the necessary caliber to fulfill the respective responsibilities and ensure that minimum controls are in place;

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

Internal Control System (Cont'd)

The key elements of the Group's internal control system include:- (Cont'd)

- Establishment of effective segregation of duties via independent checks, review and reconciliation activities to prevent human errors, fraud and abuses;
- Annual budgeting process which requires all business units/divisions to prepare budget and business plan on an annual basis;
- Establishment of the internal policies and procedures for key functional units within the Group and regularly update the policies and procedures to reflect changing risks and business needs or to resolve operational deficiencies;
- Operations review meetings are held on a regular basis by the respective business units to monitor the progress of business operations, deliberate significant issues and formulate corrective measures;
- Management meetings are held on a regular basis to review and discuss business performance, strategy, business development and key management issues;
- Regular review of actual sales performance against the target set by the Management. This enables effective monitoring of significant variances and deviations from the target and business objectives;
- Engage and appoint solicitors, financial advisors and other competent professionals as may be required in respect of any corporate exercise undertaken by the Group;
- Periodic review of the adequacy and effectiveness of the system of internal control by the internal audit function; and
- The Audit Committee ("AC") holds quarterly meetings to deliberate on the findings and recommendations for improvement by internal auditors, external auditors as well as regulatory authorities. The AC reviews the actions taken to rectify the findings in a timely manner, and to evaluate the effectiveness and adequacy of the Group's internal control systems.

INTERNAL AUDIT FUNCTION

The Group has outsourced its internal audit function to OAC Consulting Sdn. Bhd. ("OAC" or "Internal Auditors"). During the financial period under review, OAC has carried out independent reviews to ascertain the adequacy and integrity of the Group's system of internal controls and, ensure compliance with applicable laws and regulations, safeguarding shareholders' interest, Company's assets and the reliability of financial information to safeguard the shareholders' interest and Company's assets.

The Internal Auditors conducted the audit reviews in accordance with the Internal Audit Plan approved by the AC. The Internal Auditors use the Committee of Sponsoring Organisations of the Treadway Commission (COSO) Internal Control – Integrated Framework as a basis for evaluating the effectiveness of the internal control system, where improvement gaps are identified as a result of the reviews, remedial and improvement measures are recommended to strengthen controls; and follow-up reviews are conducted by the Internal Auditors to assess the status of the implementation of the recommendations thereof by the Management. OAC is free from any relationship or conflict of interest that could impair their objectivity and independence. All findings and recommendations from both external and internal auditors are directly reported to the AC.

Further details of the Internal Audit Functions are set out in the AC Report of this Annual Report.

For the FPE 2024, the total fees incurred for the internal audit function was RM20,000.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

REVIEW BY BOARD

The Board considered the adequacy and effectiveness of the risk management and internal control process in the Group during the financial period.

A review of the adequacy and effectiveness of the risk management and internal controls systems has been undertaken based on information from:

- Management within the organisation is responsible for the development and maintenance of the risk management and internal control framework;
- Assessments of major business units and functional controls by respective Management to complement the above input in providing a holistic view of the Group risk and control framework effectiveness; and
- The work carried out by the Internal Auditors which includes the documents on Internal Audit Strategy highlighting the key processes and potential key risks for the Group and Internal Audit Report was tabled to the AC together with recommendations for improvement.

During the financial period under review, a number of improvements to internal controls were identified and addressed. The Board and Management will continue to take measures to strengthen the risk and control environment and monitor the health of the risk and internal controls framework.

The AC will address and monitor the implementation of key action plans and any internal control weaknesses and ensure continuous process improvement.

The Board also received assurance from the Executive Directors of the Company that the Group's current risk management and internal control system is operating adequately and effectively, in all material aspects, based on the risk management and internal control system of the Group.

Whilst the Board is satisfied with the adequacy and effectiveness of the Group's risk management and internal control system, the Board acknowledges that a sound system of internal control can reduce, but cannot eliminate, the possibility of poor judgment in decision making; human error; control processes being deliberately circumvented by employees; management overriding controls and occurrence of unforeseen circumstances.

REVIEW BY EXTERNAL AUDITORS

As required by Paragraph 15.23 of Listing Requirements of Bursa Securities, the External Auditors of the Company have reviewed this Statement on Risk Management and Internal Control. Their review was performed in accordance with Audit and Assurance Practice Guides 3 ("AAPG 3"): Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report, issued by the Malaysian Institute of Accountants. Based on their review, nothing has come to their attention that causes them to believe that this statement intended to be included in the Annual Report is not prepared, in all material respects, in accordance with the disclosures required by paragraphs 41 and 42 of the Statement on Risk Management and Internal Control: Guideline for Directors of Listed Issuers to be set out, nor is the Statement factually inaccurate.

AUDIT COMMITTEE REPORT

The Board of Directors (“the Board”) of Hong Seng Consolidated Berhad (“the Company”) is pleased to present the Audit Committee (“AC”) Report for the financial period ended 31 March 2024 (“FPE 2024”).

The primary objective of the AC is to assist the Board in discharging its statutory duties and responsibilities relating to the corporate accounting and financial reporting practices for the Company and its subsidiaries (“the Group”) and to ensure the adequacy and effectiveness of the Group’s system of internal controls, providing oversight of both external and internal audit functions.

COMPOSITION AND MEMBERS OF THE AC

The members of the AC, all being Independent Non-Executive Directors are as follows:

AC Members	Designation
Leong Kam Soon, Chairman	Independent Non-Executive Director
Yap Kien Ming, Member	Independent Non-Executive Director
Dato’ Kang Chez Chiang, Member	Independent Non-Executive Director
Tuan Ng Keok Chai, Member (Resigned on 21 March 2023)	Independent Non-Executive Director

The Company has complied with Paragraph 15.09(1)(a) and (b) of the Main Market Listing Requirements (“Listing Requirements”) of Bursa Malaysia Securities Berhad (“Bursa Securities”) as well as Practice 9.1 and Practice 9.4 under the Principle B of the Malaysian Code of Corporate Governance.

In addition, the AC Chairman, Mr. Leong Kam Soon is a Fellow member of both the Association of Chartered Certified Accountants and the Chartered Institute of Management Accountants. He is also a member of the Malaysia Institute of Accountants. In this respect, the composition of the AC members complies with Paragraphs 15.09(1)(c)(i) of the Listing Requirements of Bursa Securities.

TERMS OF REFERENCE

The authorities and duties of the AC are clearly governed by the Terms of Reference of the AC. The Terms of Reference of the AC can be accessed from the Company’s website at www.hongseng.com.my.

ATTENDANCES OF THE MEETINGS

During the FPE 2024, the AC held a total of seven (7) meetings. Details of attendance of the AC members are as follows:

AC Members	Attendance
Leong Kam Soon, Chairman	7 of 7
Yap Kien Ming, Member	7 of 7
Dato’ Kang Chez Chiang, Member	7 of 7
Tuan Ng Keok Chai, Member (Resigned on 21 March 2023)	3 of 3

A full agenda and comprehensive set of meeting papers were circulated to each AC member with sufficient notification prior to each meeting. The Internal and External Auditors were invited to brief AC on the relevant issues arising from the audit process and any other matter of interest.

The representatives from the Management attended the meetings by invitation for the purposes of briefing the AC on reports presented at the meeting and to clarify on issues that the AC may have with regard to the activities involving their areas of responsibilities.

AUDIT COMMITTEE REPORT (CONT'D)

ATTENDANCES OF THE MEETINGS (CONT'D)

The Chairman of the AC shall report to the Board on a quarterly basis on all significant matters discussed, deliberated upon and dealt with at the AC meetings. Among others, it covers the AC's recommendation to approve the quarterly financial result for release to Bursa Securities, the annual financial statements as well as significant audit issues raised by the Internal and/or External Auditors.

SUMMARY OF WORK DURING THE FPE 2024

The following is a summary of the activities carried out by the AC during the FPE 2024 in discharging their duties and responsibilities:

- i. Reviewed the Company and the Group's compliance with the Listing Requirements, the requirements of the Companies Act 2016, applicable approved accounting standards in Malaysia and other relevant regulatory requirements, to ensure that the quarterly announcements of financial results and the audited financial statements are properly prepared.
- ii. Reviewed the quarterly unaudited financial results and annual audited financial statements of the Group including the announcements pertaining thereto, before recommending to the Board for their approval and release of the Group's results to Bursa Securities.
- iii. Reviewed with the External Auditors, the Audit Review Memorandum, Audit Completion Report and scope of the statutory audit of the Group's financial statements for the FPE 2024 before the audit commenced to ensure that the scope of the external audit is comprehensive.
- iv. Reviewed with the External Auditors on the results, observations, significant audit findings and adjustments arising from their audit of the financial year-end statements and their resolutions of such issues highlighted in their report to the AC.
- v. Considered and recommended the re-appointment of Grant Thornton Malaysia PLT as the External Auditors based on the competency, efficiency and transparency as demonstrated by them during their audit for the financial period ended.
- vi. Met with the External Auditors without the presence of the Management to facilitate discussions on additional matters in relation to audit issues and internal control weaknesses noted in the course of their audit.
- vii. Reviewed with the Internal Auditors, the internal audit plan, work done and reports, for the internal audit function and considered the findings of internal audit investigations and management responses thereon and ensure that appropriate actions were taken on the recommendations raised by the Internal Auditors.
- viii. Reviewed the related party transactions and/or recurrent related party transactions that transpired during the financial period under review to ensure that the transactions entered were at arm's length.
- ix. Reviewed the disclosures of conflict of interest ("COI") involving the Directors and key senior management of the Group and concluded that there was no additional examination or mitigation measures were deemed necessary for the COI disclosed.
- x. Reviewed and recommended to the Board for approval on the Corporate Governance Overview Statement, AC Report, Statement on Risk Management and Internal Control, Sustainability Statement, and Additional Compliance Information to ensure adherence to legal and regulatory reporting requirements before recommending to the Board for approval for inclusion in the Company's Annual Report.
- xi. Reviewed the Corporate Governance Report before recommending it to the Board for approval.
- xii. Reviewed the Circular to Shareholders in relation to the Recurrent Related Party Transactions Mandate and made a statement of its view and recommended the same to the Board to seek shareholders' approval for the said Mandate.

AUDIT COMMITTEE REPORT (CONT'D)

SUMMARY OF WORK DURING THE FPE 2024 (CONT'D)

The following is a summary of the activities carried out by the AC during the FPE 2024 in discharging their duties and responsibilities: (Cont'd)

- xiii. Evaluated the performance of the External and Internal Auditors.
- xiv. Annual self-appraised performance of the AC and submission of the evaluation forms to the Nomination Committee for assessment.
- xv. The adoption of updated Terms of Reference of the AC by enhancing and incorporating the conflict of interest and sustainability components.

INTERNAL AUDIT FUNCTION

The Group has outsourced its internal audit function to an independent professional consulting company, OAC Consulting Sdn. Bhd. ("OAC" or "Internal Auditors") to assist the AC in discharging its duties and responsibilities in reviewing and assessing the adequacy and effectiveness of the Group's internal control system.

The Internal Auditors conducted the audit reviews in accordance with the Internal Audit Plan approved by the AC. The Internal Auditors use the Committee of Sponsoring Organisations of the Treadway Commission (COSO) Internal Control – Integrated Framework as a basis for evaluating the effectiveness of the internal control system, where improvement gaps are identified as a result of the reviews, remedial and improvement measures are recommended to strengthen controls; and follow-up reviews are conducted by the Internal Auditors to assess the status of the implementation of the recommendations thereof by the Management. OAC is free from any relationship or conflict of interest that could impair their objectivity and independence. All findings and recommendations from both external and internal auditors are directly reported to the AC.

The Internal Auditors prepared and tabled the Internal Audit Plan for the consideration and approval of the AC. It conducts independent reviews of the key activities with the Group's operations based on the Internal Audit Plan approved by the AC.

During the FPE 2024, the following internal audit reviews had been carried out by the Internal Auditors:

Reporting month	Name of Entity Audited	Audited Areas
February 2023 August 2023	Hong Seng Capital Sdn. Bhd. HKL Dynamics Sdn. Bhd. (formerly known as Hong Seng Gloves Sdn. Bhd.)	Credit Management Payment

Prior to the presentation of the report to the AC, comments from the Management are obtained and incorporated into the internal audit findings and reports.

The total fees incurred during the FPE 2024 in relation to the internal audit function were RM20,000.

The AC is of the view that the internal audit function is independent and the Internal Auditors have performed their audit assignments with impartiality, proficiency and due professional care.

The background of the entire page is a dark, monochromatic collage of financial data. It features a line graph with a fluctuating white line, a bar chart with vertical bars of varying heights, and a grid of numbers. A prominent number '12,256' is visible in the upper left. Faint, diagonal text 'depositphotos' is repeated across the background. The overall aesthetic is technical and data-driven.

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DIRECTORS' REPORT

The Directors hereby submit their report together with the audited financial statements of the Group and of the Company for the financial period from 1 October 2022 to 31 March 2024.

PRINCIPAL ACTIVITIES

The Company operates as an investment holding company.

The principal activities of its subsidiary companies are disclosed in Note 7 to the Financial Statements.

There have been no significant changes in the nature of these activities of the Company and of its subsidiary companies during the financial period.

CHANGE OF FINANCIAL PERIOD

On 21 July 2023, the Company changed its financial year end from 30 September to 31 March to facilitate the financial reporting.

RESULTS

	Group RM	Company RM
Net loss for the financial period	(100,275,491)	(84,892,938)
Attributable to:		
Owners of the Company	(91,837,134)	
Non-controlling interests	(8,438,357)	
	(100,275,491)	

DIVIDENDS

There were no dividends proposed, declared or paid by the Company since the end of the previous financial year.

RESERVES AND PROVISIONS

All material transfers to or from reserves and provisions during the financial period are disclosed in the financial statements.

DIRECTORS' REPORT (CONT'D)

DIRECTORS

The Directors who held office during the financial period and up to the date of this report are as follows:-

Lester Chin Kent Lake	(Executive Director) [^]
Christopher Chan Hooi Guan	(Executive Director) ^{^^}
Lee Li Chain	(Executive Director)
Leong Seng Wui	(Executive Director, appointed on 8.4.2024) ^{^^^}
Leong Kam Soon	(Independent Non-Executive Director)
Dato' Kang Chez Chiang	(Independent Non-Executive Director)
Yap Kien Ming	(Independent Non-Executive Director)
Ng Keok Chai	(Independent Non-Executive Director, resigned on 21.3.2023)
Dato' Mohamed Suffian Bin Awang	(Chairman and Independent Non-Executive Director, resigned on 28.4.2023)
Dato' Seri Teoh Hai Hin	(Group Managing Director, resigned on 10.7.2023)
Teoh Soon Han	(Alternate Director to Dato' Seri Teoh Hai Hin, ceased on 10.7.2023)

[^] also Director of CASD Solutions Sdn. Bhd., CBSA Bizhub Sdn. Bhd., HKL Dynamics Sdn. Bhd. (formerly known as Hong Seng Gloves Sdn. Bhd.), HS Synergy Sdn. Bhd., HS Petchem Logistics Sdn. Bhd., Hong Seng Capital Sdn. Bhd., Hong Seng Industries Sdn. Bhd., HS Cloud Lab Sdn. Bhd., eMedAsia Sdn. Bhd., HS Bio Sdn. Bhd., Victory PE Sdn. Bhd. (formerly known as HS Bio Holdings Sdn. Bhd.), HS Green Valley Sdn. Bhd. and Premiumway Development Sdn. Bhd.

^{^^} also Director of CASD Solutions Sdn. Bhd., CBSA Bizhub Sdn. Bhd., HKL Dynamics Sdn. Bhd. (formerly known as Hong Seng Gloves Sdn. Bhd.), HS Synergy Sdn. Bhd., HS Petchem Logistics Sdn. Bhd., Hong Seng Industries Sdn. Bhd., eMedAsia Sdn. Bhd., HS Bio Sdn. Bhd., Victory PE Sdn. Bhd. (formerly known as HS Bio Holdings Sdn. Bhd.), HS Green Valley Sdn. Bhd., Neogenix Laboratoire Sdn. Bhd., Neogenix (Sabah) Sdn. Bhd. and Premiumway Development Sdn. Bhd.

^{^^^} also Director of HKL Dynamics Sdn. Bhd. (formerly known as Hong Seng Gloves Sdn. Bhd.) and HS Green Valley Sdn. Bhd.

The names of the Directors of certain subsidiary companies in office during the financial period and up to the date of this report other than those named above are as follows:-

Joveen Neoh Wan Fen
 Kuan Chee Sian
 Mohamed Namazie Bin A.M. Ibrahim
 Tan Ooi Jin
 Thirunavukarasu A/L Rajoo

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, the interests and deemed interests in the shares and options over shares of the Company and of its related corporations of those who were Directors at the end of the financial period are as follows:-

	Number of ordinary shares ("OS")			
	At 1.10.2022	Bought	Sold	At 31.3.2024
Indirect interest				
Lester Chin Kent Lake#	592,227,600	364,600,000	-	956,827,600
Christopher Chan Hooi Guan [^]	412,000,000	179,631,000	(450,528,000)	141,103,000

DIRECTORS' REPORT (CONT'D)

DIRECTORS' INTERESTS (CONT'D)

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, the interests and deemed interests in the shares and options over shares of the Company and of its related corporations of those who were Directors at the end of the financial period are as follows:- (Cont'd)

	At	Number of Warrant B		At
	1.10.2022	Bought	Sold	31.3.2024
Indirect interest				
Lester Chin Kent Lake [#]	196,282,532	-	(194,907,800)	1,374,732
Christopher Chan Hooi Guan [^]	137,333,332	-	(137,333,332)	-

[#] Indirect interest by virtue of his father's interests and his interests in Radiance Dynasty Sdn. Bhd.

[^] Indirect interest by virtue of his interests in Aurora Crest Sdn. Bhd. and Open Dynamics Sdn. Bhd.

By virtue of Mr. Lester Chin Kent Lake and Mr. Christopher Chan Hooi Guan's indirect interests in the shares of the Company, they are also deemed to have interests in the shares of all the subsidiary companies to the extent that the Company has an interest under Section 8 of the Companies Act 2016.

Other than disclosed above, none of the other Directors in office at the end of the financial period had any interest in the shares of the Company or its related corporations during the financial period.

DIRECTORS' BENEFITS

During the financial period, the fees and other benefits received and receivable by the Directors of the Company are as follows:-

	Incurring by the Group RM	Incurring by the Company RM
Directors' fees	266,366	248,366
Directors' other emoluments and benefits	868,496	214,609

During and at the end of the financial period, no arrangements subsisted to which the Company is a party, with the object or objects of enabling Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than those that disclosed above and Note 31 to the Financial Statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member or with a company in which the Director has a substantial financial interest.

ISSUE OF SHARES AND DEBENTURES

There were no issuance of new shares or debentures during the financial period.

DIRECTORS' REPORT (CONT'D)

WARRANTS**Warrants A**

The Company had on 23 September 2019 allotted and issued 53,097,137 rights shares together with 159,291,411 free warrants ("Warrant(s) A") at an issue price of RM0.25 each on the basis of 3 Warrants A for every 1 rights share subscribed. Each Warrant A entitles the registered holder to subscribe for 1 new ordinary share in the Company at any time on or after 23 September 2019 to 22 September 2024, at an exercise price of RM0.25 each in accordance with a deed poll. Any Warrants A not exercised by the date of maturity will lapse thereafter and cease to be valid for all purposes.

On 16 June 2021, the Company completed the share split with additional 33,168,391 Warrants A issued and the exercise price of Warrants A was adjusted to RM0.13 each for 1 new ordinary share pursuant to the share split. On 28 June 2022, the Company completed the bonus issue with additional 472,482 Warrants A issued and the exercise price of Warrants A was adjusted to RM0.07 each for 1 new ordinary share pursuant to the bonus issue.

The ordinary shares issued from the exercise of Warrants A shall rank pari passu in all respects with the existing ordinary shares of the Company except that they shall not be entitled to any dividends, rights, allotments and/or other distributions declared, the entitlement date of which is prior to the date of allotment of the new shares arising from the exercise of Warrants A.

As at 31 March 2024, 944,964 Warrants A remained unexercised.

Warrants B

The Company had on 4 October 2021 issued 850,811,683 free warrants ("Warrant(s) B") at an issue price of RM2.60 each on the basis of 1 Warrant B for every 3 existing ordinary shares held by the entitled shareholders on the entitlement date. Each Warrant B entitles the registered holder to subscribe for 1 new ordinary share in the Company at any time on or after 4 October 2021 to 3 October 2024, at an exercise price of RM2.60 in accordance with a deed poll. Any Warrants B not exercised by the date of maturity will lapse thereafter and cease to be valid for all purposes.

On 28 June 2022, the Company completed the bonus issue with additional 850,558,283 Warrants B issued and the exercise price of Warrants B was adjusted to RM1.30 each for 1 new ordinary share pursuant to the bonus issue.

The ordinary shares issued from the exercise of Warrants B shall rank pari passu in all respects with the existing ordinary shares of the Company except that they shall not be entitled to any dividends, rights, allotments and/or other distributions declared, the entitlement date of which is prior to the date of allotment of the new shares arising from the exercise of Warrants B.

As at 31 March 2024, 1,701,116,566 Warrants B remained unexercised.

INDEMNITY AND INSURANCE FOR DIRECTORS AND OFFICERS

During the financial period, Directors and Officers of the Company were covered under the Director and Officer Liability Insurance in respect of liabilities arising from acts committed in their respective capacity as, inter alia, Directors and Officers of the Company. The total amount of insurance coverage and insurance premium paid for Directors and Officers of the Company were RM5,000,000 and RM20,245 respectively.

OTHER STATUTORY INFORMATION

Before the financial statements of the Group and of the Company were prepared, the Directors took reasonable steps:-

- (a) to ascertain that action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for doubtful debts; and
- (b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including their values as shown in the accounting records of the Group and of the Company have been written down to an amount which they might be expected so to realise.

DIRECTORS' REPORT (CONT'D)

OTHER STATUTORY INFORMATION (CONT'D)

At the date of this report, the Directors are not aware of any circumstances:-

- (a) which would render the amounts written off for any bad debts or the amount of the provision for doubtful debts in the financial statements of the Group and of the Company inadequate to any substantial extent; or
- (b) which would render the values attributed to current assets in the financial statements of the Group and of the Company misleading; or
- (c) which have arisen which would render adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate; or
- (d) not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading.

At the date of this report, there does not exist:-

- (a) any charge on the assets of the Group or of the Company which has arisen since the end of the financial period which secures the liability of any other person; or
- (b) any contingent liability of the Group or of the Company which has arisen since the end of the financial period.

In the opinion of the Directors:-

- (a) no contingent liability or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial period which will or may affect the ability of the Group and of the Company to meet their obligations as and when they fall due;
- (b) the results of operations of the Group and of the Company during the financial period were not substantially affected by any item, transaction or event of a material and unusual nature; and
- (c) there has not arisen in the interval between the end of the financial period and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of operations of the Group and of the Company for the current financial period in which this report is made.

SIGNIFICANT AND SUBSEQUENT EVENTS DURING AND AFTER THE FINANCIAL PERIOD

Significant and subsequent events are disclosed in Note 36 to the Financial Statements.



DIRECTORS' REPORT (CONT'D)

AUDITORS

The Auditors, Grant Thornton Malaysia PLT, have expressed their willingness to continue in office.

The amount of audit and other fees payable to the Auditors of the Group and of the Company for the financial period from 1 October 2022 to 31 March 2024 amounted to RM291,000 and RM144,000 respectively.

There was no indemnity given or insurance effected for the auditors of the Group and of the Company.

Signed on behalf of the Directors in accordance with a resolution of the Directors,

LESTER CHIN KENT LAKE

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DIRECTORS

LEE LI CHAIN

Kuala Lumpur
26 July 2024

STATEMENT BY DIRECTORS

In the opinion of the Directors, the financial statements set out on pages 83 to 165 are drawn up in accordance with Malaysian Financial Reporting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia so as to give a true and fair view of the financial position of the Group and of the Company as at 31 March 2024 and of their financial performance and cash flows for the financial period from 1 October 2022 to 31 March 2024.

Signed on behalf of the Directors in accordance with a resolution of the Directors,

LESTER CHIN KENT LAKE

Kuala Lumpur
26 July 2024

LEE LI CHAIN

STATUTORY DECLARATION

I, Lee Li Chain, being the Director primarily responsible for the financial management of Hong Seng Consolidated Berhad, do solemnly and sincerely declare that to the best of my knowledge and belief, the financial statements set out on pages 83 to 165 are correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the abovenamed at Kuala Lumpur in)
the Federal Territory this day of)
26 July 2024)

LEE LI CHAIN
(MIA NO.: 22634)
CHARTERED ACCOUNTANT

Before me,

Commissioner for Oaths

RAMATHILAGAM A/P T. RAMASAMY (W671)

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HONG SENG CONSOLIDATED BERHAD

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Hong Seng Consolidated Berhad, which comprise the statements of financial position as at 31 March 2024 of the Group and of the Company, statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial period from 1 October 2022 to 31 March 2024, including a summary of significant accounting policies and other explanatory information, as set out on pages 83 to 165.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Company as of 31 March 2024, their financial performance and cash flows for the financial period from 1 October 2022 to 31 March 2024 in accordance with Malaysian Financial Reporting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, are of most significance in our audit of the financial statements of the Group and of the Company for the current financial period. These matters were addressed in the context of our audit of the financial statements of the Group and of the Company as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Group

Impairment of trade receivables

The risk – In accordance with the impairment requirements under MFRS 9, the management is required to apply forward-looking approach in assessing the impairment of trade receivables. Broader range of information is considered including past events, current conditions, reasonable and supportable forecasts that affect the expected collectability of the future cashflows of trade receivables are applied to calculate the expected credit losses using a provision matrix.

We identified impairment of trade receivables as a significant risk requiring special audit consideration. This is because the Group's trade receivables are material to the financial statements.

Our responses – In addressing this area of focus, we assessed the validity of material receivables by obtaining third-party confirmations of amounts owing. We also considered payments received subsequent to year-end, past payment history and unusual patterns to identify potentially impaired balances. To address the risk of management bias, we evaluated the results of our procedures against audit procedures on other key balances to assess whether or not there was an indication of bias.

INDEPENDENT AUDITORS' REPORT (CONT'D) TO THE MEMBERS OF HONG SENG CONSOLIDATED BERHAD

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Key Audit Matters (Cont'd)

Group (Cont'd)

Impairment of trade receivables (Cont'd)

The assessment of the appropriateness of the provision for trade receivables comprised a variety of audit procedures across the Group including:-

- Challenging the appropriateness and reasonableness of the assumptions applied in the assessment of the receivables allowance;
- Consideration and concurrence of the agreed payment terms;
- Verification of receipts from trade receivables subsequent to period-end; and
- Considered the completeness and accuracy of the disclosures.

The Group's disclosures regarding impairment of trade receivables are included in Notes 12 and 33 to the Financial Statements.

Impairment of property, plant and equipment

The risk – There were indications that the carrying amounts of the Group's property, plant and equipment would exceed their recoverable amounts and therefore the carrying amounts had to be impaired. The recoverable amount is the higher of an asset's fair value less costs of disposal and its value in use.

We identified the Group's property, plant and equipment as a key audit matter because of its significance to total assets in the consolidated financial statements and the estimation of recoverable amounts involving a significant degree of judgement and assumptions made by the Group such as estimated fair values of the property, plant and equipment as provided by the management or external valuer.

Our response – In addressing this area of audit focus, we performed amongst others, the following procedures:

- obtained an understanding on the management's assessment on the recoverability of the property, plant and equipment;
- evaluated the appropriateness of the methodology and approach applied;
- evaluated and interviewed the external valuer on the competence, capabilities and objectivity and obtained an understanding of the valuation model used; and
- compared the valuation with recent transactions involving similar assets.

The Group's disclosures about property, plant and equipment are included in Note 4 to the Financial Statements.

Group and Company

Impairment of investment in an associate company

The risk – Significant judgements are required by the Directors in assessing the recoverability of the investment in an associate company. This is based on the value-in-use using discounted cash flow projections, covering a five-year period for the associate company. The assumptions with the most significant judgement on the discounted cash flow projections are growth rates, profit margins and discount rate.

Our responses – Our audit procedures included, among others, evaluating the assumptions and methodologies used by the Group and the Company, in particular those relating to the forecasted revenue growth, expenses and profit margins. We checked for additional impairment indicators by reading Board's minutes, holding regular discussions with the management and examining the performance of the associate company. We also focused on the adequacy of the Group's and the Company's disclosures about those assumptions that have the most significant effect on the determination of the recoverable amount of investment in the associate company.

The Group's and the Company's disclosures regarding impairment of investment in an associate company are included in Note 9 to the Financial Statements.

INDEPENDENT AUDITORS' REPORT (CONT'D) TO THE MEMBERS OF HONG SENG CONSOLIDATED BERHAD

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Information Other than the Financial Statements and Auditors' Report Thereon

The Directors of the Company are responsible for the other information. The other information comprise the information included in the annual report but does not include the financial statements of the Group and of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements of the Group and of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:-

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

INDEPENDENT AUDITORS' REPORT (CONT'D) TO THE MEMBERS OF HONG SENG CONSOLIDATED BERHAD

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Auditors' Responsibilities for the Audit of the Financial Statements (Cont'd)

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Company for the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

GRANT THORNTON MALAYSIA PLT
(201906003682 & LLP0022494-LCA)
CHARTERED ACCOUNTANTS (AF 0737)

KHO KIM ENG
(NO: 03137/10/2024 J)
CHARTERED ACCOUNTANT

Kuala Lumpur
26 July 2024

STATEMENTS OF FINANCIAL POSITION

AS AT 31 MARCH 2024

		Group		Company	
	Note	31.3.2024 RM	30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
ASSETS					
Non-current assets					
Property, plant and equipment	4	84,128,682	131,691,143	11,558	48,572
Investment properties	5	43,855,991	-	-	-
Intangible assets	6	-	-	-	-
Investment in subsidiary companies	7	-	-	30,593,352	10,614,010
Investment in a joint venture company	8	-	-	-	-
Investment in associate companies	9	39,957,941	20,000	40,319,731	-
Goodwill on consolidation	10	-	6,083,027	-	-
Other investments	11	35,904,787	9,520,033	9,519,943	9,519,943
Trade receivables	12	15,000,000	2,000,000	-	-
Fixed deposits with licensed banks	13	-	2,319,629	-	-
Total non-current assets		218,847,401	151,633,832	80,444,584	20,182,525
Current assets					
Inventories	14	5,264,016	23,915,967	-	-
Trade receivables	12	85,132,933	166,229,641	-	-
Other receivables	15	13,575,978	14,358,821	65,187	36,129,903
Amount due from subsidiary companies	7	-	-	179,370,196	291,366,045
Amount due from a joint venture company	8	-	53,117	-	41,000
Amount due from an associate company	9	621	269,473	-	-
Tax recoverable		4,382,597	1,049,600	6,787	-
Fixed deposits with licensed banks	13	206,906	247,818	-	-
Cash and bank balances		18,461,539	74,181,222	4,215,316	5,502,748
Total current assets		127,024,590	280,305,659	183,657,486	333,039,696
Total assets		345,871,991	431,939,491	264,102,070	353,222,221
EQUITY AND LIABILITIES					
EQUITY					
Equity attributable to owners of the Company					
Share capital	16	251,446,486	251,446,486	251,446,486	251,446,486
Irredeemable convertible preference shares	17	35,878	35,878	35,878	35,878
Fair value reserve	18	(1,714,847)	(863,432)	(863,432)	(863,432)
Foreign currency translation reserve	19	76,907	-	-	-
Retained earnings		49,427,631	137,707,582	7,116,753	92,009,691
		299,272,055	388,326,514	257,735,685	342,628,623
Non-controlling interests	7	5,656,626	2,796,231	-	-
Total equity		304,928,681	391,122,745	257,735,685	342,628,623

STATEMENTS OF FINANCIAL POSITION (CONT'D)

AS AT 31 MARCH 2024

		Group		Company	
	Note	31.3.2024 RM	30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
LIABILITIES					
Non-current liabilities					
Lease liabilities	20	10,787,534	558,951	-	-
Deferred tax liabilities	21	32,231	927,631	-	-
Bank borrowings	22	10,336,539	12,318,861	-	-
Total non-current liabilities		21,156,304	13,805,443	-	-
Current assets					
Trade payables	23	2,588,054	8,911,416	-	-
Other payables	24	14,606,995	11,097,676	404,857	299,045
Amount due to subsidiary companies	7	-	-	5,961,528	10,294,553
Lease liabilities	20	1,025,060	374,205	-	-
Bank borrowings	22	1,362,716	1,290,592	-	-
Tax payable		204,181	5,337,414	-	-
Total current liabilities		19,787,006	27,011,303	6,366,385	10,593,598
Total liabilities		40,943,310	40,816,746	6,366,385	10,593,598
Total equity and liabilities		345,871,991	431,939,491	264,102,070	353,222,221

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

	Note	Group		Company	
		1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Revenue	25	22,422,037	198,400,746	-	72,261,000
Cost of sales		(56,368,953)	(112,431,964)	-	-
Gross (loss)/profit		(33,946,916)	85,968,782	-	72,261,000
Other income	26	7,153,786	69,062,489	5,706,814	805,907
Interest income		1,007,490	830,497	479,951	393,671
(Impairment losses)/Reversal of impairment losses on financial assets		(14,476,524)	(6,754,478)	12,710,882	12,235,527
Fair value gain on other investments		8,659,822	-	-	-
Selling and distribution expenses		(426,842)	(1,459,820)	-	-
Administration expenses		(20,851,102)	(23,403,292)	(2,424,117)	(2,743,114)
Other expenses		(44,208,315)	(4,907,926)	(101,183,253)	(3,387,412)
Finance costs		(1,818,665)	(631,357)	-	-
Share of results of associate companies		(457,689)	465,168	-	-
(Loss)/Profit before tax	27	(99,364,955)	119,170,063	(84,709,723)	79,565,579
Tax (expense)/income	28	(910,536)	(16,798,055)	(183,215)	8,335
Net (loss)/profit for the financial period/year		(100,275,491)	102,372,008	(84,892,938)	79,573,914
Other comprehensive (loss)/income					
Item that will not be subsequently reclassified to profit or loss:					
– Loss in fair value on other investments		(1,001,415)	-	-	-
Item that will be subsequently reclassified to profit or loss:					
– Foreign currency translation reserve		76,907	-	-	-
Total comprehensive (loss)/income for the financial period/year		(101,199,999)	102,372,008	(84,892,938)	79,573,914

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME (CONT'D) FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

		Group		Company	
		1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Net (loss)/profit for the financial period/year attributable to:					
Owners of the Company		(91,837,134)	97,191,503	(84,892,938)	79,573,914
Non-controlling interests		(8,438,357)	5,180,505	-	-
		(100,275,491)	102,372,008	(84,892,938)	79,573,914
Total comprehensive (loss)/income attributable to:					
Owners of the Company		(92,611,642)	97,191,503	(84,892,938)	79,573,914
Non-controlling interests		(8,588,357)	5,180,505	-	-
		(101,199,999)	102,372,008	(84,892,938)	79,573,914
(Loss)/earnings per ordinary share attributable to equity holders of the Company (sen)					
– Basic Diluted	29	(1.80)	1.90		
– Diluted	29	*	1.43		

* Anti-diluted in nature

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY

FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

	Attributable to Owners of the Company						
	Non-distributable			Foreign currency translation reserve			
	Irredeemable preference shares	Fair value reserve					
	RM	RM	RM	RM	RM	RM	RM
Group							
Balance at 1 October 2021	250,615,397	56,765	(863,432)	-	22,608,174	272,416,904	294,308,894
Net profit/Total comprehensive income for the financial year	-	-	-	-	97,191,503	97,191,503	102,372,008
Transactions with owners:							
Conversion of irredeemable convertible preference shares	83,550	(20,887)	-	-	-	62,663	62,663
Exercise of warrants	747,539	-	-	-	-	747,539	747,539
Issuance of shares by subsidiary companies to non-controlling interests	-	-	-	-	-	-	6,000,490
Disposal of subsidiary companies	-	-	-	-	-	-	(5,369,854)
Derecognition of subsidiary companies	-	-	-	-	-	-	(5,470,905)
Changes in subsidiary companies' ownership interests that did not result in a loss of control	-	-	-	-	17,907,905	17,907,905	10,779,910
Dividends received by non-controlling interests	-	-	-	-	-	-	(12,308,000)
Total transactions with owners	831,089	(20,887)	-	-	17,907,905	18,718,107	(5,558,157)

Attributable to Owners of the Company

	Non-distributable						
	Irredeemable			Foreign currency translation reserve			
	Share capital RM	Preference shares RM	Fair value reserve RM	Retained earnings RM	Total RM	Non-controlling interests RM	
Group							
Balance at 30 September 2022	251,446,486	35,878	(863,432)	-	137,707,582	391,122,745	
Net loss for the financial period	-	-	-	-	(91,837,134)	(8,438,357)	
Other comprehensive income for the financial period:							
- Loss in fair value on other investments	-	-	(851,415)	-	(851,415)	(1,001,415)	
- Share of foreign currency translation difference of an associate company	-	-	-	76,907	76,907	-	
Total comprehensive (loss)/income for the financial period	--	--	(851,415)	76,907	(92,611,642)	(8,588,357)	
Transactions with owners:							
Struck off of a subsidiary company	-	-	-	-	-	5,935	
Changes in subsidiary companies' ownership interests that did not result in a loss of control	-	-	-	3,557,183	3,557,183	15,000,000	
Total transactions with owners	-	-	-	3,557,183	3,557,183	15,005,935	
Balance at 31 March 2024	251,446,486	35,878	(1,714,847)	76,907	299,272,055	304,928,681	

STATEMENTS OF CHANGES IN EQUITY (CONT'D)
FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

	Attributable to Owners of the Company				
	Non-distributable				
	Share capital	Irredeemable convertible preference shares	Fair value reserve	Retained earnings	Total
	RM	RM	RM	RM	RM
Company					
Balance at 1 October 2021	250,615,397	56,765	(863,432)	12,435,777	262,244,507
Net profit/Total comprehensive income for the financial year	-	-	-	79,573,914	79,573,914
Transactions with owners:					
Conversion of irredeemable convertible preference shares	83,550	(20,887)	-	-	62,663
Exercise of warrants	747,539	-	-	-	747,539
Total transactions with owners	831,089	(20,887)	-	-	810,202
Balance at 30 September 2022	251,446,486	35,878	(863,432)	92,009,691	342,628,623
Net loss/Total comprehensive loss for the financial period	-	-	-	(84,892,938)	(84,892,938)
Balance at 31 March 2024	251,446,486	35,878	(863,432)	7,116,753	257,735,685

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

Note	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
OPERATING ACTIVITIES				
(Loss)/Profit before tax	(99,364,955)	119,170,063	(84,709,723)	79,565,579
Adjustments for:				
Amortisation of intangible assets	-	3,000,000	-	-
Bad debts written off	3,063	-	-	-
Deposits written off	94,190	12,440	-	-
Depreciation of property, plant and equipment	18,016,621	7,418,075	37,014	24,534
Depreciation of investment properties	41,147	-	-	-
Gain on derecognition of lease contracts	(2,233)	-	-	-
Gain on derecognition of subsidiary companies	-	(36,184,146)	-	-
Gain on disposal of subsidiary companies	(483,340)	(17,369,229)	-	(805,907)
Gain on disposal of non-current asset held for sale	(5,145,000)	-	(5,145,000)	-
Gain on disposal of other investments	(395,894)	(9,210,015)	-	-
Gain on disposal of property, plant and equipment	(15,208)	(764,203)	-	-
(Gain)/loss on disposal of associate companies	-	(1,579,026)	-	805,806
Loss on deemed disposal of an associate company	1,008	-	-	-
Loss on struck off of subsidiary companies	1,246,157	-	62,599	-
Impairment loss on investment in an associate company	20,000,000	-	20,000,000	-
Impairment loss on investment in subsidiary companies	-	-	81,120,654	2,561,000
Impairment loss on amount due from an associate company	274,409	180,000	-	-
Impairment loss on trade receivables (net)	13,894,483	6,366,478	-	-
Impairment loss on other receivables	307,632	208,000	-	-
Net reversal of impairment loss on amount due from subsidiary companies	-	-	(12,710,882)	(12,235,527)
Impairment loss on goodwill on consolidation	6,085,272	2,000,000	-	-
Impairment loss on property, plant and equipment	10,565,560	-	-	-
Fair value gain on other investments	(8,659,822)	-	-	-
Interest expenses	1,818,665	631,357	-	-
Interest income	(1,007,490)	(830,497)	(479,951)	(393,671)
Inventories written down	1,811,921	2,800,000	-	-
Inventories written off	339,067	113	-	-
Property, plant and equipment written off	4,146,521	106,953	-	20,606
Share of results of associate companies	457,689	(465,168)	-	-
Unrealised (gain)/loss on foreign exchange	(123)	860	-	-
Dividend income	-	-	-	(72,261,000)
Operating (loss)/profit before working capital changes	(35,970,660)	75,492,055	(1,825,289)	(2,718,580)
Changes in working capital:				
Inventories	15,639,581	(14,215,545)	-	-
Receivables	53,576,703	(141,801,902)	(62,572)	5,049,650
Payables	2,529,407	(4,993,670)	105,812	33,983
Cash generated from/(used in) operations	35,775,031	(85,519,062)	(1,782,049)	2,365,053
Interest paid	(1,818,665)	(631,357)	-	-
Tax refunded	776,274	-	-	-
Tax paid	(11,062,040)	(11,880,559)	(190,002)	(27,052)
Net cash from/(used in) operating activities	23,670,600	(98,030,978)	(1,972,051)	2,338,001

STATEMENTS OF CASH FLOWS (CONT'D)
FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

	Note	Group		Company	
		1.10.2022	1.10.2021	1.10.2022	1.10.2021
		to	to	to	to
		31.3.2024	30.9.2022	31.3.2024	30.9.2022
		RM	RM	RM	RM
INVESTING ACTIVITIES					
Acquisition of shares in subsidiary companies		590,006	(3,107,107)	-	(3,099,902)
Acquisition of non-controlling interests		-	10,779,910	-	-
Repayment from/(Advances to) a joint venture company		-	(27,617)	41,000	(16,000)
Advances to an associate company		(5,557)	(449,473)	-	-
Net repayment from/(advances to) subsidiary companies		-	-	8,544,136	(145,308,685)
Dividend received		-	-	36,127,288	36,133,712
Interest received		1,007,490	830,497	479,951	393,671
Investment in an associate company		(60,319,731)	(99,900)	(60,319,731)	(48,900)
Net cash (outflow)/inflow from disposal of subsidiary companies		(3,108,690)	25,173,026	-	-
Net cash inflow from derecognition of subsidiary companies		-	26,408,117	-	-
Proceeds from disposal of a subsidiary company		-	-	-	100
Proceeds from disposal of associate companies		-	3,149,001	-	49,001
Proceeds from disposal of other investments		1,591,667	11,000,000	-	-
Net proceeds from disposal of non-current asset held for sale		5,145,000	-	5,145,000	-
Proceeds from disposal of property, plant and equipment		363,257	1,005,840	-	-
Purchase of property, plant and equipment	A	(16,501,420)	(34,816,125)	-	(31,263)
Purchase of other investments		(19,922,120)	-	-	-
Purchase of investment properties		(2,737,023)	-	-	-
Acquisition by non-controlling interests in the shares of subsidiary companies		15,000,000	6,000,490	15,000,000	-
Net cash (used in)/from investing activities		(78,897,121)	45,846,659	5,017,644	(111,928,266)
FINANCING ACTIVITIES					
Net (repayment to)/advances from subsidiary companies		-	-	(4,333,025)	8,565,995
Dividends paid to non-controlling interests		-	(12,308,000)	-	-
Repayment of bank borrowings		(1,910,198)	(15,634,273)	-	-
Uplift of fixed deposits pledged		2,364,629	1,837,158	-	-
Proceeds from issuance of shares, net of share issuance expenses		-	810,202	-	810,202
Repayment of lease liabilities		(943,628)	(464,347)	-	-
Net cash (used in)/from financing activities		(489,197)	(25,759,260)	(4,333,025)	9,376,197
CASH AND CASH EQUIVALENTS					
Net changes		(55,715,718)	(77,943,579)	(1,287,432)	(100,214,068)
Net effect of foreign currency translation differences on cash and cash equivalents		123	(860)	-	-
At beginning of financial period/year		74,384,040	152,328,479	5,502,748	105,716,816
At end of financial period/year	B	18,668,445	74,384,040	4,215,316	5,502,748

STATEMENTS OF CASH FLOWS (CONT'D)

FOR THE FINANCIAL PERIOD FROM 1 OCTOBER 2022 TO 31 MARCH 2024

NOTES TO THE STATEMENTS OF CASH FLOWS

A. PURCHASE OF PROPERTY, PLANT AND EQUIPMENT

	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Total acquisition cost	28,384,462	35,735,404	-	31,263
Less: Additions of right-of-use assets with lease liabilities	(11,883,042)	(919,279)	-	-
Total cash acquisition	16,501,420	34,816,125	-	31,263

B. CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the statements of cash flows comprise the following:-

	Group		Company	
	31.3.2024 RM	30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
Fixed deposits with licensed banks	206,906	2,567,447	-	-
Cash and bank balances	18,461,539	74,181,222	4,215,316	5,502,748
	18,668,445	76,748,669	4,215,316	5,502,748
Less: Fixed deposits pledged	-	(2,364,629)	-	-
	18,668,445	74,384,040	4,215,316	5,502,748

C. CASH OUTFLOWS FOR LEASES AS A LESSEE

	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Payment relating to short-term leases	565,012	150,496	13,860	7,840
Interest paid in relation to lease liabilities	508,839	66,346	-	-
Repayment of lease liabilities	943,628	464,347	-	-
Total cash outflows for leases	2,017,479	681,189	13,860	7,840

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENT

31 MARCH 2024

1. GENERAL INFORMATION

The Company is a public limited liability company, incorporated and domiciled in Malaysia and listed on the Main Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at Third Floor, No. 77, 79 & 81, Jalan SS21/60, Damansara Utama, 47400 Petaling Jaya, Selangor Darul Ehsan. The principal place of business of the Company is located at C-01-3, Block C, Plaza Glomac, No. 6, Jalan SS7/19, Kelana Jaya, 47301 Petaling Jaya, Selangor Darul Ehsan.

The Company operates as an investment holding company.

The principal activities of its subsidiary companies are disclosed in Note 7 to the Financial Statements.

There have been no significant changes in the nature of these activities of the Company and of its subsidiary companies during the financial period.

On 21 July 2023, the Company changed its financial year end from 30 September to 31 March to facilitate the financial reporting.

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the Board of Directors on 26 July 2024.

2. BASIS OF PREPARATION**2.1 Statement of compliance**

The financial statements of the Group and of the Company have been prepared in accordance with Malaysian Financial Reporting Standards ("MFRS"), IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia.

2.2 Basis of measurement

The financial statements of the Group and of the Company are prepared under the historical cost convention, unless otherwise indicated in the summary of significant accounting policies.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible to by the Group and the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial market takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group and the Company use valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

2. BASIS OF PREPARATION (CONT'D)

2.2 Basis of measurement (Cont'd)

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to their fair value measurement as a whole:-

- (a) Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- (b) Level 2 - Valuation techniques for which the lowest level input that is significant to their fair value measurement is directly or indirectly observable.
- (c) Level 3 - Valuation techniques for which the lowest level input that is significant to their fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group and the Company determine whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to their fair value measurement as a whole) at the end of each reporting date.

For the purpose of fair value disclosures, the Group and the Company have determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of fair value hierarchy as explained above.

2.3 Functional and presentation currency

The financial statements are presented in Ringgit Malaysia ("RM") which is the Company's functional currency and all values are rounded to the nearest RM except when otherwise stated.

2.4 Adoption of amendments/improvements to MFRSs

The Group and the Company have consistently applied the accounting policies set out in Note 3 to all period/year presented in these financial statements.

At the beginning of the current financial period, the Group and the Company adopted amendments/improvements to MFRSs which are mandatory for the current financial period.

Initial application of the amendments/improvements to the standards did not have material financial impact to the financial statements of the Group and of the Company.

2.5 Standards issued but not yet effective

The Group and the Company have not applied the following MFRSs and amendments to MFRSs that have been issued by the Malaysian Accounting Standards Board ("MASB") but are not yet effective for the Group and the Company:

MFRS and Amendments to MFRSs effective 1 January 2023:

Amendments to MFRS 4*#	Insurance Contracts - Extension of the Temporary Exemption from Applying MFRS 9
MFRS 17*# and Amendments to MFRS 17*#	Insurance Contracts and Amendments to MFRS 17 Insurance Contracts
Amendments to MFRS 17*#	Initial Application of MFRS 17 and MFRS 9 – Comparative Information
Amendments to MFRS 101	Presentation of Financial Statements - Disclosure of Accounting Policies
Amendments to MFRS 108	Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates
Amendments to MFRS 112*	Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

2. BASIS OF PREPARATION (CONT'D)

2.5 Standards issued but not yet effective (Cont'd)

The Group and the Company have not applied the following MFRSs and amendments to MFRSs that have been issued by the Malaysian Accounting Standards Board ("MASB") but are not yet effective for the Group and the Company: (Cont'd)

Amendments to MFRSs effective 1 January 2024:

Amendments to MFRS 16*#	Leases - Lease Liability in a Sale and Leaseback
Amendments to MFRS 101*	Presentation of Financial Statements - Non-current Liabilities with Covenants
Amendments to MFRS 101	Presentation of Financial Statements - Classification of Liabilities as Current or Non-Current
Amendments to MFRS 107*# and MFRS 7*#	Statement of Cash Flows and Financial Instruments: Disclosures - Supplier Finance Arrangements

Amendments to MFRS effective 1 January 2025:

Amendments to MFRS 121*	The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability
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Amendments to MFRSs effective 1 January 2026:

Amendments to MFRS 9 and MFRS 7	Amendments to the Classification and Measurement of Financial Instruments
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MFRSs effective 1 January 2027:

MFRS 18	Presentation and Disclosure in Financial Statements
MFRS 19*#	Subsidiaries without Public Accountability: Disclosures

Amendments to MFRSs - effective date deferred indefinitely:

Amendments to MFRS 10*# and 128*#	Consolidated Financial Statements and Investments in Associates and Joint Ventures - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture
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* Not applicable to Company's operations

Not applicable to Group's operations

The initial application of the above standards and amendments are not expected to have any material financial impacts to the financial statements.

2.6 Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's and the Company's accounting policies and reported amounts of assets, liabilities, income, expenses and disclosures made. Estimates and underlying assumptions are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances. The actual results may differ from the judgements, estimates and assumptions made by management and will seldom equal the estimated results.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**2. BASIS OF PREPARATION (CONT'D)****2.6 Significant accounting estimates and judgements (Cont'd)****2.6.1 Estimation uncertainty**

Information about significant estimates and assumptions that have the most significant effect on recognition and measurement of assets, liabilities, income and expenses are discussed below.

Useful lives of depreciable assets

Management estimates the useful lives of the property, plant and equipment, right-of-use assets and investment properties to be within 2 to 83 years and reviews the useful lives of depreciable assets at each reporting date. As at 31 March 2024, management assesses that the useful lives represent the expected utility of the assets to the Group and the Company. Actual results, however, may vary due to change in the expected level of usage and technological developments, which resulting the adjustment to the Group's and the Company's assets.

Impairment of non-financial assets

An impairment loss is recognised for the amount by which the asset's or cash-generating unit's carrying amount exceeds its recoverable amount. To determine the recoverable amount, management estimates expected future cash flows from each cash-generating unit and determines a suitable interest rate in order to calculate the present value of those cash flows. In the process of measuring expected future cash flows, management makes assumptions about future operating results. The actual results may vary, and may cause significant adjustments to the Group's and the Company's assets within the next financial year.

In most cases, determining the applicable discount rate involves estimating the appropriate adjustment to market risk and the appropriate adjustment to asset-specific risk factors.

Provision for expected credit losses ("ECLs") of receivables

The Group and the Company use a provision matrix to calculate ECLs for trade and other receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e. by geography, product type, customer type and rating, coverage by letters of credit and other forms of credit insurance).

The provision matrix is initially based on the Group's and the Company's historical observed default rates. The Group and the Company will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e. gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's and the Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Group's trade receivables is disclosed in Note 33 to the Financial Statements.

Inventories

Inventories are measured at the lower of cost and net realisable value. In estimating net realisable values, management takes into account the most reliable evidence available at the time the estimates are made. The Group's core business is subject to economical and technological changes which may cause selling price to change rapidly and the Group's result to change.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**2. BASIS OF PREPARATION (CONT'D)****2.6 Significant accounting estimates and judgements (Cont'd)****2.6.1 Estimation uncertainty (Cont'd)**Leases - Estimating the incremental borrowing rate

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate ("IBR") to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group "would have to pay", which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease.

Income taxes and deferred tax liabilities

Significant judgement is involved in determining the Group's and the Company's provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group and the Company recognise tax liabilities based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period/year in which such determination is made.

2.6.2 Significant management judgement

The following are the significant management judgements in applying the accounting policies of the Group that have the most significant effect on the financial statements.

Classification between investment properties and owner-occupied properties

The Group determines whether a property qualifies as an investment property, and has developed criteria in making that judgement. Investment property is a property held to earn rentals or for capital appreciation or both. Therefore, the Group considers whether a property generates cash flows largely independently of the other assets held by the Group.

Some properties comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. The Group accounts for the portions separately if the portions could be sold separately (or leased out separately under a finance lease). If the portions could not be sold separately, the property is an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes.

Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as an investment property.

Determining the lease term of contracts with renewal options

The Group determines the lease term with any periods covered by an option to extend the lease if it is reasonably certain to be exercised. The Group has lease contracts that include extension options. The Group applies judgement in evaluating whether to exercise the option to renew the lease. It considers all relevant factors that create an economic incentive for it to exercise the renewal option. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew.

The Group includes the renewal period as part of the lease term for such leases. The Group typically exercises its option to renew for leases with renewal option.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

3. SIGNIFICANT ACCOUNTING POLICIES

The Group and the Company apply the significant accounting policies, as summarised below, consistently throughout all period/year presented in the financial statements.

3.1 Consolidation

3.1.1 Subsidiary companies

Subsidiary companies are entities, including structured entities, controlled by the Company. Control exists when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Potential voting rights are considered when assessing control only when such rights are substantive. Besides, the Group considers it has de facto power over an investee when, despite not having the majority of voting rights, it has the current ability to direct the activities of the investee that significantly affect the investee's return.

Investment in subsidiary companies is stated at cost less any impairment losses in the Company's financial position, unless the investment is held for sale or distribution.

Upon the disposal of investment in a subsidiary company, the difference between the net disposal proceeds and its carrying amount is included in profit or loss.

3.1.2 Basis of consolidation

The Group's financial statements consolidate the audited financial statements of the Company and all of its subsidiary companies which have been prepared in accordance with the Group's accounting policies.

Amounts reported in the financial statements of subsidiary companies have been adjusted where necessary to ensure consistency with the accounting policies adopted by the Group.

The financial statements of the Company and its subsidiary companies are all drawn up to the same reporting period/year.

All intra-group balances, income and expenses and unrealised gains and losses resulting from intra-group transactions are eliminated in full.

Subsidiary companies are consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases.

Changes in the Group's ownership interest in a subsidiary company that do not result in a loss of control are accounted for as equity transactions. In such circumstances, the carrying amounts of the controlling and non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiary company. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the owners of the parent.

3.1.3 Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether it measures the non-controlling interests in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition costs incurred are expensed and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.1 Consolidation (Cont'd)****3.1.3 Business combinations and goodwill (Cont'd)**

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Subsequent changes in the fair value of the contingent consideration which is deemed to be an asset or liability will be recognised either in profit or loss or as a change to other comprehensive income. If the contingent consideration is classified as equity, it will not be remeasured. Subsequent settlement is accounted for within equity. In instances, where the contingent consideration does not fall within the scope of MFRS 9, it is measured in accordance with the appropriate MFRS.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary company acquired, the difference is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash-generating unit retained.

3.1.4 Loss of control

Upon the loss of control of a subsidiary company, the Group derecognises the assets and liabilities of the subsidiary company, any non-controlling interests and the other components of equity related to the subsidiary company. Any surplus or deficit arising on the loss of control is recognised in profit or loss.

If the Group retains any interest in the previous subsidiary company, then such interest is measured at fair value at the date that control is lost and accounted for as equity accounted investee or as financial asset depending on the level of influence retained.

3.1.5 Non-controlling interests

Non-controlling interests at the reporting date, being the equity in a subsidiary company not attributable directly or indirectly to the owners of the Company, are presented in the consolidated statement of financial position and statement of changes in equity within equity, separately from equity attributable to the owners of the Company.

Non-controlling interests in the results of the Group is presented in the consolidated statement of profit or loss and other comprehensive income as an allocation of the profit or loss and the comprehensive income for the year between non-controlling interests and the owners of the Company.

Losses applicable to the non-controlling interests in a subsidiary company are allocated to the non-controlling interests even if that results in a deficit balance.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.1 Consolidation (Cont'd)****3.1.6 Associate and joint venture companies**

Associate companies are entities in which the Group has significant influence but no control, over their financial and operating policies.

A joint venture company is a type of joint arrangement whereby the parties have joint control of the arrangement have rights to the net assets of the joint venture. Joint control is contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The Group's investments in its associate companies and joint venture company are accounted for using the equity method. Under the equity method, investment in an associate company or a joint venture company is carried in the statement of financial position at cost plus post acquisition changes in the Group's share of net assets of the associate company or joint venture company since the acquisition date. Goodwill relating to the associate company or joint venture company is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The share of the result of an associate company or a joint venture company is reflected in profit or loss. Any change in other comprehensive income of those investees is presented as part of the Group's other comprehensive income. In addition, where there has been a change recognised directly in the equity of an associate company or a joint venture company, the Group recognises its share of any changes and discloses this, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associate company or joint venture company are eliminated to the extent of the interest in the associate company or joint venture company.

The aggregate of the Group's share of profit or loss of an associate company and a joint venture company is shown on the face of the statement of profit or loss and other comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate company or joint venture company.

When the Group's share of losses exceeds its interest in an associate company or a joint venture company, the carrying amount of that interest including any long-term investment is reduced to zero and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the associate company or the joint venture company.

The financial statements of the associate company and joint venture company are prepared as of the same reporting period as the Company. Where necessary, adjustments are made to bring the accounting policies of the associate company or joint venture company in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an additional impairment loss on the Group's investments in its associate company or joint venture company.

The Group determines at each end of the reporting period whether there is any objective evidence that the investments in the associate company or joint venture company is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate company or joint venture company and their carrying values, then recognises the amount in the "share of profit of investments accounted for using the equity method" in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.1 Consolidation (Cont'd)****3.1.6 Associate and joint venture companies (Cont'd)**

Upon loss of significant influence over the associate company or joint control over the joint venture company, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate company or joint venture company upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

When the Group's interest in an associate company decreases but does not result in a loss of significant influence, any retained interest is not re-measured. Any gain or loss arising from the decrease in interest is recognised in profit or loss. Any gains or losses previously recognised in other comprehensive income are also reclassified proportionately to the profit or loss if that gain or loss would be required to be reclassified to profit or loss on the disposal of the related assets or liabilities.

In the Company's separate financial statements, investments in an associate company and a joint venture company are stated at cost less impairment losses. On disposal of such investments, the difference between net disposal proceeds and their carrying amounts is included in profit or loss.

3.2 Foreign currency translation**3.2.1 Foreign currency transactions and balances**

Transactions in foreign currencies are initially recorded at the functional currency rates prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

Non-monetary assets and liabilities measured at historical cost in a foreign currency at the end of the reporting period are translated to the functional currency at the exchange rate at the date of the transaction except for those measured at fair value shall be translated at the exchange rate at the date when the fair value was determined.

Exchange differences arising from the settlement of foreign currency transactions and from the translation of foreign currency monetary assets and liabilities are recognised in profit or loss.

Exchange differences arising on the translation of non-monetary items carried at fair value are included in profit or loss for the period except for the differences arising on the translation of non-monetary items in respect of which gains or losses are recognised directly in other comprehensive income.

3.2.2 Foreign operations

The assets and liabilities of foreign operations are translated to RM at exchange rates at the end of the reporting period. The income and expenses of foreign operations are translated to RM at exchange rates at the dates of the transactions.

Exchange differences are recognised in other comprehensive income and accumulated in the foreign currency translation reserve ("FCTR") in equity. However, if the operation is a non-wholly owned subsidiary, then the relevant proportionate share of the exchange difference is allocated to the non-controlling interests. When a foreign operation is disposed of such that control, the significant influence or joint control is lost, the cumulative amount in the FCTR related to the foreign operation is reclassified to profit or loss as part of the profit or loss on disposal.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.2 Foreign currency translation (Cont'd)****3.2.2 Foreign operations (Cont'd)**

When the Group disposes of only part of its investment in an associate or joint venture that includes a foreign operation while retaining significant influence or joint control, the relevant proportion of the cumulative amount is reclassified to profit or loss.

In the consolidated financial statements, when settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, foreign exchange gains and losses arising from such a monetary item are considered to form part of a net investment in a foreign operation and are recognised in other comprehensive income and are presented in the FCTR in equity.

3.3 Property, plant and equipment

All property, plant and equipment are measured at cost less accumulated depreciation and less any impairment losses. The cost of an item of property, plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Group and the Company and the cost of the item can be measured reliably.

Cost includes expenditures that are directly attributable to the acquisition of the assets and any other costs directly attributable to bring the assets to working condition for their intended use, cost of replacing component parts of the assets and the present value of the expected cost for the decommissioning of the assets after their use. All other repair and maintenance costs are recognised in profit or loss as incurred.

Property, plant and equipment are written down to recoverable amounts if, in the opinion of the Directors, it is less than their carrying values. Recoverable amount is the net selling price of the property, plant and equipment, that is, the amount obtained from the sale of an asset in an arm's length transaction between knowledgeable, willing parties less the costs of disposal.

Depreciation is recognised on the straight line method in order to write off the cost of each asset over its estimated useful life.

Property, plant and equipment are depreciated based on the estimated useful lives of the assets as follows:

Freehold buildings	2%
Tools and office equipment	10% – 33.33%
Furniture and fittings	8% – 20%
Factory equipment	10%
Laboratory and medical equipment	10% – 20%
Motor vehicles	20%
Computers	20% – 33.33%
Plant and machineries	10%
Renovations	10% – 20%
Leasehold improvements	10%

Freehold land with an infinite useful life is not depreciated. Work-in-progress consists of laboratory under construction and sublease of industrial land under construction/installation for intended use as production facilities. Assets under construction are not depreciated until they are completed and ready for their intended use.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.3 Property, plant and equipment (Cont'd)**

The residual values, useful lives and depreciation method are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable, or at least annually to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of property, plant and equipment.

Property, plant and equipment are derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains or losses arising on the disposal of property, plant and equipment are determined as the differences between the disposal proceeds and the carrying amounts of the assets and are recognised in profit or loss in the financial period/year in which the assets are derecognised.

3.4 Leases

The Group and the Company assess at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

3.4.1 As lessee

The Group and the Company apply a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

3.4.1.1 Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e. the date the underlying assets are available for use). Right-of-use assets are measured at cost less any accumulated depreciation and impairment losses and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:-

- Leasehold land – 51 to 53 years
- Leasehold buildings – 80 years
- Premises – 2 to 7 years
- Motor vehicles – 7 years

If ownership of the lease asset transfers to the Group at the end of the lease term or cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment review as detailed in Note 3.9 to the Financial Statements.

On the statements of financial position, right-of-use assets have been included in property, plant and equipment.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

3.4 Leases (Cont'd)

3.4.1 As lessee (Cont'd)

3.4.1.2 Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any incentives receivable and variable lease payments that depend on an index or a rate and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

3.4.1.3 Short-term leases and leases of low-value assets

The Group and the Company apply the short-term lease recognition exemption to their short-term leases. The Group and the Company also apply the leases of low-value assets recognition exemption to leases of that are considered to be low-value. Lease payments on short-term leases are recognised as expenses on a straight-line basis over the lease term.

3.4.2 As lessor

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and included in other income in the statements of profit or loss due to its operating nature. Contingent rents are recognised as revenue in the period/year in which they are earned.

3.5 Investment properties

Investment properties are properties which are owned to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Subsequent to initial recognition, investment properties are treated as long-term investments and are measured at cost less accumulated amortisation and impairment losses, if any. The carrying amount includes the cost of replacing part of existing investment properties at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of investment properties.

Amortisation on investment properties is computed on the straight-line basis in order to write off the cost over their estimated useful lives. The principal annual amortisation rate used is as follows:

Leasehold land and buildings

53 – 83 years

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.5 Investment properties (Cont'd)**

Investment properties are written down to recoverable amounts if, in the opinion of the Directors, it is less than their carrying values. Recoverable amount is the net selling price of the investment properties, that is, the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties less the costs of disposal.

Investment properties are derecognised when either they are disposed off or when they are permanently withdrawn from use and no future economic benefit is expected from the disposal. Any gain or loss on the retirement or disposal of investment properties are recognised in profit or loss in the period/year of retirement or disposal.

Transfers are made to or from investment properties only when there is a change in use. For a transfer from investment properties to owner-occupied properties, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied properties become investment properties, the Company accounts for such properties in accordance with the policy stated under property, plant and equipment up to the date of change.

3.6 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair values as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs and content database expenditure are not capitalised and the expenditure is reflected in the profit or loss in the period/year in which it incurred.

The useful life of intangible assets is assessed to be either finite or indefinite. Intangible assets with finite lives are amortised on straight-line basis over the estimated economic useful lives and assessed for impairment whenever there is an indication that the intangible assets may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and is treated as changes in accounting estimates. The amortisation expense on intangible assets with finite useful life is recognised in the profit or loss in the expense category consistent with the function of the intangible asset.

Intangible assets with indefinite useful life are tested for impairment annually or more frequently if the events or changes in circumstances indicate that the carrying values may be impaired either individually or at cash-generating unit level. Such intangibles are not amortised. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether the useful life assessment continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gain or loss arising from the derecognition of an intangible asset is measured as the difference between the net disposal proceeds and the carrying amount of the asset and is recognised in the profit or loss when the asset is derecognised.

3.6.1 Trademarks, customer lists and relationships

These intangible assets were acquired in a business combination. The useful lives of these intangible assets are estimated to be indefinite as based on the current market share of the trademarks, management believes that there is no foreseeable limit to the period over which trademarks, customer lists and relationships are expected to generate net cash inflows for the Group.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.6 Intangible assets (Cont'd)****3.6.2 Online platform**

Online platform expenditures are carried at cost less accumulated amortisation and any accumulated impairment losses. The online platform has a finite useful life and is amortised on a straight-line basis over 5 years. The expected useful life is assessed for impairment whenever there is an indication that the online platform's function may be impaired. The amortisation period and the amortisation method is reviewed at least at each reporting date.

3.7 Financial instruments

A financial instrument is any contract that give rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

3.7.1 Financial assets**Initial recognition and measurement**

Financial assets are classified at initial recognition as subsequently measured at amortised cost, fair value through other comprehensive income ("OCI") and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's and the Company's business model for managing them. The Group and the Company initially measure a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are "solely payments of principal and interest ("SPPI")" on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's and Company's business model for managing financial assets refers to how they manage their financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Financial assets are classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that required delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e. the date that the Group and the Company commit to purchase or sell the asset.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.7 Financial instruments (Cont'd)****3.7.1 Financial assets (Cont'd)****Subsequent measurement**

For purposes of subsequent measurement, financial assets are classified in four categories:-

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

At the reporting date, the Group and the Company carry financial assets at amortised cost, financial assets at fair value through OCI (equity instruments) and financial assets at fair value through profit or loss on their statements of financial position.

Financial assets at amortised cost ("Amortised cost")

Financial assets at amortised cost are subsequently measured using the effective interest rate ("EIR") method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired. The Group's and the Company's trade and other receivables, amounts due from subsidiary companies, a joint venture company, an associate company and cash and cash equivalents fall into this category of financial instruments.

Financial assets designated at fair value through OCI (equity instruments) ("FVOCI")

Upon initial recognition, the Group and the Company can elect to classify irrevocably its equity investments as equity instruments designated at FVOCI. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other income in the statements of profit or loss when the right of payment has been established, except when the Group or the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVOCI are not subject to impairment assessment.

The investment in unquoted shares fall into this category of financial instruments.

Financial assets at fair value through profit or loss ("FVTPL")

Financial assets that are held within a different business model other than "hold to collect" or "hold to collect and sell" are categorised at fair value through profit or loss. Further, irrespective of business model, financial assets whose contractual cash flow are not solely payments of principal and interest are accounted for at FVTPL. All derivative financial instruments fall into this category, except for those designated and effective as hedge accounting requirements apply.

Assets in this category is measured at fair value with gains or losses recognised in profit or loss. The fair values of financial assets in this category are determined by reference to active market exists.

The investment in quoted shares fall into this category of financial instruments.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.7 Financial instruments (Cont'd)****3.7.1 Financial assets (Cont'd)****Derecognition**

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised when:-

- The rights to receive cash flows from the asset have expired; or
- The Group and the Company have transferred their rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a "pass-through" arrangement and either (a) the Group and the Company have transferred substantially all the risks and rewards of the asset, or (b) the Group and the Company have neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group and the Company have transferred their rights to receive cash flows from an asset or has entered into a pass-through arrangement, they evaluate if, and to what extent, they have retained the risks and rewards of ownership. When they have neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group and the Company continue to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group and the Company also recognise an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group and the Company have retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group and the Company could be required to repay.

Impairment

The Group and the Company recognise an allowance for expected credit losses ("ECLs") on financial assets measured at amortised cost. Expected credit losses are a probability weighted estimate of credit losses.

The Group and the Company measure loss allowances at an amount equal to lifetime expected credit loss, except for debt securities that are determined to have low credit risk at the reporting date, cash and bank balance and other debt securities for which credit risk has not increased significantly since initial recognition, which are measured at 12-month expected credit loss.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating expected credit loss, the Group and the Company consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's and the Company's historical experience and informed credit assessment and including forward looking information, where available.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of the asset, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date. The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Group and the Company are exposed to credit risk.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.7 Financial instruments (Cont'd)****3.7.1 Financial assets (Cont'd)****Impairment (Cont'd)**

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

At each reporting date, the Group and the Company assess whether the financial assets carried at amortised cost is credit-impaired. A financial asset is credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group and the Company determine that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's and the Company's procedures for recovery of amounts due.

3.7.2 Financial liabilities**Initial recognition and measurement**

All financial liabilities are recognised initially at fair value and, in the case of borrowings and payables, net of directly attributable transaction costs.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories:-

- Financial liabilities at fair value through profit or loss
- Financial liabilities at amortised cost

At the reporting date, the Group and the Company carry only financial liabilities at amortised cost on their statements of financial position.

Financial liabilities at amortised cost

After initial recognition, carrying amounts are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statements of profit or loss.

The Group's and the Company's financial liabilities include bank borrowings, trade and other payables and amount due to subsidiary companies.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statements of profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.7 Financial instruments (Cont'd)****3.7.3 Offsetting of financial instruments**

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously.

3.8 Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, bank balances, short term demand deposits and fixed deposits with licensed banks which are readily convertible to known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the financial position, cash and cash equivalents restricted to be used to settle a liability of 12 months or more after the reporting date are classified as non-current.

3.9 Impairment of non-financial assets

The Group and the Company assess at each reporting date whether there is an indication that an asset may be impaired. If any indication exists or when annual impairment testing for an asset is required, the Group and the Company estimate the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's ("CGU") fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets.

Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiary companies or other available fair value indicators.

The Group and the Company base their impairment calculation on detailed budgets and forecast calculations which are prepared separately for each of the Group's and the Company's cash-generating units to which the individual assets are allocated. These budgets and forecast calculations are generally covering a period of five years. For longer periods, a long term growth rate is calculated and applied to project future cash flows after the fifth year.

Impairment losses of continuing operations, including impairment on inventories are recognised in the profit or loss in those expense categories consistent with the function of the impaired asset.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or cash-generating unit's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised.

The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.9 Impairment of non-financial assets (Cont'd)**

Goodwill is tested for impairment annually at each reporting date and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each cash-generating unit (or group of cash-generating units) to which the goodwill relates.

Where the recoverable amount of the cash-generating unit is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Intangible assets with indefinite useful lives are tested for impairment annually as at each reporting date, either individually or at the cash-generating unit level, as appropriate and when circumstances indicate that the carrying values may be impaired.

3.10 Equity, reserves and distributions to owners

An equity instrument is any contract that evidences a residual interest in the assets of the Group and the Company after deducting all of its liabilities. Ordinary shares are equity instruments.

Preference share capital is classified as equity if it is non-redeemable or is redeemable but only at the Company's option and any dividends are discretionary. Dividends thereon are recognised as distributions within equity.

Retained earnings include all current period/year's loss/profit and prior years' retained profits.

All transactions with the owners of Company are recorded separately within equity.

3.11 Provisions

Provisions are recognised when there is a present legal or constructive obligation that can be estimated reliably, as a result of a past event, when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are not recognised for future operating losses.

Any reimbursement that the Group can be virtually certain to collect from a third party with respect to the obligation is recognised as a separate asset. However, this asset may not exceed the amount of the related provision.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. Where the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3.12 Borrowing costs

All borrowing costs are recognised as expenses in the financial period/year in which they incurred.

Borrowing costs consist of interest and other costs that the Group incurred in connection with the borrowing of funds.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

3.13 Inventories

Inventories are stated at the lower of cost and net realisable value.

Costs of raw materials for gloves are determined on a weighted average basis which include all expenses incurred in bringing the inventories to their present location and condition. Costs of work-in-progress for gloves are determined using standard costing which includes cost of purchases, direct labours and other production costs. Costs of laboratory instruments and pharmaceutical and medical goods are determined on a first-in-first-out basis and comprise the original cost of purchase plus costs incurred in bringing the inventories to their present location and condition.

Net realisable value represents the estimated selling prices less all estimated costs to completion and costs to be incurred in marketing, selling and distribution.

3.14 Employees benefits

3.14.1 Short term employees benefits

Wages, salaries, bonuses and social security contributions are recognised as expenses in the financial period/year in which the associated services are rendered by the employees of the Group and of the Company. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by the employees that increase their entitlement to future compensated absences and short term non-accumulating compensated absences such as sick leave are recognised when the absences occur.

3.14.2 Defined contribution plans

Defined contribution plans are post-employment benefit plans under which the Group and the Company pay fixed contributions into independent entities of funds and will have no legal or constructive obligation to pay further contribution if any of the funds do not hold sufficient assets to pay all employee benefits relating to employees services in the current period and preceding financial years.

Such contributions are recognised as expenses in the profit or loss as incurred. As required by law, companies in Malaysia make such contributions to the Employees Provident Fund ("EPF").

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.15 Revenue from contracts with customers****3.15.1 Revenue recognition**

Revenue is recognised when or as a performance obligation in the contract with customer is satisfied, i.e. when the “control” of the goods or services underlying the particular performance obligation is transferred to the customer.

A performance obligation is a promise to transfer a distinct goods or service (or a series of distinct goods or services that are substantially the same and that have the same pattern of transfer) to the customer that is explicitly stated in the contract and implied in the Group’s customary business practices.

Revenue is measured at the amount of consideration to which the Group expects to be entitled in exchange for transferring the promised goods or services to the customers, excluding amounts collected on behalf of third parties such as services tax.

If the amount of consideration varies due to discounts, rebates, refunds, credits, incentives, penalties or other similar items, the Group estimates the amount of consideration to which it will be entitled based on the expected value or the most likely outcome. If the contract with customer contains more than one performance obligation, the amount of consideration is allocated to each performance obligation based on the relative stand-alone selling prices of the goods or services promised in the contract.

The revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

The control of the promised goods or services may be transferred over time or at a point in time. Revenue for performance obligation that is not satisfied over time is recognised at the point in time at which the customer obtains control of the promised goods or services. The control over the goods or services is transferred over time and revenue is recognised over time if:-

- the customer simultaneously receives and consumes the benefits provided by the Group’s performance as the Group performs;
- the Group’s performance creates or enhances an asset that the customer controls as the asset is created or enhanced; or
- the Group’s performance does not create an asset with an alternative use and the Group has an enforceable right to payment for performance completed to date.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

3.15 Revenue from contracts with customers (Cont'd)

3.15.1 Revenue recognition (Cont'd)

Revenue is recognised over the period of the contract by reference to the progress towards complete satisfaction of that performance obligation. The progress towards complete satisfaction of the performance obligation is measured on the basis of direct measurements of the values to the customer of the goods or services transferred to date relative to the remaining goods or services promised under the contract.

Revenue from sales of advertising space on internet directories and third party online advertising services are recognised at a point in time upon rendering of services.

Revenue from the trading of raw materials and gloves is recognised at a point in time upon delivery of goods.

Revenue from marketplace services is recognised at a point in time upon successful arrangement of delivery or provision of goods or services.

Revenue from the medical diagnostic laboratory services is recognised at a point in time upon delivery of medical diagnostic results.

Revenue from the sales of pharmaceutical and medical goods is recognised at a point in time upon delivery of pharmaceutical and medical goods.

Loan interest income from financing schemes is recognised using the effective interest rate ("EIR") method. EIR is a method of calculating the amortised cost of loan receivables and of allocating the corresponding interest income over the relevant year. EIR is the rate that exactly discounts the estimated future cash receipts through the expected life of the receivable or, when appropriate, a shorter year to the net carrying amount of the loan receivables.

Interest income is recognised on a time proportion basis.

Management fee is recognised when services are rendered.

Dividend income is recognised when the right to receive payment is established.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**3. SIGNIFICANT ACCOUNTING POLICIES (CONT'D)****3.16 Tax expenses**

Tax expenses comprise current tax and deferred tax. Current tax and deferred tax are recognised in profit or loss.

3.16.1 Current tax

Current tax is the expected tax payable or receivable on the taxable income or loss for the period/year, using tax rates enacted or substantively enacted by the reporting date and any adjustment to tax payable in respect of previous period/years.

Current tax is recognised in the statements of financial position as a liability (or an asset) to the extent that it is unpaid (or refundable).

3.16.2 Deferred tax

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statement of financial position and their tax bases. Deferred tax is not recognised for the temporary differences arising from the initial recognition of goodwill, the initial recognition of assets and liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period/year.

The amount of deferred tax recognised is measured based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.17 Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the chief operating decision maker to make decisions about resources to be allocated to the segment and to assess its performance and for which discrete financial information is available.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Group	Tools and office equipment										Factory equipment, plant and machineries				Work-in progress		Premises improvements		Leasehold improvements		Total	
	Freehold land RM	Freehold buildings RM	Leasehold land RM	Leasehold buildings RM	Leasehold office equipment and furniture and fittings RM	Laboratory and medical equipment RM	Motor vehicles RM	Computers RM	Renovations RM	Work-in progress RM	Premises improvements RM	Leasehold improvements RM	Leasehold improvements RM	Leasehold improvements RM	Work-in progress RM	Premises improvements RM	Leasehold improvements RM	Leasehold improvements RM	Leasehold improvements RM	Leasehold improvements RM	Total RM	Total RM
31.3.2024																						
At cost																						
At 1 October 2022	1,238,000	2,102,754	31,117,226	-	573,259	3,245,028	1,867,463	793,845	90,463,144	1,101,138	9,834,780	922,324	-	143,258,961								
Additions	-	178,282	-	2,218,897	113,718	189,835	200,000	126,858	65,110	-	13,335,450	11,883,042	73,270	28,384,462								
Acquisition of subsidiary companies	-	-	-	-	2,075	-	-	86,967	-	-	-	-	-	89,042								
Disposals	-	-	-	-	(1,248)	(26,500)	(530,490)	(75,500)	-	(6,405)	-	-	-	(640,143)								
Disposal of subsidiary companies	-	-	-	-	(2,075)	-	-	(86,967)	-	-	-	-	-	(89,042)								
Written off	-	-	-	-	(1,600)	(9,360)	-	-	(1,866)	-	(4,134,681)	-	-	(4,147,507)								
Transferred to investment properties	-	-	(31,117,226)	-	-	-	-	-	-	-	(14,737,110)	-	-	(45,854,336)								
Reclassification	-	410,318	-	-	80,706	-	-	-	303,407	-	(4,281,871)	-	3,487,440	-								
Reversal*	-	-	-	-	(36,500)	-	-	-	(374,850)	-	(16,568)	(224,039)	-	(427,918)								
Lease termination	-	-	-	-	-	-	-	-	-	-	-	-	-	(224,039)								
Lease modification	-	-	-	-	-	-	-	-	-	-	-	(19,050)	-	(19,050)								
Struck off of subsidiary companies	-	-	-	-	-	-	-	-	(2,246,364)	-	-	-	-	(2,246,364)								
At 31 March 2024	1,238,000	2,691,354	-	2,218,897	728,335	3,399,003	1,536,973	845,203	88,208,581	1,094,733	-	12,562,277	3,560,710	118,084,066								
Accumulated depreciation																						
At 1 October 2022	-	37,407	3,773,528	-	97,910	427,765	238,084	350,627	5,921,386	229,705	-	491,406	-	11,567,818								
Charged for the financial period	-	68,326	920,693	34,384	106,934	600,615	470,749	248,523	13,364,101	164,421	-	1,636,858	401,017	18,016,621								
Acquisition of subsidiary companies	-	-	-	-	1,552	-	-	73,877	-	-	-	-	-	75,429								
Disposals	-	-	-	-	(1,247)	(9,275)	(207,235)	(73,857)	-	(480)	-	-	-	(292,094)								
Disposal of subsidiary companies	-	-	-	-	(1,604)	(192)	-	(76,051)	-	-	-	-	-	(77,655)								
Written off	-	-	(4,694,221)	-	(534)	-	-	-	(260)	-	-	-	-	(986)								
Transferred to investment properties	-	-	-	-	-	-	-	-	-	-	-	-	-	-								
Reclassification	-	(4,782)	-	-	-	-	-	-	-	-	-	-	-	-								
Lease termination	-	-	-	-	-	-	-	-	-	-	-	-	-	-								
Lease modification	-	-	-	-	-	-	-	-	-	-	-	(185,346)	4,782	(4,694,221)								
Struck off of subsidiary companies	-	-	-	-	-	-	-	-	(1,019,742)	-	-	-	-	(185,346)								
At 31 March 2024	-	100,951	-	34,384	203,011	1,018,913	501,598	523,119	18,265,485	393,646	-	1,942,918	405,799	23,389,824								
Accumulated impairment loss																						
At 1 October 2022	-	-	-	-	-	-	-	-	-	-	-	-	-	-								
Recognised for the financial period	-	-	-	-	-	611,937	-	-	9,953,623	-	-	-	-	10,565,560								
At 31 March 2024	-	-	-	-	-	611,937	-	-	9,953,623	-	-	-	-	10,565,560								
Net carrying amount																						
31 March 2024	1,238,000	2,590,403	-	2,184,513	525,324	1,768,153	1,035,375	322,084	59,989,473	701,087	-	10,619,359	3,154,911	84,128,682								

* Reversal due to credit note received

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
 31 MARCH 2024

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Group (Cont'd)	land		buildings		land and fittings		equipment		vehicles		Computers		machineries		Renovations		progress		Premises		Total	
	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	RM	
30.9.2022																						
At cost																						
At 1 October 2021	1,238,000		1,450,000		-	1,284,545	2,265,253	1,233,017	637,336	263,436	3,101,177	53,626,575	861,373	65,960,712								
Additions	-		613,554		-	194,800	979,775	1,558,263	210,156	927,505	22,429	30,997,483	231,439	35,735,404								
Acquisition of subsidiary companies	-		-	31,117,226	-	27,450	-	-	8,807	14,652,965	686,444	-	-	46,492,892								
Disposals	-		-	-	-	-	-	-	-	-	(686,444)	(5,840)	-	(692,284)								
Derecognition of subsidiary companies	-		-	-	-	(895,119)	-	(923,817)	(21,657)	-	(2,022,468)	(60,000)	(170,488)	(4,093,549)								
Written off	-		-	-	-	(38,417)	-	-	(40,797)	(65,000)	-	-	-	(144,214)								
Reclassification	-		39,200	-	-	-	-	-	-	-	74,684,238	(74,723,438)	-	-								
At 30 September 2022	1,238,000		2,102,754	31,117,226	573,259	3,245,028	1,867,463	793,845	90,463,144	1,101,138	9,834,780	922,324	143,258,961									
Accumulated depreciation																						
At 1 October 2021	-		3,625	-	-	912,984	166,850	458,793	237,080	3,674	2,047,376	-	198,089	4,028,471								
Charged for the financial year	-		33,782	306,178	-	53,960	260,915	350,149	132,265	5,851,709	121,271	321	307,525	7,418,075								
Acquisition of subsidiary companies	-		-	3,467,350	-	13,199	-	-	8,087	66,545	450,326	-	-	4,005,507								
Disposals	-		-	-	-	-	-	-	-	-	(450,326)	(321)	-	(450,647)								
Derecognition of subsidiary companies	-		-	-	-	(866,804)	-	(570,858)	(5,515)	-	(1,938,942)	-	(14,208)	(3,396,327)								
Written off	-		-	-	-	(15,429)	-	-	(21,290)	(542)	-	-	-	(37,261)								
At 30 September 2022	-		37,407	3,773,528	97,910	427,765	238,084	350,627	5,921,386	229,705	-	-	491,406	11,567,818								
Net carrying amount																						
30 September 2022	1,238,000		2,065,347	27,343,698	475,349	2,817,263	1,629,379	443,218	84,541,758	871,433	9,834,780	430,918	131,691,143									

The Group performed an assessment during the financial period on the recoverable amount of the property, plant and equipment to determine whether the carrying values of the property, plant and equipment were recoverable. The review was carried out in accordance with MFRS 136 "Impairment of Assets". The estimated recoverable amounts were determined based on fair value less costs to sell ("FV").

Based on the impairment review performed, an impairment loss of RM10,565,560 (30.9.2022: Nil) was recognised which was determined using FV based on the net selling price expected to be received for similar assets.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Company	Computers RM	Office equipment RM	Total RM
31.3.2024			
At cost			
At 1 October 2022	90,324	-	90,324
Accumulated depreciation			
At 1 October 2022	41,752	-	41,752
Charged for the financial period	37,014	-	37,014
At 31 March 2024	78,766	-	78,766
Net carrying amount			
31 March 2024	11,558	-	11,558
30.9.2022			
At cost			
At 1 October 2021	79,771	10,268	90,039
Additions	31,263	-	31,263
Written off	(20,710)	(10,268)	(30,978)
At 30 September 2022	90,324	-	90,324
Accumulated depreciation			
At 1 October 2021	26,097	1,493	27,590
Charged for the financial year	24,534	-	24,534
Written off	(8,879)	(1,493)	(10,372)
At 30 September 2022	41,752	-	41,752
Net carrying amount			
30 September 2022	48,572	-	48,572

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Information on right-of-use assets are as follows:-

Group	Carrying amount included in property, plant and equipment RM	Depreciation charged for the financial period/year RM	Additions RM
31.3.2024			
Leasehold land	-	920,693	-
Leasehold buildings	2,184,513	34,384	2,218,897
Premises	10,619,359	1,636,858	11,883,042
Motor vehicles	178,557	155,648	-
Total right-of-use assets	12,982,429	2,747,583	14,101,939
30.9.2022			
Leasehold land	27,343,698	306,178	-
Premises	430,918	307,525	231,439
Motor vehicles	509,034	174,834	712,040
Total right-of-use assets	28,283,650	788,537	943,479

The right-of-use assets are included in the same items as where the corresponding underlying assets would be presented if they were owned.

The leasehold land with a net carrying amount of RM26,423,005 (30.9.2022: RM27,343,698) has been pledged to a licensed bank as security for bank borrowings of the Group as disclosed in Note 22 to the Financial Statements and the leasehold land has been transferred to investment properties at 31 March 2024.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

5. INVESTMENT PROPERTIES

Group	Leasehold land RM	Buildings RM	Total RM
31.3.2024			
At cost			
At 1 October 2022	-	-	-
Additions	-	2,737,023	2,737,023
Transferred from property, plant and equipment	31,117,226	14,737,110	45,854,336
At 31 March 2024	31,117,226	17,474,133	48,591,359
Accumulated depreciation			
At 1 October 2022	-	-	-
Transferred from property, plant and equipment	4,694,221	-	4,694,221
Charged for the financial period	-	41,147	41,147
At 31 March 2024	4,694,221	41,147	4,735,368
Net carrying amount			
At 31 March 2024	26,423,005	17,432,986	43,855,991

The fair value of the investment properties is RM50,196,000 (30.9.2022: Nil) as at the reporting date.

Investment properties with carrying amounts of RM41,160,115 (30.9.2022: Nil) have been pledged to a licensed bank as securities for bank borrowings of the Group as disclosed in Note 22 to the Financial Statements.

Income and expenses recognised in profit or loss

Group	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Rental income	119,220	-
Direct operating expenses	83,816	-

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

6. INTANGIBLE ASSETS

Group	Trademarks RM	Customer lists and relationships RM	Online platform RM	Total RM
30 September 2022				
At cost				
At 1 October 2021	9,322,657	11,539,503	15,000,000	35,862,160
Disposal of subsidiary companies	(9,322,657)	(11,539,503)	(15,000,000)	(35,862,160)
At 30 September 2022	-	-	-	-
Accumulated amortisation				
At 1 October 2021	-	-	1,250,000	1,250,000
Amortisation for the financial year	-	-	3,000,000	3,000,000
Disposal of subsidiary companies	-	-	(4,250,000)	(4,250,000)
At 30 September 2022	-	-	-	-
Accumulated impairment loss				
At 1 October 2021	9,322,657	11,539,503	-	20,862,160
Disposal of subsidiary companies	(9,322,657)	(11,539,503)	-	(20,862,160)
At 30 September 2022	-	-	-	-
Net carrying amount				
30 September 2022	-	-	-	-

Trademarks, customer lists and relationships

The trademarks related to “Superpages” directory journal and were acquired together with customer list and relationships in a business combination.

Online platform

Online platform referred to the Johor state portion of the “Jengu platform”.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

7. SUBSIDIARY COMPANIES

Company	31.3.2024 RM	30.9.2022 RM
Unquoted shares:		
At cost	114,275,006	13,175,010
Less: Accumulated impairment loss		
At beginning of financial period/year	(2,561,000)	(3,223,226)
Recognised	(81,120,654)	(2,561,000)
Written off	-	3,223,226
At end of financial period/year	(83,681,654)	(2,561,000)
	30,593,352	10,614,010

The net assets of certain subsidiary companies were lower than the Company's net carrying amounts of investments, determined using fair value less costs to sell ("FVLCTS") which resulted in impairment losses recognised accordingly.

Details of the Level 3 fair value method used in obtaining the recoverable amounts are as follows:

<u>Valuation method and key inputs</u>	<u>Significant unobservable inputs</u>	<u>Relationship of unobservable inputs and fair value</u>
Adjusted net assets method which derives the fair value of an investee's equity instrument by reference to the fair values of its assets and liabilities	Fair value of individual assets and liabilities	The higher the net assets the higher the fair value

The particulars of subsidiary companies of which principal places of business are in Malaysia are as follows:-

Name of company	Effective interest		Principal activities
	31.3.2024 %	30.9.2022 %	
HS Bio Sdn. Bhd. ("HS Bio")	100	100	Supply of medical and healthcare related products and related services in addition to the supply chain management services for the healthcare segment
HS Synergy Sdn. Bhd.	100	100	Trading of latex
CBSA Bizhub Sdn. Bhd. ("CBSA Bizhub")	100	100	Investment holding
Hong Seng Capital Sdn. Bhd.	100	100	Money lending
HS Petchem Logistics Sdn. Bhd. ("HSPL")	100	100	Construction and operation of tank farm facilities for feedstocks storage and related integrated logistics services
Hong Seng Industries Sdn. Bhd. ("HSI")	100	100	Manufacturing and trading of nitrile butadiene latex and other related business

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)

The particulars of subsidiary companies of which principal places of business are in Malaysia are as follows:- (Cont'd)

Name of company	Effective interest		Principal activities
	31.3.2024 %	30.9.2022 %	
HKL Dynamics Sdn. Bhd. (formerly known as <i>Hong Seng Gloves Sdn. Bhd.</i>) ("HKL Dynamics")	85	100	Manufacturing and trading of rubber gloves
CASD Solutions Sdn. Bhd. ("CASDS")	100	100	Investment holding
HC Global Limited*	-	100	Dormant
Victory PE Sdn. Bhd. (formerly known as <i>HS Bio Holdings Sdn. Bhd.</i>) ("Victory PE")	100	100	Investment holding
HS Green Valley Sdn. Bhd. ("HSGV")	100	100	Investment holding
Subsidiary company of CBSA Bizhub:- CBSA International Sdn. Bhd.*	-	100	Dormant
Subsidiary company of HKL Dynamics:- Hypercove Sdn. Bhd. ("Hypercove")*	-	100	Dormant
Subsidiary companies of HS Bio:- Neogenix Laboratoire Sdn. Bhd. ("Neogenix Lab")	100	100	Providing services of medical diagnostic and research laboratory
eMedAsia Sdn. Bhd. ("eMedAsia")	60	60	Wholesale of pharmaceutical, medical and healthcare related products via an e-commerce platform
Subsidiary companies of HS Bio (cont'd):- HS Cloud Lab Sdn. Bhd. ("HS Cloud Lab")	100	100	Genetic research and genetic testing, medical diagnostic laboratory and all kinds of laboratory services and related logistic services
HS Ligno Sdn. Bhd. ("HS Ligno")*	-	50	Dormant
Premiumway Development Sdn Bhd. ("PDSB")	100	-	Property investment

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)

The particulars of subsidiary companies are as follows:- (Cont'd)

Name of company	Effective interest		Principal activities
	31.3.2024 %	30.9.2022 %	
Subsidiary companies of Neogenix Lab:-			
Neogenix (Sabah) Sdn. Bhd. (“Neogenix Sabah”)	60	60	Genetic research and genetic testing, medical diagnostic laboratory and all kinds of laboratory services
Neogenix Evo Sdn. Bhd.*	-	60	Dormant
Neogenix Food Science Sdn. Bhd.*	-	100	Dormant
Premiumway Development Sdn. Bhd. (“PDSB”)	-	100	Property investment
Neogenix Nexus Sdn. Bhd. (“Nexus”)*	-	100	Dormant
Neogenix Care Sdn. Bhd. (“Care”)*	-	100	Dormant

* During the financial period, these subsidiary companies had been struck off.

7.1 Acquisition of subsidiary companies

31.3.2024

- (a) On 10 November 2022, a wholly-owned subsidiary company of the Company, HS Bio further acquired 50 shares of HS Ligno for a total cash consideration of RM1. Subsequent to the acquisition, HS Bio increased its shareholdings from 50% to 100% in HS Ligno and had classified it as a subsidiary company from a joint venture company which is disclosed in Note 8 to the Financial Statements.
- (b) On 9 June 2023, a wholly-owned subsidiary company, Victory PE, entered into a shares sale agreement with a third party for the acquisition of the entire equity interest in Paris Dynasty Land Sdn. Bhd. ("PDLNB") comprising 59,240,000 ordinary shares for a total cash consideration of RM100.

The purchase considerations, net assets acquired and effects of acquisitions are immaterial to the financial statements of the Group. The revenue and net loss for the financial period in which the acquisitions took place and their post-acquisition contributions included in the consolidated profit or loss are immaterial to the financial statements of the Group.

30.9.2022

- (a) On 29 October 2021, a wholly-owned subsidiary company of the Company, HKL Dynamics entered into a shares sale agreement with a third party for the acquisition of the entire equity interest in Hypercove comprising 100,000 ordinary shares for a total cash consideration of RM2,200,000.
- (b) On 26 January 2022, a wholly-owned subsidiary company of HS Bio, Neogenix Lab entered into a shares sale agreement with third parties for the acquisition of the entire equity interest in PDSB comprising 1,000,000 ordinary shares for a total cash consideration of RM1,025,764.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)
7.1 Acquisition of subsidiary companies (Cont'd)
30.9.2022 (Cont'd)

The effects of the acquisitions on the financial position of the Group as at the dates of acquisitions are as follows:-

	Hypercove RM	PDSB RM	Total RM
Property, plant and equipment	14,586,420	27,900,965	42,487,385
Inventories	3,511,250	-	3,511,250
Other receivables	-	59,741	59,741
Tax recoverable	-	99,945	99,945
Cash and bank balances	9,987	108,670	118,657
Trade payables	(5,636,594)	-	(5,636,594)
Other payables	(10,271,063)	(12,899,831)	(23,170,894)
Bank borrowings	-	(14,243,726)	(14,243,726)
Total net assets acquired/total purchase consideration	2,200,000	1,025,764	3,225,764
Less: cash and cash equivalents acquired	(9,987)	(108,670)	(118,657)
Net cash inflows from acquisitions	2,190,013	917,094	3,107,107

7.2 Changes in ownership interests in subsidiary companies
31.3.2024

- (a) On 6 June 2023, the Company entered into a shares sale agreement with a third party to dispose 15,000,000 ordinary shares representing 15% of the equity interest in HKL Dynamics for a total consideration of RM15,000,000. Subsequent to the disposal, the Company's equity interest in HKL Dynamics was diluted from 100% to 85%. The Company recognised an increase in non-controlling interests of RM11,442,817 and an increase in retained earnings of RM3,557,183.

30.9.2022

- (a) On 3 January 2022, HS Bio entered into a shares sale agreement with certain Directors of certain subsidiary companies to acquire 80,000 ordinary shares representing 40% of the equity interest in Neogenix Lab for a total cash consideration of RM3,400,000. As a result, the Company's effective equity interest in Neogenix Lab had increased from 60% to 100%. The Group recognised a decrease in non-controlling interests of RM3,666,075 and an increase in retained earnings of RM266,075;
- (b) On 29 March 2022, Neogenix Lab entered into a shares sale agreement with a third party to acquire 90 ordinary shares representing 9% of the equity interest in Neogenix Sarawak Sdn. Bhd. ("Neogenix Sarawak") for a total cash consideration of RM90, increasing its effective ownership from 51% to 60%. As a result, the Group recognised an increase in non-controlling interests of RM2,458 and a decrease in retained earnings of RM2,548;

7. SUBSIDIARY COMPANIES (CONT'D)

7.2 Changes in ownership interests in subsidiary companies (Cont'd)

30.9.2022 (Cont'd)

- (c) On 30 March 2022, HS Bio subscribed for 11,500 ordinary shares representing 8% of the enlarged issued and paid-up share capital in eMedAsia for a total cash consideration of RM2,400,000, increasing its effective ownership from 52% to 60%. On 27 May 2022, HS Bio entered into a shares sale agreement with a third party to acquire 6,000 ordinary shares representing 20% of the entire equity interest in eMedAsia for a total cash consideration of RM6,000,000, increasing its effective ownership from 60% to 80%. On 5 August 2022, HS Bio entered into another shares sale agreement with a company in which a Director is a common director to dispose 6,000 ordinary shares representing 20% of the entire equity interest in eMedAsia for a total cash consideration of RM20,000,000. As a result, HS Bio's equity interest in eMedAsia was diluted from 80% to 60%. The Group recognised a decrease in non-controlling interests of RM3,678,034 and an increase in retained earnings of RM17,678,034; and
- (d) On 24 June 2022, HS Bio entered into a shares sale agreement with a third party to dispose 35,000 ordinary shares representing 35% of the equity interest in Pantasniaga Sdn. Bhd. ("PSB") for a total cash consideration of RM24,000,000. PSB had 30% equity interest in Neogenix Sabah on the disposal date. Subsequent to the disposal, the Company's effective equity interest in Neogenix Sabah was diluted from 75.30% to 60%. The Group recognised an increase in non-controlling interests of RM213,656 and a decrease in retained earnings of RM33,656.

7.3 Incorporation of new subsidiary companies and subscription of shares in subsidiary companies

31.3.2024

- (a) On 6 June 2023, the Company further subscribed for 97,500,000 ordinary shares in HKL Dynamics for a total cash consideration of RM97,500,000 by way of capitalising part of the interest free advances due from the subsidiary company; and
- (b) On 5 July 2023, the Company further subscribed for 18,600,000 ordinary shares in CBSA Bizhub for a total cash consideration of RM18,600,000 by way of capitalising part of the interest free advances due from the subsidiary company.

30.9.2022

- (a) On 7 October 2021, HS Bio incorporated a wholly-owned subsidiary company, HS Cloud Lab with an issued and paid-up share capital of RM100. On 11 August 2022, HS Bio further subscribed for 900 ordinary shares in HS Cloud Lab for a total cash consideration of RM900;
- (b) On 26 October 2021, the Company further subscribed for 999,900 ordinary shares in HSPL for a total cash consideration of RM999,900;
- (c) On 12 January 2022, the Company incorporated a wholly-owned subsidiary company, Victory PE with an issued and paid-up share capital of RM2,100,000;
- (d) On 15 March 2022, Neogenix Lab incorporated two wholly-owned subsidiary companies, namely Nexus and Care with an issued and paid-up share capital of RM100 each; and
- (e) On 14 July 2022, the Company incorporated a wholly-owned subsidiary company, HSGV with an issued and paid-up share capital of RM2.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)

7.4 Disposal of subsidiary companies

31.3.2024

- (a) On 6 September 2023, Victory PE entered into a shares sale agreement with a third party to dispose the entire equity interest in PDL SB comprising 59,240,000 ordinary shares for a total cash consideration of RM100.

The proceeds, net assets disposed and effects of the disposal are immaterial to the financial statements of the Group.

30.9.2022

- (a) On 8 December 2021, CASDS entered into a shares sale agreement with third parties to dispose 80% equity interest in Aspire Knowledge Sdn. Bhd. ("Aspire") comprising 80,000 ordinary shares for a total cash consideration of RM8,000,000; and
- (b) On 24 August 2022, HS Bio entered into a shares sale agreement with a third party to dispose 9,000,000 ordinary shares representing 60% of the entire equity interest in Neogenix Sdn. Bhd. ("NSB") for a total cash consideration of RM20,000,000.

The effects of the disposals on the financial position of the Group as at the date of disposals are as follows:-

	Aspire RM	NSB RM	Total RM
Inventories	-	10,801	10,801
Trade receivables	9,568,855	-	9,568,855
Other receivables	200	308,060	308,260
Intangible assets	-	10,750,000	10,750,000
Cash and bank balances	2,454,735	372,239	2,826,974
Trade payables	-	(621,316)	(621,316)
Other payables	(4,311,484)	(17,000)	(4,328,484)
Tax (payable)/recoverable	(2,560,328)	45,863	(2,514,465)
Net assets	5,151,978	10,848,647	16,000,625
Non-controlling interests	(1,030,395)	(4,339,459)	(5,369,854)
Gain on disposals	3,878,417	13,490,812	17,369,229
Proceeds from disposals	8,000,000	20,000,000	28,000,000
Less: Cash and cash equivalents disposed	(2,454,735)	(372,239)	(2,826,974)
Net cash inflows from disposals	5,545,265	19,627,761	25,173,026

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)

7.5 Derecognition of subsidiary companies

31.3.2024

There was no derecognition of subsidiary companies during the financial period.

30.9.2022

- (a) On 30 November 2021, HS Freight & Forwarding Sdn. Bhd. ("HFFSB") further issued 99,900 new ordinary shares for a total cash consideration of RM99,900. The Company further subscribed for 48,900 ordinary shares for a total cash consideration RM48,900. As a result, the Company's equity interest in HFFSB was diluted from 100% to 49% from investment in a subsidiary company to investment in an associate company.

Subsequently on 15 August 2022, the Company entered into a shares sale agreement with a related party to dispose 49,000 ordinary shares representing 49% of the entire equity interest in HFFSB for a total cash consideration of RM49,000.

- (b) On 24 December 2021, the Company entered into a shares sale agreement with a third party to dispose 75% equity interest in Cyber Business Solutions Sdn. Bhd. ("Cyber Business") comprising 2,417,420 ordinary shares for a total cash consideration of RM100.

Subsequently on 23 March 2022, the Company entered into a shares sale agreement with a third party to dispose the remaining 25% equity interest in Cyber Business comprising 805,806 ordinary shares for a total cash consideration of RM1.

- (c) On 24 December 2021, CBSA Bizhub entered into a shares sale agreement with a third party to dispose 75% equity interest in Panpages Online Sdn. Bhd. comprising 750,000 ordinary shares, together with its subsidiary company, Panpages Media Sdn. Bhd. for a total cash consideration of RM9,500,000. Panpages Online Sdn. Bhd. owned the entire issued and paid-up share capital of Panpages Media Sdn. Bhd. at the date of disposal. Panpages Online Sdn. Bhd. and Panpages Media Sdn. Bhd. collectively referred as "Panpages Group".

Subsequently on 23 March 2022, CBSA Bizhub entered into a shares sale agreement with a third party to dispose the remaining 25% equity interest in Panpages Group for a total cash consideration of RM3,100,000.

- (d) On 30 March 2022, Neogenix Lab entered into a shares sale agreement with a third party to dispose 510 ordinary shares representing 51% of the equity interest in Neogenix Sarawak for a total cash consideration of RM5,000,000.

- (e) On 24 June 2022, HS Bio entered into a shares sale agreement with a third party to dispose 35,000 ordinary shares representing 35% of the equity interest in PSB for a total cash consideration of RM24,000,000.

Subsequently on 26 September 2022, HS Bio entered into a shares sale agreement with a third party to dispose the remaining 16% equity interest in PSB for a total cash consideration of RM11,000,000.

7. SUBSIDIARY COMPANIES (CONT'D)

7.5 Derecognition of subsidiary companies (Cont'd)

30.9.2022 (Cont'd)

The effects of the derecognition on the financial position of the Group as at the date of derecognition are as follows:-

	Cyber Business Solutions	Panpages Group	HFFSB	Neogenix Sarawak	PSB	Total
	RM	RM	RM	RM	RM	RM
Property, plant and equipment	-	89,952	-	156,280	450,990	697,222
Investment in associate companies	-	-	-	-	211,000	211,000
Trade receivables	-	12,037	-	-	1,474,429	1,486,466
Other receivables	6,586,943	10,093,884	1,000	169,500	294,031	17,145,358
Fixed deposits with licensed banks	-	-	-	-	1,465,214	1,465,214
Cash and bank balances	14,446	43,922	100	323,000	11,872,998	12,254,466
Trade payables	-	(224,830)	-	-	(831,010)	(1,055,840)
Other payables	(20,951)	(16,956,158)	(10,661)	(518,311)	(1,221,822)	(18,727,903)
Lease liabilities	-	(2,051)	-	(157,775)	(258,960)	(418,786)
Bank borrowings	-	(162,483)	-	-	-	(162,483)
Tax recoverable/(payable)	7,595	-	-	-	(2,269,468)	(2,261,873)
Net assets/(liabilities)	6,588,033	(7,105,727)	(9,561)	(27,306)	11,187,402	10,632,841
Non-controlling interests	-	-	-	10,922	(5,481,827)	(5,470,905)
Fair values of equity interests retained as associate companies	(805,807)	(250,000)	(100)	-	-	(1,055,907)
Fair values of equity interests retained as other investments	-	-	-	(90)	(1,789,985)	(1,790,075)
(Loss)/Gain on derecognition	(5,782,126)	16,855,727	9,661	5,016,474	20,084,410	36,184,146
Proceeds from derecognition	100	9,500,000	-	5,000,000	24,000,000	38,500,100
Less: Cash and cash equivalents derecognised	(14,446)	118,561	(100)	(323,000)	(11,872,998)	(12,091,983)
Net cash (outflows)/inflows from derecognition	(14,346)	9,618,561	(100)	4,677,000	12,127,002	26,408,117

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)

7.6 Non-controlling interests in subsidiary companies

The Group's subsidiary companies that have material non-controlling interests ("NCI") are as follows:-

31.3.2024	HKL Dynamics	eMedAsia
Percentage of ownership interests held by NCI (%)	15%	40%
Carrying amount of NCI (RM)	3,966,944	1,765,850
Net loss allocated to NCI (RM)	(7,325,873)	(785,423)
Total comprehensive loss allocated to NCI (RM)	(7,475,873)	(785,423)

30.9.2022	eMedAsia
Percentage of ownership interests held by NCI (%)	40%
Carrying amount of NCI (RM)	2,551,274
Net loss/Total comprehensive loss allocated to NCI (RM)	(577,715)

The summary of financial information before intra-group elimination for the Group's subsidiary companies that have material non-controlling interests is as below:-

	HKL Dynamics RM	eMedAsia RM
Summary of financial position as at 31 March 2024		
Non-current assets	78,416,900	187,778
Current assets	18,561,700	6,543,117
Non-current liabilities	(10,671,603)	-
Current liabilities	(59,860,702)	(221,521)
Net assets	26,446,295	6,509,374
Summary of financial performance for the financial period from 1 October 2022 to 31 March 2024		
Net loss	(71,267,893)	(1,963,558)
Total comprehensive loss	(72,267,893)	(1,963,558)
Revenue included in net loss/total comprehensive loss	5,860,009	758,976
Summary of cash flows for the financial period from 1 October 2022 to 31 March 2024		
Net cash outflows used in operating activities	(18,556,042)	(2,091,434)
Net cash outflows used in investing activities	(2,059,406)	(227,529)
Net cash inflows from financing activities	20,970,121	-
Net cash inflows/(outflows)	354,673	(2,318,963)

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

7. SUBSIDIARY COMPANIES (CONT'D)

7.6 Non-controlling interests in subsidiary companies (Cont'd)

The summary of financial information before intra-group elimination for the Group's subsidiary companies that have material non-controlling interests is as below:- (Cont'd)

	eMedAsia RM
Summary of financial position as at 30 September 2022	
Non-current asset	11,875
Current assets	8,647,910
Current liabilities	(186,853)
Net assets	8,472,932
Summary of financial performance for the financial year ended 30 September 2022	
Net loss/Total comprehensive loss	(1,608,362)
Revenue included in net loss/total comprehensive loss	7,408,833
Summary of cash flows for the financial year ended 30 September 2022	
Net cash outflows used in operating activities	(2,812,448)
Net cash outflows used in investing activities	(4,738)
Net cash inflows from financing activities	8,400,000
Net cash inflows	5,582,814

7.7 Amounts due from/(to) subsidiary companies

Company	31.3.2024 RM	30.9.2022 RM
Amount due from subsidiary companies	185,241,532	309,948,263
Less: Accumulated impairment loss		
At beginning of financial period/year	(18,582,218)	(30,817,745)
Recognised	(5,871,336)	(1,162,453)
Reversal	18,582,218	13,397,980
At end of financial period/year	(5,871,336)	(18,582,218)
	179,370,196	291,366,045

The amounts due from/(to) subsidiary companies are non-trade in nature, unsecured, bear no interest and receivable/repayable on demand.

The impairment loss was reversed during the financial period/year due to the amounts were capitalised/recovered during the financial period/year.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

8. JOINT VENTURE COMPANY

Investment in a joint venture company

Group	31.3.2024 RM	30.9.2022 RM
Unquoted shares:		
At cost	-	50
Share of loss of a joint venture company	-	(50)
	-	-

The particulars of the joint venture company which principal place of business is in Malaysia are as follows:-

Name of company	Effective interest		Principal activities
	31.3.2024 %	30.9.2022 %	
HS Ligno	-	50	Dormant

Group and Company

Amount due from a joint venture company

In prior year, the amount due from a joint venture company was non-trade in nature, unsecured, interest-free and receivable on demand.

9. ASSOCIATE COMPANIES

9.1 Investment in associate companies

	Group		Company	
	31.3.2024 RM	30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
Unquoted shares, at cost:				
– in Malaysia	20,000	20,000	-	-
Quoted shares, at cost:				
– in Malaysia	60,319,731	-	60,319,731	-
Loss on deemed disposal	(1,008)	-	-	-
Share of post-acquisition loss	(457,689)	-	-	-
Share of post-acquisition reserve	76,907	-	-	-
Less: Accumulated impairment loss				
At beginning of financial period/year	-	-	-	-
Recognised	(20,000,000)	-	(20,000,000)	-
At the end of financial period/year	(20,000,000)	-	(20,000,000)	-
	39,957,941	20,000	40,319,731	-

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

9. ASSOCIATE COMPANIES (CONT'D)

9.1 Investment in associate companies (Cont'd)

The recoverable amount of the material associate company is determined based on the value in use calculation using discounted cash flows projections approved by the material associate's management covering a five-year period.

The key assumptions used for value in use calculations are:-

	31.3.2024	30.9.2022
	%	%
<u>Manufacturing</u>		
Growth rate	8.50	-
Budgeted gross profit margin	12 – 14	-
Discount rate	9.27	-

The following describes each key assumption on which the relevant management has based its discounted cash flows projections to undertake the impairment review of investment in the material associate company:-

(i) Growth rate

The projected growth rate is based on actual operating results and a 5-year business plan.

(ii) Budgeted gross profit margin

The budgeted gross profit margin is estimated based on the relevant management's assessment of future trends in the industry and is based on both external and internal sources.

(iii) Discount rate

The discount rate is estimated based on the weighted average cost of capital of the material associate company.

Based on the assessment, the carrying amount of the investment in the material associate company is higher than its recoverable amount, hence an impairment loss of RM20,000,000 (30.9.2022: Nil) is recognised and included in the statements of profit or loss.

The material associate's management believes that no reasonably possible changes in the key assumptions used except for changes in the prevailing operating environments could cause the carrying amount of the investment to materially exceed its recoverable amount.

The particulars of the associate companies which principal places of business are in Malaysia are as follows:-

Name of company	Effective interest		Principal activities
	31.3.2024	30.9.2022	
	%	%	
Straits Genomics Sdn. Bhd.	20.00	20.00	Dormant
Classita Holdings Berhad ("Classita")*	32.61	-	Investment holding

* Not audited by Grant Thornton Malaysia PLT

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

9. ASSOCIATE COMPANIES (CONT'D)

9.1 Investment in associate companies (Cont'd)

On 14 July 2023, the Company via off markets acquired 402,057,900 ordinary shares in Classita, representing 32.61% equity interest in Classita for a total cash consideration of RM60,319,731, including incidental costs of the acquisition.

The following table summarises the information of the Group's material associate company, reconciles the information to the carrying amount of the Group's interest in the material associate company.

	Classita RM
Summary of financial position as at 31 March 2024	
Non-current assets	42,544,745
Current assets	180,293,194
Non-current liabilities	(11,292,972)
Current liabilities	(19,184,470)
Net assets	192,360,497
Summary of financial performance for the financial period from the date of acquisition to 31 March 2024	
Net loss	(1,342,027)
Other comprehensive income	235,811
Total comprehensive loss	(1,106,216)
Revenue included in the net loss/total comprehensive loss	37,920,191
Reconciliation of net assets to carrying amount as at 31 March 2024	
Group's share of net assets	62,282,837
Bargain purchase	(2,324,896)
Impairment loss recognised	(20,000,000)
Carrying amount in the statements of financial position	39,957,941
Group's share of results for the financial period from the date of acquisition to 31 March 2024	
Group's share of loss	(437,689)
Group's share of other comprehensive income	76,907
Group's share of total comprehensive loss	(360,782)
Contingent liabilities and capital commitments	

The material associate company has no contingent liabilities and capital commitments as at the reporting date.

There was no material associate company held by the Group in the previous financial year.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

9. ASSOCIATE COMPANIES (CONT'D)

9.2 Amount due from an associate company

Group	31.3.2024 RM	30.9.2022 RM
Amount due from an associate company	455,030	449,473
Less: Accumulated impairment loss		
At beginning of financial period/year	(180,000)	-
Recognised	(274,409)	(180,000)
At end of financial period/year	(454,409)	(180,000)
	621	269,473

The amount due from an associate company is non-trade in nature, unsecured, interest-free and receivable on demand.

10. GOODWILL ON CONSOLIDATION

Group	31.3.2024 RM	30.9.2022 RM
<u>Healthcare</u>		
At beginning of financial period/year	6,083,027	8,083,027
Addition	2,245	-
Less: Impairment loss recognised during the financial period/year	(6,085,272)	(2,000,000)
At end of financial period/year	-	6,083,027

The recoverable amount of the goodwill on consolidation in prior year was determined based on the value in use calculation using discounted cash flows projections approved by the management covering a five-year period.

The key assumptions used for value in use calculations are:-

	31.3.2024 %	30.9.2022 %
<u>Healthcare</u>		
Growth rate	-	1 - 5
Budgeted gross profit margin	-	13 - 55
Discount rate	-	7.7

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

10. GOODWILL ON CONSOLIDATION (CONT'D)

The following describes each key assumption on which management had based its discounted cash flows projections to undertake the impairment review of goodwill on consolidation:-

(i) Growth rate

The projected growth rate was based on actual operating results and a 5-year business plan.

(ii) Budgeted gross profit margin

The budgeted gross profit margin was estimated based the management's assessment of future trends in the industry and was based on both external and internal sources.

(iii) Discount rate

The discount rate was estimated based on the weighted average cost of capital of the Group.

Based on the assessment, the carrying amount of the goodwill on consolidation was higher than its recoverable amount, hence an impairment loss of RM6,085,272 (30.9.2022: RM2,000,000) was recognised and included in the statements of profit or loss.

11. OTHER INVESTMENTS

	Group		Company	
	31.3.2024	30.9.2022	31.3.2024	30.9.2022
	RM	RM	RM	RM
Non-current				
Financial assets at FVTPL:				
Quoted shares in Malaysia	26,384,844	-	-	-
Financial assets at FVOCI:				
Unquoted shares in Malaysia	9,519,943	9,520,033	9,519,943	9,519,943
	35,904,787	9,520,033	9,519,943	9,519,943
Fair value of quoted investments (Level 1)	26,384,844	-	-	-
Fair value of unquoted investments (Level 3)	9,519,943	9,520,033	9,519,943	9,519,943

Details of the Level 3 fair value measurement are as follows:-

<u>Valuation method and key inputs</u>	<u>Significant unobservable inputs</u>	<u>Relationship of unobservable inputs and fair value</u>
Adjusted net assets method which derives the fair value of an investee's equity instrument by reference to the fair values of its assets and liabilities	Fair value of individual assets and liabilities	The higher the net assets the higher the fair value

There was no transfer of fair value hierarchy during the financial period/year.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

12. TRADE RECEIVABLES

Group	31.3.2024 RM	30.9.2022 RM
Trade receivables	120,787,786	174,990,011
Less: Accumulated impairment loss		
At beginning of financial period/year	(6,760,370)	(8,509,680)
Recognised	(13,922,177)	(6,627,464)
Reversal	27,694	260,986
Derecognition upon disposal of subsidiary companies	-	8,115,788
At end of financial period/year	(20,654,853)	(6,760,370)
	100,132,933	168,229,641
Presented as:		
Non-current	15,000,000	2,000,000
Current	85,132,933	166,229,641
	100,132,933	168,229,641

Trade receivables are non-interest bearing and are generally on 1 to 24 months (30.9.2022: 1 to 18 months) terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

The impairment loss on trade receivables was reversed during the financial period/year as a result of credit notes issued and/or receipts.

Included in trade receivables are loan receivables of RM89,487,185 (30.9.2022: RM144,868,208) arising from the moneylending business of the Group.

13. FIXED DEPOSITS WITH LICENSED BANKS

Group

Fixed deposits with licensed banks of RM2,364,629 in the previous financial year were pledged as securities for bank guarantee facilities granted to certain subsidiary companies.

The effective interest rates for fixed deposits with licensed banks range from 2.65% to 2.75% (30.9.2022: 1.50% to 2.15%) per annum.

14. INVENTORIES

Group	31.3.2024 RM	30.9.2022 RM
At net realisable value:		
Laboratory instruments	579,628	1,233,374
Pharmaceutical and medical goods	568,468	1,387,686
Raw materials for gloves	1,898,165	5,089,762
Work in progress for gloves	2,217,755	16,205,145
	5,264,016	23,915,967

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

14. INVENTORIES (CONT'D)

Group	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Recognised in profit or loss:		
Inventories recognised as cost of sales	53,401,965	98,180,706
Inventories written down	1,811,921	2,800,000
Inventories written off	339,067	113

15. OTHER RECEIVABLES

	Group		Company	
	31.3.2024 RM	30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
Deposits	12,786,434	12,379,453	1,010	1,220
Prepayments	465,140	532,211	63,082	300
Non-trade receivables	840,036	1,655,157	1,095	1,095
Dividend receivable	-	-	-	36,127,288
Less: Accumulated impairment loss				
At beginning of financial period/year	(208,000)	-	-	-
Recognised	(307,632)	(208,000)	-	-
At end of financial period/year	(515,632)	(208,000)	-	-
	13,575,978	14,358,821	65,187	36,129,903

Included in deposits is RM11,173,140 (30.9.2022: RM11,173,140) paid for the sublease of industrial land located in Kedah.

16. SHARE CAPITAL

Group and Company

	Number of ordinary shares		Amount	
	31.3.2024 Unit	30.9.2022 Unit	31.3.2024 RM	30.9.2022 RM
Issued and fully paid:				
At beginning of financial period/year	5,108,416,768	2,552,437,184	251,446,486	250,615,397
Conversion of irredeemable convertible preference shares	-	835,500	-	83,550
Exercise of warrants	-	935,700	-	747,539
Bonus issue (Note 16.1)	-	2,554,208,384	-	-
At end of financial period/year	5,108,416,768	5,108,416,768	251,446,486	251,446,486

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

16. SHARE CAPITAL (CONT'D)

16.1 Bonus issue

On 23 December 2021, the Company announced a proposed bonus issue of new ordinary shares on the basis of 1 bonus share for every 1 existing ordinary share. This exercise has been completed on 28 June 2022 following the listing and quotation of 2,554,208,384 bonus shares, 1,435,110 additional ICPS, 472,482 additional Warrants A and 850,558,283 additional Warrants B on the Main Market of Bursa Malaysia Securities Berhad.

17. IRREDEEMABLE CONVERTIBLE PREFERENCE SHARES ("ICPS")

Group and Company	Number of ICPS		Amount	
	31.3.2024 Unit	30.9.2022 Unit	31.3.2024 RM	30.9.2022 RM
Issued and fully paid:				
At beginning of financial period/year	2,870,220	2,270,610	35,878	56,765
Conversion of ICPS	-	(835,500)	-	(20,887)
Bonus issue	-	1,435,110	-	-
At end of financial period/year	2,870,220	2,870,220	35,878	35,878

The salient terms of the ICPS are as follows:-

- (a) The subscription price is RM0.0125 (RM0.025 before the bonus issue) each and are convertible within 5 years commencing from the issuance of the ICPS on 23 September 2019 with conversion ratio and the conversion price determined as follows:-
 - (i) the conversion price for the ICPS to be converted into 1 new ordinary share of the Company at RM0.05 (RM0.10 before the bonus issue) based on the conversion ratio; and
 - (ii) The conversion ratio of the ICPS for 1 new ordinary share of the Company is either by 4 ICPS to be converted into 1 ordinary share or a combination of 1 ICPS and RM0.0375 (RM0.075 before the bonus issue) in cash for 1 ordinary share.
- (b) Any remaining ICPS that are not converted within 5 years commencing from the issuance of the ICPS shall be automatically converted into ordinary shares of the Company at the conversion ratio of 4 ICPS to be converted into 1 ordinary share.
- (c) The Company has full discretion over the declaration of dividends, if any. Dividends declared and payable annually in arrears are non-cumulative and shall be paid in priority over the ordinary shares of the Company.
- (d) The ICPS holders are not entitled to any voting rights and unless such holders convert their ICPS into new shares except for the following circumstances:-
 - (i) when the dividend or part of dividend on the ICPS is in arrears for more than 6 months; or
 - (ii) on a proposal to reduce the capital of the Company's shares; or
 - (iii) on a proposal for sanctioning the sale of the whole of the Company's property, business and undertaking; or
 - (iv) on a proposal that directly affects the rights and privileges attached to the ICPS; or
 - (v) on a proposal to wind-up the Company; or
 - (vi) during the winding-up of the Company.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

18. FAIR VALUE RESERVE

The fair value reserve arose from the fair value changes in the investment in unquoted shares.

19. FOREIGN CURRENCY TRANSLATION RESERVE

This is in respect of foreign exchange difference arising from the translation of the financial statements of foreign operations of an associate company. The presentation currency of the Group and the associate company is RM.

20. LEASE LIABILITIES

The Group has lease contracts for leasehold land and buildings, motor vehicles and premises. Generally, the Group is restricted from assigning and subleasing the leased assets. Extension and termination options on lease contracts are further disclosed below. The Group and the Company also have certain leases of premises with lease terms of 12 months or less. The Group and the Company apply the "short-term lease" recognition exemptions for these leases.

Group	31.3.2024 RM	30.9.2022 RM
Current	1,025,060	374,205
Non-current	10,787,534	558,951
	11,812,594	933,156

Set out below are the movements of lease liabilities during the financial period/year:-

Group	31.3.2024 RM	30.9.2022 RM
At beginning of financial period/year	933,156	897,010
Additions	11,883,042	919,279
Lease interest	508,839	66,346
Payment for interest	(508,839)	(66,346)
Termination	(40,926)	-
Modification	(19,050)	-
Lease payments/cash outflows	(943,628)	(464,347)
Derecognition of subsidiary companies	-	(418,786)
At end of financial period/year	11,812,594	933,156

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

20. LEASE LIABILITIES (CONT'D)

Group (Cont'd)

The lease liabilities are secured by the related underlying assets.

The table below describes the nature of the Group's leasing activities by the types of right-of-use assets recognised in property, plant and equipment on the statements of financial position:-

Right-of-use assets	Range of remaining term	Number of leases with extension options	Number of leases with variable payment linked to an index	Number of leases with termination options
31.3.2024				
Leasehold buildings	79 years	-	-	-
Motor vehicles	3 – 4 years	-	-	-
Premises	0.5 – 7 years	11	-	-
30.9.2022				
Leasehold land	44 – 46 years	-	-	-
Motor vehicles	4 – 5 years	-	-	-
Premises	1 – 3 years	14	-	-

The maturity analysis of lease liabilities is disclosed in Note 33 to the Financial Statements.

The Group's effective interest rates range from 2.03% to 5.95% (30.9.2022: 2.02% to 5.95%) per annum.

21. DEFERRED TAX LIABILITIES

Group	31.3.2024 RM	30.9.2022 RM
At beginning of financial period/year	927,631	32,231
Transfer (to)/from profit or loss (Note 28)	(895,400)	895,400
At end of financial period/year	32,231	927,631

The components of deferred tax liabilities are made up of tax impacts on temporary differences arising from the following:

Group	31.3.2024 RM	30.9.2022 RM
Carrying amounts of property, plant and equipment in excess of their tax bases	134,783	6,210,831
Unabsorbed tax losses	-	(402,900)
Unutilised capital allowances	-	(4,291,000)
Others	(102,552)	(589,300)
	32,231	927,631

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

22. BANK BORROWINGS

Group	31.3.2024 RM	30.9.2022 RM
Current		
Term loans	1,362,716	1,290,592
Non-current		
Term loans	10,336,539	12,318,861
Total	11,699,255	13,609,453

The bank borrowings bear interest ranging from 4.97% to 5.22% (30.9.2022: 4.22% to 4.97%) per annum.

The term loans are secured by the following:

- As principal instrument, a facility agreement for the sum of RM18,400,000;
- As subsidiary instrument, a registered open all monies first party charge stamped nominally over the leasehold land as disclosed in Notes 4 and 5 to the Financial Statements;
- A debenture created over the properties together with fixtures and fittings now or from time to time on any such property and all plant, machinery, vehicles, computers, office and other equipment of a subsidiary company relating to its business together with all accessories and spare parts and tools pertaining thereto (excluding inventories in trade and receivables) now or hereafter from time to time required by the licensed bank; and
- Corporate guarantee by Neogenix Lab and the Company.

23. TRADE PAYABLES

Group

Trade payables are non-interest bearing and generally on 30 to 60 days (30.9.2022: 30 to 60 days) terms.

In prior year, included in trade payables was RM1,288,237 due to a company in which a Director had interest.

24. OTHER PAYABLES

	Group		Company	
	31.3.2024 RM	30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
Accrual of expenses	1,067,905	2,090,005	179,386	125,624
Non-trade payables	13,539,090	9,007,671	225,471	173,421
	14,606,995	11,097,676	404,857	299,045

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

25. REVENUE

25.1 Disaggregated revenue information

	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Type of revenue				
Internet directories and third party online advertising services	-	(111,083)	-	-
Trading of gloves	5,860,009	36,716,609	-	-
Trading of raw materials	155,574	-	-	-
Marketplace, medical diagnostic laboratory services and sales of pharmaceutical and medical goods ("Healthcare")	8,438,858	157,578,090	-	-
Others	42,814	-	-	-
Dividend income	-	-	-	72,261,000
	14,497,255	194,183,616	-	72,261,000
Loan interest income	7,924,782	4,217,130	-	-
	22,422,037	198,400,746	-	72,261,000
Timing of revenue recognition				
Performance obligation				
- satisfied at a point in time	14,497,255	194,183,616		

Revenue by geographical location is disclosed in Note 32 to the Financial Statements.

25.2 Performance obligations

For internet directories and third party online advertising services, trading of gloves and raw materials, healthcare and logistic services, the performance obligations are satisfied at a point in time.

The payment terms for billings made are disclosed in Note 12 to the Financial Statements.

There are no remaining unsatisfied performance obligations (unsatisfied or partially unsatisfied) as at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

26. OTHER INCOME

	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Gain on disposal of subsidiary companies	483,340	17,369,229	-	805,907
Gain on disposal of associate companies	-	1,579,026	-	-
Gain on disposal of non-current asset held for sale	5,145,000	-	5,145,000	-
Gain on disposal of other investments	395,894	9,210,015	-	-
Gain on derecognition of subsidiary companies	-	36,184,146	-	-
Gain on disposal of property, plant and equipment	15,208	764,203	-	-
Other income	1,114,344	3,955,870	561,814	-
	7,153,786	69,062,489	5,706,814	805,907

27. (LOSS)/PROFIT BEFORE TAX

(Loss)/Profit before tax has been determined after charging/(crediting), amongst others, the following items:-

	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Auditors' remuneration				
– statutory audit				
– current financial period/year	201,355	217,034	48,000	52,000
– under/(over)provision in the previous financial year/period	2,500	-	(6,000)	-
– others				
– current financial period/year	96,000	20,000	96,000	20,000
– underprovision in the previous financial year/period	2,000	-	2,000	-
Realised gain on foreign exchange	(2,413)	(9,110)	-	-
Short-term leases	565,012	150,496	13,860	7,840
Impairment losses on non-financial assets	36,650,832	2,000,000	101,120,654	2,561,000

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

28. TAX EXPENSE/(INCOME)

	Group		Company	
	1.10.2022	1.10.2021	1.10.2022	1.10.2021
	to	to	to	to
	31.3.2024	30.9.2022	31.3.2024	30.9.2022
	RM	RM	RM	RM
Current period/year				
– Current tax	1,748,531	16,022,585	89,963	-
– Deferred tax (Note 21)	(787,000)	1,303,400	-	-
Under/(Over)provision in prior year/period				
– Current tax	57,405	(119,930)	93,252	(8,335)
– Deferred tax (Note 21)	(108,400)	(408,000)	-	-
	910,536	16,798,055	183,215	(8,335)

Malaysian income tax is calculated at the statutory tax rate of 24% (30.9.2022: 24%) of the estimated taxable profits for the financial period/year.

Reconciliation of tax expense/(income) applicable to (loss)/profit before tax at the statutory tax rate to tax expense/(income) at the effective tax rate of the Group and of the Company is as follows:-

	Group		Company	
	1.10.2022	1.10.2021	1.10.2022	1.10.2021
	to	to	to	to
	31.3.2024	30.9.2022	31.3.2024	30.9.2022
	RM	RM	RM	RM
(Loss)/Profit before tax	(99,364,955)	119,170,063	(84,709,723)	79,565,579
Less: Share of results of associate companies	457,689	(465,168)	-	-
	(98,907,266)	118,704,895	(84,709,723)	79,565,579
At Malaysian statutory tax rate of 24% (30.9.2022: 24%)	(23,737,744)	28,489,175	(20,330,334)	19,095,739
Adjustments:				
– Expenses not deductible for tax purposes	10,129,394	4,416,146	24,696,828	1,213,846
– Income not subject to tax	(3,467,079)	(16,105,512)	(4,285,411)	(20,472,585)
– Movement in deferred tax assets not recognised	18,036,960	526,176	8,880	163,000
– (Over)/Underprovision in prior year/period	(50,995)	(527,930)	93,252	(8,335)
	910,536	16,798,055	183,215	(8,335)

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

28. TAX EXPENSE/(INCOME) (CONT'D)

Deferred tax assets have not been recognised in respect of the following items:-

	Group		Company	
	31.3.2024	30.9.2022	31.3.2024	30.9.2022
	RM	RM	RM	RM
Property, plant and equipment	(16,388,000)	(138,000)	22,000	(15,000)
Unabsorbed tax losses	45,256,000	5,125,000	-	-
Unutilised capital allowances	33,362,000	79,000	28,000	28,000
Other temporary differences	23,605,000	5,615,000	-	-
	85,835,000	10,681,000	50,000	13,000

The potential deferred tax assets of the Group and of the Company have not been recognised in respect of these items as it is not probable that whether sufficient taxable profits will be available in which the respective subsidiary companies and the Company can utilise those benefits in the near future.

The unabsorbed tax losses and unutilised capital allowances of the Group and of the Company can be carried forward to offset against future taxable profits of the Group and of the Company. Pursuant to Section 44 (5F) of the Income Tax Act 1967, the expiry terms of the unabsorbed tax losses are as follows:-

	Group		Company	
	31.3.2024	30.9.2022	31.3.2024	30.9.2022
	RM	RM	RM	RM
Year of assessment 2028	1,814,000	1,821,000	-	-
Year of assessment 2029	426,000	426,000	-	-
Year of assessment 2030	280,000	280,000	-	-
Year of assessment 2031	2,198,000	519,000	-	-
Year of assessment 2032	2,079,000	2,079,000	-	-
Year of assessment 2033	38,459,000	-	-	-
	45,256,000	5,125,000	-	-

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

29. (LOSS)/EARNINGS PER ORDINARY SHARE

Group

Basic (loss)/earnings per ordinary share

Basic (loss)/earnings per ordinary share is calculated by dividing the net (loss)/profit for the financial period/year attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares in issue during the financial period/year.

	1.10.2022 to 31.3.2024	1.10.2021 to 30.9.2022
(Loss)/Profit attributable to ordinary equity holders of the Company (RM)	(91,837,134)	97,191,503
Weighted average number of ordinary shares in issue (unit)	5,108,416,768	5,107,633,108
Basic (loss)/earnings per ordinary share (sen)	(1.80)	1.90

Diluted (loss)/earnings per ordinary share

Diluted loss per ordinary share is not presented for the current financial period as the unconvertible ICPS/unexercised warrants are anti-dilutive in nature. This is due to the average market share price of the Company was lower than the conversion price/exercise price of the ICPS/warrants.

In prior year, diluted earnings per ordinary share was calculated by dividing the net profit for the financial year attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares that would have been issued upon the full conversion/exercise of all outstanding ICPS and warrants, respectively as follows:-

	1.10.2021 to 30.9.2022
Profit attributable to ordinary equity holders of the Company (RM)	97,191,503
Weighted average number of ordinary shares in issue (unit)	5,107,633,108
Effects of outstanding ICPS (unit)	2,870,220
Effects of outstanding warrants (unit)	1,702,061,530
Weighted average number of ordinary shares assumed to be issued as at 30 September 2022 (unit)	6,812,564,858
Diluted earnings per ordinary share (sen)	1.43

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

30. EMPLOYEE BENEFITS EXPENSE

The details of Directors' remuneration of the Group and of the Company are as follows:-

	Group		Company	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Directors' remuneration				
Executive Directors:				
Directors of the Company				
Salaries and other emoluments	782,250	307,000	190,400	118,750
Defined contribution plan	82,770	20,380	23,128	8,890
Social security contributions	3,476	1,732	1,081	866
Fee	18,000	21,645	-	-
	886,496	350,757	214,609	128,506
Directors of subsidiary companies				
Salaries and other emoluments	776,226	1,667,875	-	-
Defined contribution plan	82,236	223,511	-	-
Social security contributions	3,861	3,452	-	-
Fee	36,000	24,000	-	-
	898,323	1,918,838	-	-
Total Executive Directors' remuneration	1,784,819	2,269,595	214,609	128,506
Non-executive Directors:				
Fee	248,366	216,806	248,366	216,806
Other emoluments	-	3,000	-	3,000
	248,366	219,806	248,366	219,806
Total Directors' remuneration	2,033,185	2,489,401	462,975	348,312
Employees' remuneration				
Salaries, allowances and bonuses	17,500,526	12,411,838	226,479	271,695
Defined contribution plan	1,560,244	1,365,292	26,208	28,886
Social security contributions	254,537	184,667	1,962	1,999
Other staff related expenses	983,308	2,775,876	120,972	125,301
	20,298,615	16,737,673	375,621	427,881
Total staff costs incurred during the financial period/year	22,331,800	19,227,074	838,596	776,193

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

31. RELATED PARTY DISCLOSURES

31.1 Related party transactions

Significant related party transactions during the financial period/year are as follows:-

	Group		Company	
	1.10.2022	1.10.2021	1.10.2022	1.10.2021
	to	to	to	to
	31.3.2024	30.9.2022	31.3.2024	30.9.2022
	RM	RM	RM	RM
Dividend income from subsidiary companies	-	-	-	72,261,000
Purchases from subsidiary companies	-	-	100,000	6,821
Disposal of an associate company to a company in which a Director has interest	-	49,000	-	49,000
Short-term leases paid to companies in which a Director has interest	403,747	20,156	-	-
Acquisition of equity interest in a subsidiary company from certain Directors of subsidiary companies	-	3,400,000	-	-
Partial disposal of equity interest in a subsidiary company to a company in which a Director is a common director	-	20,000,000	-	-
Loan disbursement to a company in which certain Directors have interest	-	2,400,000	-	-
Management fee received from a company in which a Director has interest	64,000	24,000	-	-
Purchase of property, plant and equipment from a company in which a Director has interest	-	584,800	-	-
IT services paid to a company in which a Director has interest	549,497	171,418	-	-

The Directors of the Company are of the opinion that the above transactions were entered into in the normal course of business and had been established under negotiated terms.

31.2 Compensation of key management personnel

The Group and the Company have no other key management personnel apart from the Directors. The Directors' remuneration is disclosed in Note 30 to the Financial Statements.

31.3 Related party balances

The outstanding balances arising from the related party transactions as at the reporting date are disclosed in Notes 7, 8, 9 and 23 to the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

32. OPERATING SEGMENTS

Business segments

Group

For the management purposes, the Group is organised into business units based on their products and services, which comprise the following:-

- (i) Healthcare : Marketplace, medical diagnostic and research laboratory and wholesale of pharmaceutical and medical goods
- (ii) Financial services : Moneylending
- (iii) Gloves : Manufacturing and trading of rubber gloves
- (iv) Search and advertising : Developer and provider of online presence and advertising solutions and operator of search platform, publishing business directory journals, content development and database marketing
- (v) Others : Investment holding and other dormant companies

The Group has aggregated certain operating segments to form a reportable segment due to the similar nature and operational characteristics of the products.

Management monitors the operating results of the business units separately for the purpose of decision making about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which, in certain respects as explained in the table below, is measured differently from operating profit or loss in the consolidated financial statements.

Transfer prices between operating segments are on negotiated basis.

32. OPERATING SEGMENTS (CONT'D)

Business segments (Cont'd)

Group (Cont'd)

31.3.2024	Note	Healthcare RM	Financial services RM	Gloves RM	Others RM	Adjustments/ Eliminations RM	Total as per consolidated financial statements RM
Revenue:							
External revenue	(i)	8,438,858	7,924,782	6,015,583	42,814	-	22,422,037
Inter-segment		180,000	-	-	-	(180,000)	-
Total revenue		8,618,858	7,924,782	6,015,583	42,814	(180,000)	22,422,037
Results:							
Interest income		339,077	170,489	9,415	488,509	-	1,007,490
Finance costs		(1,014,813)	-	(470,519)	(333,333)	-	(1,818,665)
Depreciation of property, plant and equipment		(2,548,088)	-	(15,429,293)	(39,240)	-	(18,016,621)
Depreciation of investment properties		(41,147)	-	-	-	-	(41,147)
Share of loss of associate companies		(20,000)	-	-	(437,689)	-	(457,689)
Tax income/(expense)		35,485	(1,659,615)	897,552	(183,958)	-	(910,536)
Other non-cash items	(ii)	(7,946,581)	(2,084,069)	(24,482,555)	(79,655,228)	70,100,770	(44,067,663)
Segment (loss)/profit	(iii)	(18,271,749)	3,000,275	(72,653,134)	(82,451,653)	70,100,770	(101,275,491)
Assets:							
Additions to non-current assets other than financial instruments	(iv)	18,061,300	-	12,919,176	60,460,740	-	91,441,216
Segment assets	(v)	67,347,281	95,143,385	97,067,137	302,256,262	(215,942,074)	345,871,991
Liabilities:							
Segment liabilities	(vi)	31,442,295	93,310,711	70,554,485	36,855,877	(191,220,058)	40,943,310

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024

32. OPERATING SEGMENTS (CONT'D)

Business segments (Cont'd)

Group (Cont'd)

30.9.2022	Note	Healthcare RM	Financial services RM	Gloves RM	Search and advertising RM	Others RM	Adjustments/ Eliminations RM	Total as per consolidated financial statements RM
Revenue:								
External revenue	(i)	157,578,090	4,217,130	36,716,609	(111,083)	-	-	198,400,746
Inter-segment		99,640	-	1,121	-	62,000,000	(62,100,761)	-
Total revenue		157,677,730	4,217,130	36,717,730	(111,083)	62,000,000	(62,100,761)	198,400,746
Results:								
Interest income		235,948	156,157	39,286	1,909	397,197	-	830,497
Finance costs		(617,058)	-	(14,431)	132	-	-	(631,357)
Depreciation of property, plant and equipment		(1,300,566)	-	(6,080,809)	(11,845)	(24,855)	-	(7,418,075)
Amortisation of intangible assets		(3,000,000)	-	-	-	-	-	(3,000,000)
Share of profit of associate companies		-	-	-	-	465,168	-	465,168
Tax (expense)/income		(14,980,808)	(922,854)	(907,400)	-	13,007	-	(16,798,055)
Other non-cash items	(ii)	44,785,189	(5,618,979)	(2,515,357)	260,986	26,194,463	(9,674,527)	53,431,775
Segment profit/(loss)	(iii)	88,925,677	(2,697,302)	2,211,835	2,612	85,603,713	(71,674,527)	102,372,008
Assets:								
Additions to non-current assets other than financial instruments	(iv)	4,462,320	-	27,237,214	-	4,055,870	-	35,755,404
Segment assets	(v)	122,082,994	147,458,064	141,343,323	-	370,044,897	(348,989,787)	431,939,491
Liabilities:								
Segment liabilities	(vi)	65,826,608	148,625,665	138,747,722	-	44,574,743	(356,957,992)	40,816,746

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

32. OPERATING SEGMENTS (CONT'D)

Business segments (Cont'd)

Group (Cont'd)

Notes to the nature of adjustments and eliminations to arrive at amounts reported in the consolidated financial statements:-

- (i) Inter-segment revenues are eliminated on consolidation.
- (ii) Other material non-cash (expenses)/income consist of the following items:-

	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Bad debts written off	(3,063)	-
Deposits written off	(94,190)	(12,440)
Gain on derecognition of lease contracts	2,233	-
Gain on derecognition of subsidiary companies	-	36,184,146
Gain on disposal of associate companies	-	1,579,026
Gain on disposal of subsidiary companies	483,340	17,369,229
Gain on disposal of non-current asset held for sale	5,145,000	-
Gain on disposal of other investments	395,894	9,210,015
Gain on disposal of property, plant and equipment	15,208	764,203
Loss on deemed disposal of an associate company	(1,008)	-
Loss on struck off of subsidiary companies	(1,246,157)	-
Impairment loss on investment in an associate company	(20,000,000)	-
Impairment loss on amount due from an associate company	(274,409)	(180,000)
Impairment loss on trade receivables	(13,894,483)	(6,366,478)
Impairment loss on other receivables	(307,632)	(208,000)
Impairment loss on goodwill on consolidation	(6,085,272)	(2,000,000)
Impairment loss on property, plant and equipment	(10,565,560)	-
Fair value gain on other investments	8,659,822	-
Inventories written down	(1,811,921)	(2,800,000)
Inventories written off	(339,067)	(113)
Property, plant and equipment written off	(4,146,521)	(106,953)
Unrealised gain/(loss) on foreign exchange	123	(860)
	(44,067,663)	53,431,775

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

32. OPERATING SEGMENTS (CONT'D)

Business segments (Cont'd)

Group (Cont'd)

Notes to the nature of adjustments and eliminations to arrive at amounts reported in the consolidated financial statements (Cont'd):-

- (iii) The following items are adjusted/eliminated from segment (loss)/profit to arrive at "(loss)/profit for the financial period/year" presented in the consolidated statement of profit or loss and other comprehensive income:-

	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Impairment loss on investment in subsidiary companies	81,120,654	2,561,000
Reversal of impairment loss on inter-segment balances	(12,710,882)	(12,235,527)
Dividend income on inter-segment	-	(62,000,000)
Loss on deemed disposal of an associate company	(1,008)	-
Loss on struck off of subsidiary companies	1,692,006	-
	70,100,770	(71,674,527)

- (iv) Additions to non-current assets consist of:-

	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM
Property, plant and equipment	28,384,462	35,735,404
Investment in an associate company	60,319,731	20,000
Investment properties	2,737,023	-
	91,441,216	35,755,404

- (v) The following items are deducted from segment assets to arrive at total assets reported in the consolidated statement of financial position:-

	31.3.2024 RM	30.9.2022 RM
Inter-segment investment in subsidiary companies	(30,593,352)	(10,614,012)
Inter-segment balances	(185,348,722)	(338,375,775)
	(215,942,074)	(348,989,787)

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

32. OPERATING SEGMENTS (CONT'D)

Business segments (Cont'd)

Group (Cont'd)

Notes to the nature of adjustments and eliminations to arrive at amounts reported in the consolidated financial statements (Cont'd):-

- (vi) The following items are deducted from segment liabilities to arrive at total liabilities reported in the consolidated statement of financial position:-

	31.3.2024 RM	30.9.2022 RM
Inter-segment balances	(191,220,058)	(356,957,992)

Geographical information

Revenue and non-current assets information based on the geographical location of customers and assets respectively are as follows:-

Group

	Revenue		Non-current assets	
	1.10.2022 to 31.3.2024 RM	1.10.2021 to 30.9.2022 RM	31.3.2024 RM	30.9.2022 RM
Malaysia	22,422,037	198,203,682	127,984,673	131,691,143
Australia	-	197,064	-	-
	22,422,037	198,400,746	127,984,673	131,691,143

Non-current assets information presented above consist of the following items as presented in the consolidated statement of financial position:-

	31.3.2024 RM	30.9.2022 RM
Property, plant and equipment	84,128,682	131,691,143
Investment properties	43,855,991	-
	127,984,673	131,691,143

Information about a major customer

Revenue from 1 major customer amounted to RM5,026,924 (30.9.2022: RM72,988,500) is derived from the gloves segment (30.9.2022: healthcare segment).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)
31 MARCH 2024**33. FINANCIAL INSTRUMENTS****33.1 Financial risk management**

The Group and the Company are exposed to financial risks arising from their operations and the use of financial instruments. Financial risk management policies are established to ensure that adequate resources are available for the development of the Group's and the Company's business whilst managing their risks. The Group and the Company operate within clearly defined policies and procedures that are approved by the Board of Directors to ensure the effectiveness of the risk management process.

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:-

(a) Credit risk

Credit risk is the risk of a financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's exposure to credit risk arises primarily from trade receivables. It is the Group's policy to enter into financial instrument with a diversity of creditworthy counterparties. The Group does not expect to incur material credit losses of its financial assets or other financial instruments.

Concentration of credit risk exists when changes in economic, industry and geographical factors similarly affect the group of counterparties whose aggregate credit exposure is significant in relation to the Group's total credit exposure. The Group's portfolio of financial instrument is broadly diversified along industry, product and geographical lines and transactions are entered into with diverse creditworthy counterparties, thereby mitigate any significant concentration of credit risk.

It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. The Group does not offer credit terms without the approval of the head of credit control.

Following are the areas where the Group are exposed to credit risk:-

i. Receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customers base, including the default risk associated with the industry and country in which customers operate.

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. Generally, trade receivables are written off if the Directors deem them uncollectable. Collateral is considered integral part of trade receivables and considered in the calculation of impairment. At the reporting date, trade receivables related to loan receivables from moneylending business are mostly covered by collateral. Management has taken reasonable steps to ascertain that loan receivables that are neither past due nor impaired are measured at its realisable values. The Group use the three-stage approach which reflects the change in credit quality of the loan receivables since initial recognition.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (CONT'D)

33.1 Financial risk management (Cont'd)

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:- (Cont'd)

(a) Credit risk (Cont'd)

Following are the areas where the Group are exposed to credit risk:- (Cont'd)

i. Receivables (Cont'd)

i) Stage 1: 12-month expected credit losses ("ECL")

For exposures where there have not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the ECL associated with the probability of default events occurring within the next 12 months will be recognised.

ii) Stage 2: Lifetime ECL not credit impaired

For exposures where there have been a significant increase in credit risk since initial recognition but not credit impaired, a lifetime ECL will be recognised.

iii) Stage 3: Lifetime ECL credit impaired

Loan receivables are assessed as credit impaired when one or more events that have detrimental impact on the estimated future cash flows of loan receivables have occurred. For loan receivables that are credit impaired, a lifetime ECL will be recognised.

At the reporting date, 69% (30.9.2022: 82%) of the Group's trade receivables are covered by collaterals. The fair values of the collaterals at reporting date are RM95,845,710 (30.9.2022: RM206,305,291).

As at the reporting date, the Group is not exposed to any significant credit risk exposure to any single counterparty other than 72% (30.9.2022: 32%) of total receivables are owing from 4 (30.9.2022: 2) customers.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (CONT'D)

33.1 Financial risk management (Cont'd)

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:- (Cont'd)

(a) Credit risk (Cont'd)

Following are the areas where the Group are exposed to credit risk:-

i. Receivables (Cont'd)

The following table provides information about the exposure to credit risk on trade receivables as at the reporting date:-

Group	Allowance for expected credit losses			Net RM
	Gross RM	Individually impaired RM	Collectively impaired RM	
<u>31.3.2024</u>				
Not past due	91,277,523	-	-	91,277,523
Past due for 1 to 30 days	218,465	-	-	218,465
Past due for 31 to 60 days	74,615	-	-	74,615
Past due for 61 to 90 days	111,301	-	-	111,301
Past due for more than 90 days	29,105,882	(18,760,996)	(1,893,857)	8,451,029
	120,787,786	(18,760,996)	(1,893,857)	100,132,933
<u>30.9.2022</u>				
Not past due	146,180,293	-	(421,204)	145,759,089
Past due for 1 to 30 days	192,623	-	-	192,623
Past due for 31 to 60 days	142,216	-	-	142,216
Past due for 61 to 90 days	77,814	-	-	77,814
Past due for more than 90 days	28,397,065	(5,188,819)	(1,150,347)	22,057,899
	174,990,011	(5,188,819)	(1,571,551)	168,229,641

Trade receivables that are individually determined to be credit impaired at the financial period/year end relate to debtors who are in significant difficulties and have defaulted on payments. The net carrying amount of receivables is considered a reasonable approximate of fair value.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (Cont'd)

33.1 Financial risk management (Cont'd)

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:- (Cont'd)

(a) Credit risk (Cont'd)

ii. Financial guarantees

The maximum exposure to credit risk by the Company amounted to RM11,699,255 (30.9.2022: RM13,609,453), represented by the outstanding banking facilities of subsidiary company at the reporting date.

The Company provides unsecured financial guarantees to licensed banks in respect of banking facilities granted to subsidiary company. The Company monitors on an on-going basis the result of the subsidiary company and repayments made by the subsidiary company. At the reporting date, there was no indication that the subsidiary company would default on repayment.

iii. Intercompanies advances

The Company provides unsecured advances to subsidiary companies, a joint venture company and an associate company and monitors the results of those companies regularly.

At the reporting date, management is of the view that the net carrying amount of amounts due from subsidiary companies, a joint venture company and an associate company are recoverable other than those disclosed in Notes 7.7, 8 and 9 to the Financial Statements.

iv. Cash and cash equivalents

The credit risk for cash and cash equivalents is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

(b) Liquidity risk

Liquidity risk is the risk that the Group and the Company will not be able to meet their financial obligations as they fall due, due to shortage of funds.

In managing its exposures to liquidity risk that arises principally from its various payables and borrowings, the Group and the Company maintain a level of cash and cash equivalents and bank facilities deemed adequate by the management to ensure, as far as possible that they will have sufficient liquidity to meet their liabilities as and when they fall due.

The Group and the Company aim at maintaining a balance of sufficient cash and deposits and flexibility in funding by keeping diverse sources of committed and uncommitted credit facilities from various banks.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (Cont'd)

33.1 Financial risk management (Cont'd)

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:- (Cont'd)

(b) Liquidity risk Cont'd)

As at the reporting date, the contractual undiscounted repayment obligations (including interest payments) of the Group's non-derivative financial liabilities are summarised below:-

			Maturity		
	Carrying amount RM	Contractual cash flows RM	Less than 1 year RM	Between 1 and 5 years RM	More than 5 years RM
Group					
31.3.2024					
Secured:					
Lease liabilities	11,812,594	14,097,924	1,618,008	9,179,916	3,300,000
Bank borrowings	11,699,255	14,100,927	1,946,100	7,784,400	4,370,427
	23,511,849	28,198,851	3,564,108	16,964,316	7,670,427
Unsecured:					
Trade payables	2,588,054	2,588,054	2,588,054	-	-
Other payables	14,606,995	14,606,995	14,606,995	-	-
	17,195,049	17,195,049	17,195,049	-	-
Total	40,706,898	45,393,900	20,759,157	16,964,316	7,670,427
30.9.2022					
Secured:					
Lease liabilities	933,156	1,011,223	419,590	591,633	-
Bank borrowings	13,609,453	16,632,164	1,905,276	7,621,104	7,105,784
	14,542,609	17,643,387	2,324,866	8,212,737	7,105,784
Unsecured:					
Trade payables	8,911,416	8,911,416	8,911,416	-	-
Other payables	11,097,676	11,097,676	11,097,676	-	-
	20,009,092	20,009,092	20,009,092	-	-
Total	34,551,701	37,652,479	22,333,958	8,212,737	7,105,784

Company

At the reporting date, the contractual undiscounted repayment obligations (including interest payments) of the Company's non-derivative financial liabilities is less than one year.

The contractual cash flows of the Company relating to financial guarantees to a subsidiary company at the reporting date is RM11,699,255 (30.9.2022: RM13,609,453).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (CONT'D)

33.1 Financial risk management (Cont'd)

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:- (Cont'd)

(c) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Group's and the Company's financial instruments will fluctuate because of changes in market interest rates.

The Group's fixed rate borrowings are exposed to a risk of change in their fair values due to changes in interest rates. The Group's variable rate borrowings are exposed to a risk of change in cash flows due to changes in interest rates.

The Group's interest rate management objective is to manage the interest expenses consistent with maintaining an acceptable level of exposure to interest rate fluctuation. In order to achieve this objective, the Group targets a mix of fixed and floating debts based on assessment of its existing exposure and desired interest rate profile.

The interest rate profile of the Group's significant interest-bearing financial instruments, based on carrying amounts as at the reporting date is as follows:-

	31.3.2024 RM	30.9.2022 RM
Group		
Fixed rate instruments		
Fixed deposits with licensed banks	206,906	2,567,447
Lease liabilities	(11,812,594)	(933,156)
	(11,605,688)	1,634,291
Floating rate instrument		
Bank borrowings	(11,699,255)	(13,609,453)

Fair value sensitivity analysis for fixed rate instruments

The Group and the Company do not account for any fixed rate financial assets and financial liabilities at fair value through profit or loss. Therefore, a change in interest rates at the reporting date would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

The following table illustrates the sensitivity of profit/loss and equity to a reasonable possible change in interest rates of +/- 0.5%. These changes are considered to be reasonable possible based on observation of current market conditions. The calculations are based on a change in the average market interest rate for each year and the financial instruments held at each reporting date that are sensitive to changes in interest rates. All other variables are held constant.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (CONT'D)

33.1 Financial risk management (Cont'd)

The main areas of financial risks faced by the Group and the Company and the policies in respect of the major areas of treasury activity are set out as follows:- (Cont'd)

(c) Interest rate risk (Cont'd)

Cash flow sensitivity analysis for variable rate instruments (Cont'd)

Group

**Increase/(Decrease)
(Loss)/Profit before tax and equity
for the financial year/period**

	RM +0.5%	RM -0.5%
Floating rate instrument		
31.3.2024	58,496	(58,496)
30.9.2022	(68,047)	68,047

(d) Market risk

Market price risk is the risk that the fair value of the Group's financial instruments will fluctuate because of changes in market price.

The Group is exposed to equity price risk arising from its investment. This instrument is classified at as financial asset at fair value through profit or loss. The Group does not have any exposure to commodity price risks.

The carrying amount of the Group's financial asset that is subject to market price risk is as follows:

	Group 31.3.2024 RM	30.9.2022 RM
Financial assets at FVTPL	26,384,844	-

A change in 5% in the market price at the end of the reporting period/year would have increased or (decreased) the net (loss) or profit/equity for the financial period/year by the amount shown below. This analysis assumes that other variables remain constant.

	Net (loss)/profit for the financial period/year		Equity for the financial period/year	
	RM +5%	RM -5%	RM +5%	RM -5%
Group				
31.3.2024	(1,319,242)	1,319,242	1,319,242	(1,319,242)
30.9.2022	-	-	-	-

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

33. FINANCIAL INSTRUMENTS (CONT'D)

33.2 Fair value of financial instruments

The carrying amounts of receivables, payables, cash and cash equivalents and bank borrowings approximate their fair values due to the relatively short term nature of these financial instruments or that they are floating rate instruments that are pre-priced to market interest rates on or near the reporting date or insignificant impact of discounting.

Fair value hierarchy

The fair value of financial assets at FVTPL and FVOCI are detailed as below:-

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable:-

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

	Level 1 RM	Level 2 RM	Level 3 RM	Total RM
Group				
<u>31.3.2024</u>				
Investment in unquoted shares – FVOCI	-	-	9,519,943	9,519,943
Investment in quoted shares – FVTPL	26,384,844	-	-	26,384,844
<u>30.9.2022</u>				
Investment in unquoted shares – FVOCI	-	-	9,520,033	9,520,033
Company				
<u>31.3.2024</u>				
Investment in unquoted shares – FVOCI	-	-	9,519,943	9,519,943
<u>30.9.2022</u>				
Investment in unquoted shares – FVOCI	-	-	9,519,943	9,519,943

There were no transfers between fair value hierarchies during the financial period/year.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

34. CAPITAL MANAGEMENT

Group

		31.3.2024 RM	30.9.2022 RM
<u>Approved and contracted for:</u>			
– Construction of plant		-	141,009
– Renovation works		-	311,380
– Sublease of land	(a)	33,519,420	33,519,420
– Master services and license agreement	(b)	9,371,063	9,371,063
– Acquisition of properties		-	4,350,330
		42,890,483	47,693,202

Notes:

- (a) The Group had on 20 May 2024 entered into a mutual termination agreement to terminate the Sublease Agreement as disclosed in Note 36(d) to the Financial Statements.
- (b) HSI and Pacific Hemisphere Sdn. Bhd. had mutually agreed to terminate the master services and license agreement on 15 June 2024 via a letter of termination.

The capital commitment in respect of the sublease of land and master services and license agreement, respectively, is no longer applicable subsequent to the terminations as mentioned above.

35. CAPITAL MANAGEMENT

The Group's objective when managing capital is to maintain a strong capital base and safeguard the Group's ability to continue as a going concern, so as to maintain investors, creditors and market confidence and to sustain future development of the business. The Directors monitor and determine to maintain an optimal debt-to-equity ratio that complies with debt covenants and regulatory requirements.

The Group sets the amount of capital in proportion to its overall financing structure, i.e. equity and financial liabilities. The Group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debts.

Under the requirement of Bursa Malaysia Practice Note No. 17/2005, the Company is required to maintain a consolidated shareholders' equity equal to or not less than the 25% of the issued and paid-up capital, the Company has complied with this requirement.

There were no changes in the Group's approach to capital management during the financial period/year.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

31 MARCH 2024

36. SIGNIFICANT AND SUBSEQUENT EVENTS DURING AND AFTER THE FINANCIAL PERIOD

- a. On 31 January 2023, the Company entered into a shares sale agreement with Innov8tif Consortium Sdn. Bhd. to undertake the acquisition of 717,570 ordinary shares in Innov8tif Holdings Sdn. Bhd. ("Innov8tif Holdings"), representing 51% of the enlarged issued share capital in Innov8tif Holdings ("Sale Shares") for a total cash consideration of RM30,855,000.

Further to the acquisition of Innov8tif Holdings, the Company had on 12 May 2023 entered into a shares sale agreement with a third party to dispose the Sale Shares for a total cash consideration of RM36,000,000.

The above acquisition and disposal was completed on 26 May 2023. The Company had recognised a gain on disposal of RM5,145,000 during the financial period.

- b. On 13 February 2023, the Company entered into a Shares Sale Agreement with a third party for the proposed acquisition of 5,000,000 ordinary shares, representing the entire equity interest in Alliance EV Sdn. Bhd. for a total cash consideration of RM20,000,000 ("SSA"). Subsequently, on 13 April 2023, both parties entered into a letter of termination to mutually agree to terminate the SSA.
- c. On 14 July 2023, the Company via off markets acquired 402,057,900 ordinary shares in Classita, representing 32.61% equity interest in Classita for a total cash consideration of RM60,319,731 as disclosed in Note 9 to the Financial Statements.
- d. On 20 May 2024, HSI had entered into a mutual termination agreement with Northern Corridor Implementation Authority ("NCIA") to mutually agree to terminate the Sublease Agreement entered into on 25 June 2021 between the parties ("Sublease Agreement"). HSI had previously paid an advance of RM11,173,140 to NCIA pursuant to the Sublease Agreement ("Sublease Advance") which is disclosed in Note 15 to the Financial Statements.

A new sublease agreement ("Alternate Land Sublease Agreement") shall be entered by HSI and NCIA, where NCIA shall sublease to HSI a parcel of land measuring 10.42 acres for a period of 60 years at a total sublease consideration of RM4,538,952 ("Alternate Land Sublease Consideration"). Upon the execution of the Alternate Land Sublease Agreement, the Alternate Land Sublease Consideration will be offset against the Sublease Advance and the balance of RM6,634,188 will be refunded to HSI within 30 days from the date of execution of the Alternate Land Sublease Agreement.

- e. On 17 July 2024, HSGV had entered into a shares sale agreement with Velocity Capital Partner Berhad (formerly known as CSH Alliance Berhad) to undertake the proposed acquisition of 250,000 ordinary shares in Hong Seng Frontier Sdn. Bhd. ("HSF"), representing the entire issued share capital in HSF, for a total cash consideration of RM45,250,000. The acquisition of HSF has not been completed as of the date of approval of the financial statements.

37. COMPARATIVE INFORMATION

The comparative figures are for the financial period from 1 October 2021 to 30 September 2022 as the Group and the Company had changed its financial year end from 30 September 2023 to 31 March 2024. Consequently, the comparative figures for the statements of profit or loss and other comprehensive income, statements of changes in equity, statements of cash flows and related notes are not comparable.

LIST OF PROPERTIES

No.	Location	Tenure	Existing use	Date of acquisition	Description	Approximate age of building (Years)	Net book value as at 31.3.2024 (RM'000)
1	Plot 1620, Jalan Perusahaan Indah 3, Taman Sejati Indah, 08000 Sungai Petani, Kedah Darul Aman.	Freehold	Hostel	09.02.2021	Land area 11,888 sq. ft.	19	1,905
2	Plot 1622, Jalan Perusahaan Indah 3, Taman Sejati Indah, 08000 Sungai Petani, Kedah Darul Aman.	Freehold	Hostel	09.02.2021	Land area 12,000 sq. ft.	19	1,923
3	PN6873 Lot 305, Seksyen 14, No. 7 Jalan 51A/223, 46100 Petaling Jaya, Selangor Darul Ehsan.	99-year expiring on 27 April 2065	Vacant	31.03.2022	Land area 10,883 sq. ft	58	11,464
4	PN97279 Lot 306, Seksyen 14, No. 5 Jalan 51A/223, 46100 Petaling Jaya Selangor Darul Ehsan.	99-year expiring on 18 November 2067	Vacant	31.03.2022	Land area 42,009 sq. ft	56	29,697
5	PN 50495/M1-B/4/74 Lot No. 103 Seksyen 36, B-10-3A, Dataran 32, Jalan 19/1, 46300 Petaling Jaya, Selangor Darul Ehsan.	99-year expiring on 6 September 2106	Rented out	21.12.2022	Built-up area 2,217 sq. ft	15	1,121
6	PN 50495/M1-B/5/84 Lot No. 103 Seksyen 36, B-10-05, Dataran 32, Jalan 19/1, 46300 Petaling Jaya, Selangor Darul Ehsan	99-year expiring on 6 September 2106	Rented out	21.12.2022	Built-up area 2,217 sq. ft	15	1,121
7	PM 1966/M1/1/22 Lot 62032 Seksyen 40, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.	99-year expiring on 28 September 2103	Office and rented out partially	13.01.2023	Built-up area 4,166 sq. ft	17	1,359
8	PM 1966/M1-C/3/90 LOT 62032 Seksyen 40, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.	99-year expiring on 28 September 2103	Office	13.01.2023	Built-up area 1,432 sq. ft	17	249

LIST OF PROPERTIES (CONT'D)

No.	Location	Tenure	Existing use	Date of acquisition	Description	Approximate age of building (Years)	Net book value as at 31.3.2024 (RM'000)
9	PM 1966/M1-C/3/89 LOT 62032 Seksyen 40, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.	99-year expiring on 28 September 2103	Office	13.01.2023	Built-up area 1,485 sq. sf.	17	259
10	PM 1966/M1-C/3/88 LOT 62032 Seksyen 40, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.	99-year expiring on 28 September 2103	Office	13.01.2023	Built-up area 1,485 sq. sf	17	258
11	PM 1966/M1-C/3/87 LOT 62032 Seksyen 40, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.	99-year expiring on 28 September 2103	Office	13.01.2023	Built-up area 1,539 sq. sf	17	269
12	PM 1966/M1-C/3/86 LOT 62032 Seksyen 40, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.	99-year expiring on 28 September 2103	Office	13.01.2023	Built-up area 1,238 sq. sf	17	243

ANALYSIS OF SHAREHOLDINGS

AS AT 1 JULY 2024

Total Number of Issued Shares : 5,108,416,768 ordinary shares
Class of Equity Securities : Ordinary shares ("Shares")
Voting Rights by Show of Hands : One vote for every member
Voting Rights by Poll : One vote for every Share

DISTRIBUTION SCHEDULE OF SHAREHOLDERS

Size of Shareholdings	No. of Holders	%	No. of Shares	%
Less than 100	47	0.31	1,022	*
100 – 1,000	809	5.40	408,616	0.01
1,001 – 10,000	3,021	20.16	19,392,687	0.38
10,001 – 100,000	6,537	43.62	318,096,101	6.23
100,001 – less than 5% of issued Shares	4,572	30.50	3,821,194,742	74.80
5% and above of issued Shares	2	0.01	949,323,600	18.58
Total	14,988	100.00	5,108,416,768	100.00

* Negligible

SUBSTANTIAL SHAREHOLDERS' SHAREHOLDINGS

(As per the Register of Substantial Shareholders)

Name of Substantial Shareholders	Direct Interest		Indirect Interest	
	No. of Shares	%	No. of Shares	%
Radiance Dynasty Sdn Bhd	949,323,600	18.58	-	-
Lester Chin Kent Lake	-	-	956,827,600 ^(a)	18.73
Leong Seng Wui	275,000,000	5.38	-	-

Note:

^(a) Deemed interested by virtue of his shareholdings in Radiance Dynasty Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016 and his father's shareholdings in the Company.

ANALYSIS OF SHAREHOLDINGS (CONT'D)

AS AT 1 JULY 2024

DIRECTORS' SHAREHOLDINGS

(As per the Register of Directors' Shareholdings)

Name of Substantial Shareholders	Direct Interest		Indirect Interest	
	No. of Shares	%	No. of Shares	%
Lester Chin Kent Lake	-	-	956,827,600 ^(a)	18.73
Christopher Chan Hooi Guan	-	-	141,103,000 ^(b)	2.76
Leong Seng Wui	275,000,000	5.38	-	-

Notes:

- ^(a) Deemed interested by virtue of his shareholdings in Radiance Dynasty Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016 and his father's shareholdings in the Company.
- ^(b) Deemed interested by virtue of his shareholdings in Aurora Crest Sdn. Bhd. and Open Dynamics Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016.

30 LARGEST SECURITIES ACCOUNT HOLDERS

(without aggregating securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Shares Held	%
1.	Velocity Capital Sdn Bhd – Pledged Securities Account for Radiance Dynasty Sdn Bhd	593,823,600	11.62
2.	Kenanga Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Radiance Dynasty Sdn Bhd (Third Party)	355,500,000	6.96
3.	Velocity Capital Sdn Bhd – Pledged Securities Account for Leong Seng Wui	250,000,000	4.89
4.	Ng Shih Fang	142,500,700	2.79
5.	Velocity Capital Sdn Bhd – Pledged Securities Account for Aurora Crest Sdn Bhd	129,103,000	2.53
6.	Velocity Capital Sdn Bhd – Pledged Securities Account for Dalphon Limited	50,260,000	0.98
7.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Johnson Hii Chang Hium (E-PDG)	38,412,000	0.75
8.	Heng Yeong Peng	38,400,000	0.75
9.	Ng Wei Xiang	35,900,000	0.70
10.	Velocity Capital Sdn Bhd – Pledged Securities Account for CBL Venture Sdn Bhd	31,811,800	0.62

ANALYSIS OF SHAREHOLDINGS (CONT'D)
AS AT 1 JULY 2024**30 LARGEST SECURITIES ACCOUNT HOLDERS (CONT'D)**

(without aggregating securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Shares Held	%
11.	Lee Yih Leang	31,500,000	0.62
12.	Kenanga Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Leong Seng Wui	25,000,000	0.49
13.	Khor Chen Heng	21,000,000	0.41
14.	Ravi A/L Ratnam	19,619,400	0.38
15.	Lee Sau Yoong	17,000,000	0.33
16.	Go Boon Pock	15,500,000	0.30
17.	Song Kim Lee	15,000,000	0.29
18.	Maybank Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Lim Kai Ming	13,791,700	0.27
19.	Lee Choon Leong	13,400,000	0.26
20.	Tan Tiang Huat	12,532,000	0.25
21.	Yeoh Cheor Eng	12,520,000	0.25
22.	Wong Pick Yiing	12,148,000	0.24
23.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Goh Sing Hai (E-SDK)	12,032,100	0.24
24.	Open Dynamics Sdn Bhd	12,000,000	0.24
25.	Goh Lai Hua	11,250,000	0.22
26.	Tan Soon Hoe	11,201,000	0.22
27.	Maybank Securities Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Fong Kok Sang (STF)	11,200,000	0.22
28.	Kenanga Nominees (Tempatan) Sdn Bhd – Rakuten Trade Sdn Bhd for Low Thiam Lai	11,010,000	0.22
29.	Thian Yoong Wei	10,625,000	0.21
30.	Mok Poh Yin	10,500,000	0.21

ANALYSIS OF IRREDEEMABLE CONVERTIBLE PREFERENCE SHARES ("ICPS") HOLDINGS AS AT 1 JULY 2024

Total Number of Outstanding ICPS : 2,870,220
Maturity Date : 22 September 2024
Voting Rights : The ICPS holders are not entitled to any voting right or participation in any rights, allotments and/or other distribution in the Company until and unless such holders convert their ICPS into new ordinary shares of the Company except in the following circumstances:-

- (a) when the dividends or part of the dividends are declared on the ICPS are in arrears for more than 6 months;
- (b) on a proposal to reduce the Company's share capital;
- (c) on a proposal for sanctioning the sale of the whole of the Company's property, business and undertaking;
- (d) on a proposal that directly affects their rights and privileges attached to the ICPS;
- (e) on a proposal to wind-up the Company; and
- (f) during the winding-up of the Company.

Where the ICPS holders are entitled to vote at any general meeting under the circumstances indicated above, every 4 ICPS shall on a poll, carry 1 vote for each ordinary share into which the ICPS are convertible, and every ordinary share shall, notwithstanding any other provision of the Company's Constitution, carry 1 vote for each such share.

DISTRIBUTION SCHEDULE OF ICPS HOLDINGS

Size of ICPS Holdings	No. of Holders	%	No. of ICPS	%
Less than 100	4	12.50	120	*
100 – 1,000	3	9.38	2,400	0.08
1,001 – 10,000	5	15.63	21,700	0.76
10,001 – 100,000	12	37.50	606,000	21.11
100,001 – less than 5% of outstanding ICPS	2	6.25	260,000	9.06
5% and above of outstanding ICPS	6	18.75	1,980,000	68.99
Total	32	100.00	2,870,220	100.00

* Negligible

DIRECTORS' ICPS HOLDINGS

(As per the Register of Directors' Shareholdings)

None of the Directors hold any ICPS.

30 LARGEST ICPS ACCOUNT HOLDERS

(without aggregating securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of ICPS Held	%
1.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Lee Thau Ping (E-KKU)	600,000	20.90
2.	Tui Ma Koon	600,000	20.90
3.	Lee Heuk Ping	240,000	8.36
4.	Kenanga Nominees (Asing) Sdn Bhd – Exempt An For Phillip Securities Pte Ltd (Client Account)	200,000	6.97

ANALYSIS OF IRREDEEMABLE CONVERTIBLE PREFERENCE SHARES ("ICPS") HOLDINGS (CONT'D) AS AT 1 JULY 2024

30 LARGEST ICPS ACCOUNT HOLDERS (CONT'D)

(without aggregating securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of ICPS Held	%
5.	TA Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Ooi Geok Kee	180,000	6.27
6.	Shuit Soon Hock	160,000	5.57
7.	RHB Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Chee Soo Teng	140,000	4.88
8.	Yap Pik Yee	120,000	4.18
9.	Koh Mee Huaw	90,000	3.14
10.	Saifful Shah Bin Razi Shah Gill	84,200	2.93
11.	Lee Keng Seng	66,000	2.30
12.	Hian Bee Geok	60,400	2.10
13.	Cheah Saw Ha	60,000	2.09
14.	Tan Vooi Nan	54,000	1.88
15.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Yew Siew Lee (E-JBU)	52,000	1.81
16.	HLB Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Neoh Siew Cheng	48,000	1.67
17.	Kenanga Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Wong Pin Loong	30,800	1.07
18.	Lee Kim Hong	27,000	0.94
19.	Khoo Eng Heng @ Koh Eng Heng	20,000	0.70
20.	Chew Wei Kiat	13,600	0.47
21.	HLIB Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Ng Yit Khuang (CCTS)	8,000	0.28
22.	CGS International Nominees Malaysia (Tempatan) Sdn Bhd – Pledged Securities Account for Tan Jayne Qi (MY2603)	6,000	0.21
23.	Phoon Chia Sin	3,000	0.11
24.	Maybank Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Mohamad Rizal Bin Mohamad Yatim	2,700	0.09
25.	Sik Loong Siang	2,000	0.07
26.	Kenanga Nominees (Tempatan) Sdn Bhd – Rakuten Trade Sdn Bhd for Soh Jing Ting	1,000	0.04
27.	Lim Choon Hwa	800	0.03
28.	Lee Su Si	600	0.02
29.	How Siew Yan	70	*
30.	Ng Yu Lim	44	*

* Negligible

ANALYSIS OF WARRANTS A HOLDINGS

AS AT 1 JULY 2024

Type of Convertible Securities : Warrants 2019/2024 ("Warrants A")
No. of Outstanding Warrants A : 944,964
Exercise Price : RM0.07
Maturity Date : 22 September 2024

DISTRIBUTION SCHEDULE OF WARRANTS A HOLDINGS

Size of Holdings	No. of Holders	%	No. of Warrants A	%
Less than 100	4	9.75	22	*
100 – 1,000	11	26.83	4,542	0.48
1,001 – 10,000	10	24.39	58,000	6.14
10,001 – less than 5% of outstanding Warrants A	13	31.71	337,600	35.73
5% and above of outstanding Warrants A	3	7.32	544,800	57.65
Total	41	100.00	944,964	100.00

* Negligible

DIRECTORS' WARRANTS A HOLDINGS

(As per the Register of Directors' Shareholdings)

None of the Directors hold any Warrants A.

THIRTY LARGEST WARRANTS A HOLDERS

(without aggregating the securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Warrants A Held	%
1.	Lam Ah Choi	324,800	34.37
2.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Lee Thau Ping (E-KKU)	120,000	12.70
3.	Kenanga Nominees (Asing) Sdn Bhd – Exempt An For Phillip Securities Pte Ltd (Client Account)	100,000	10.58
4.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Ooi Wan Cheng (E-PPG)	43,200	4.57
5.	Lim Suey Hock	36,000	3.81
6.	TA Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Ooi Geok Kee	36,000	3.81
7.	Then Tit Seong @ Thien Yet Seong	36,000	3.81
8.	Boo Boon Hui	30,000	3.18
9.	Low Jun Ho	27,600	2.92
10.	Yip Thiam Chuan	26,000	2.75

ANALYSIS OF WARRANTS A HOLDINGS (CONT'D)

AS AT 1 JULY 2024

THIRTY LARGEST WARRANTS A HOLDERS (CONT'D)

(without aggregating the securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Warrants A Held	%
11.	Ng Jin Guan	20,000	2.12
12.	Saiful Shah Bin Razi Shah Gill	20,000	2.12
13.	Tan Vooi Nan	18,000	1.91
14.	Maybank Nominees (Asing) Sdn Bhd – <i>Zainal Abidin Bin Sjawaltul Abidin</i>	16,800	1.78
15.	Fong Wen Shyaun	16,000	1.69
16.	Saw Fong Kooi	12,000	1.27
17.	RHB Nominees (Tempatan) Sdn Bhd – <i>Pledged Securities Account for Chee Soo Teng</i>	10,000	1.06
18.	Kenanga Nominees (Tempatan) Sdn Bhd – <i>Rakuten Trade Sdn Bhd for Tan Sin Yen</i>	9,800	1.04
19.	Chin Tatt Vooi	7,400	0.78
20.	HLB Nominees (Tempatan) Sdn Bhd – <i>Pledged Securities Account for Neoh Siew Cheng</i>	7,200	0.76
21.	Shim Yin Shiang	6,000	0.64
22.	Chia Siew Wan	5,800	0.61
23.	Maybank Securities Nominees (Tempatan) Sdn Bhd – <i>Pledged Securities Account for Lai Chuang Eng</i>	4,000	0.42
24.	Ooi Phuay Gim	3,600	0.38
25.	Lim Gim Chew	2,200	0.23
26.	Lee Kim Hong	2,000	0.21
27.	Maybank Nominees (Tempatan) Sdn Bhd – <i>Yong Mee Kiew</i>	1,000	0.11
28.	Maybank Nominees (Tempatan) Sdn Bhd – <i>Pledged Securities Account for Mohamad Rizal Bin Mohamad Yatim</i>	900	0.10
29.	Abdul Hadi Abul Mundzir Bin Zakaria	400	0.04
30.	Maybank Nominees (Tempatan) Sdn Bhd – <i>Zamir Bin Zainal</i>	400	0.04

ANALYSIS OF WARRANTS B HOLDINGS

AS AT 1 JULY 2024

Type of Convertible Securities : Warrants 2021/2014 ("Warrants B")
No. of Outstanding Warrants B : 1,701,116,566
Exercise Price : RM1.30
Maturity Date : 3 October 2024

DISTRIBUTION SCHEDULE OF WARRANTS B HOLDINGS

Size of Holdings	No. of Holders	%	No. of Warrants B	%
Less than 100	300	5.12	16,456	*
100 - 1,000	451	7.70	188,880	0.01
1,001 - 10,000	1,037	17.71	5,776,054	0.34
10,001 – 100,000	2,086	35.62	102,945,104	6.05
100,001 – less than 5% of outstanding Warrants B	1,982	33.85	1,592,190,072	93.60
5% and above of outstanding Warrants B	*	*	*	*
Total	5,856	100	1,701,116,566	100.00

* Negligible

DIRECTORS' WARRANTS B HOLDINGS

(As per the Register of Directors' Shareholdings)

Name of Directors	Direct Interest		Indirect Interest	
	No. of Warrants B	%	No. of Warrants B	%
Lester Chin Kent Lake	-	-	1,374,732	0.081 ^(a)
Leong Seng Wui	32	*	-	-

* Negligible

Note:

^(a) Deemed interested by virtue of his shareholdings in Radiance Dynasty Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016 and his father's Warrants B holdings.

THIRTY LARGEST WARRANTS B HOLDERS

(without aggregating the securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Warrants B Held	%
1.	Ng Wei Xiang	61,604,400	3.62
2.	Chin Nyok Siam	42,365,800	2.49
3.	Kenanga Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Master Knowledge Sdn Bhd	37,925,232	2.23
4.	Velocity Capital Sdn Bhd – Pledged Securities Account for Robust Potential Sdn Bhd	20,000,228	1.18
5.	Tan Bun Chong	15,000,000	0.88

ANALYSIS OF WARRANTS B HOLDINGS (CONT'D)
AS AT 1 JULY 2024**THIRTY LARGEST WARRANTS B HOLDERS (CONT'D)**

(without aggregating the securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Warrants B Held	%
6.	Ahmad Muizzudin Bin Ahmad Firoz	14,654,600	0.86
7.	Cheah Jack Kie	14,650,000	0.86
8.	CGS International Nominees Malaysia (Tempatan) Sdn Bhd – Pledged Securities Account for Kwan Bang Hing (MY3889)	14,000,000	0.82
9.	Shahrill Bin Mohd Sam	12,404,000	0.73
10.	Lam Ah Choi	10,500,000	0.62
11.	Danny Goh Lik Seng	10,000,000	0.59
12.	Lee Chong Chat	9,000,000	0.53
13.	Ahmad Razali Bin Nordin	8,990,000	0.53
14.	Kenanga Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Chew Wee Hong	8,500,000	0.50
15.	Ng Ee Jiun	8,500,000	0.50
16.	Public Nominees (Tempatan) Sdn Bhd – Pledged Securities Account for Tan Bun Chong (E-KPG/BKI)	8,500,000	0.50
17.	Mohd Khairi Bin Che Rose	8,116,700	0.48
18.	Looi Yuen Yee	8,100,000	0.48
19.	Goh Thean Chye	8,000,000	0.47
20.	CGS International Nominees Malaysia (Tempatan) Sdn Bhd – Pledged Securities Account for Teh Bee Lan (Penang-CL)	7,800,000	0.46
21.	Lim Willie	7,324,200	0.43
22.	Mohd Ariffin Bin Yusoff	7,000,000	0.41
23.	Toh Bok Piew	7,000,000	0.41
24.	Wan Mohd Zuhdi Bin Wan Abdullah	7,000,000	0.41
25.	Lo Sheng Wei	6,500,000	0.38
26.	Chew Tan Joo Lee @ Chew Joo Lee	6,100,000	0.36
27.	Hafiz Salama Bin Md Noor	6,000,000	0.35
28.	Ting Tai Jin	6,000,000	0.35
29.	Wong Pick Yiing	6,000,000	0.35
30.	Lee Bee Geok	5,500,000	0.32

NOTICE OF THE TWENTY-THIRD ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Twenty-Third Annual General Meeting (“23rd AGM” or “the Meeting”) of HONG SENG CONSOLIDATED BERHAD (“Hong Seng” or “the Company”) will be held at Ballroom V, Main Wing, Tropicana Golf & Country Resort, Jalan Kelab Tropicana, 47410 Petaling Jaya, Selangor Darul Ehsan, Malaysia on Thursday, 29 August 2024 at 9:00 a.m. or at any adjournment thereof, to transact the following businesses:-

AGENDA

AS ORDINARY BUSINESS:

1. To receive the Audited Financial Statements for the financial period ended 31 March 2024 together with the Reports of the Directors and Auditors thereon. **Please refer to Explanatory Note 1**
2. To approve the payment of Directors’ fees and/or benefits of up to RM450,000.00 for the period commencing from the date immediately after this 23rd AGM until the date of the next Annual General Meeting (“AGM”) of the Company. **(Ordinary Resolution 1)**
3. To re-elect the following Directors who retire by rotation pursuant to Clause 107(1)(b) of the Company’s Constitution:-
 - (i) Mr. Christopher Chan Hooi Guan **(Ordinary Resolution 2)**
 - (ii) Mr. Yap Kien Ming **(Ordinary Resolution 3)**
4. To re-elect Mr. Leong Seng Wui as a Director who retires pursuant to Clause 100 of the Company’s Constitution. **(Ordinary Resolution 4)**
5. To re-appoint Grant Thornton Malaysia PLT as Auditors of the Company until the conclusion of the next AGM and to authorise the Directors to fix their remuneration. **(Ordinary Resolution 5)**

AS SPECIAL BUSINESS:

To consider and if thought fit, pass with or without any modifications, the following resolutions:-

6. **GENERAL AUTHORITY FOR THE DIRECTORS TO ISSUE AND ALLOT SHARES PURSUANT TO SECTIONS 75 AND 76 OF THE COMPANIES ACT 2016 (“ACT”)** **(Ordinary Resolution 6)**

“THAT subject always to the Constitution of the Company, the Act, the Main Market Listing Requirements (“Listing Requirements”) of Bursa Malaysia Securities Berhad (“Bursa Securities”) and the approvals of the relevant governmental/ regulatory authorities, where required, the Directors of the Company, be and are hereby authorised and empowered pursuant to Sections 75 and 76 of the Act, to issue and allot new ordinary shares in the Company (“Shares”) to such persons, at any time, and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit, provided that the aggregate number of shares to be issued does not exceed ten per centum (10%) of the total number of issued shares of the Company (excluding treasury shares, if any) at any point in time (“Mandate”) AND the Directors be and also empowered to obtain the approval for the listing of and quotation for the additional shares so issued on Bursa Securities AND such authority shall continue in force until the conclusion of the next AGM of the Company held next after the approval was given or at the expiry of the period within which the next AGM is required to be held after the approval was given, whichever is earlier.

AND THAT the new Shares to be issued pursuant to the Mandate, shall, upon issuance and allotment, rank *pari passu* in all respects with the existing shares of the Company, save and except that they shall not be entitled to any dividends, rights, allotments and/or any other forms of distribution that which may be declared, made or paid before the date of allotment of such new Shares.”

NOTICE OF THE TWENTY-THIRD ANNUAL GENERAL MEETING (CONT'D)

7. **PROPOSED NEW SHAREHOLDERS' MANDATE FOR RECURRENT RELATED PARTY TRANSACTIONS OF A REVENUE AND/OR TRADING NATURE ("PROPOSED NEW SHAREHOLDERS' MANDATE")**

(Ordinary Resolution 7)

"THAT authority be and is hereby given in line with Paragraph 10.09 of the Listing Requirements of Bursa Securities, for the Company and/or its subsidiaries ("the Group") to enter into any of the transactions with the related parties as set out in Section 2.4 of the Circular to shareholders dated 31 July 2024 in relation to the Proposed New Shareholders' Mandate which are necessary for the day-to-day operations of the Group within the ordinary course of business of the Group, made on an arm's length basis and on normal commercial terms which are those generally available to the public and are not detrimental to the minority shareholders of the Company.

AND THAT such authority shall commence immediately upon the passing of this resolution and shall continue to be in force until:

- (i) the conclusion of the next AGM of the Company following the general meeting at which the ordinary resolution for the Proposed New Shareholders' Mandate was passed, at which time it shall lapse, unless by a resolution passed at the next AGM, the authority is renewed; or
- (ii) the expiration of the period within which the next AGM after that date it is required by law to be held pursuant to Section 340(2) of the Act (but must not extend to such extension as may be allowed pursuant to Section 340(4) of the Act); or
- (iii) revoked or varied by an ordinary resolution passed by the shareholders of the Company at a general meeting,

whichever is earlier.

AND FURTHER THAT the Directors of the Company be and are hereby authorised to do all acts, deeds and things as they may be deemed fit, necessary, expedient and/or appropriate in order to implement the Proposed New Shareholders' Mandate with full power to assent to all or any conditions, variations, modifications and/or amendments in any manner as may be required by any relevant authorities or otherwise and to deal with all matters relating thereto and to take all such steps and to execute, sign and deliver for and on behalf of the Company all such documents, agreements, arrangements and/or undertakings, with any party or parties and to carry out any other matters as may be required to implement, finalise and complete, and give full effect to the Proposed New Shareholders' Mandate in the best interest of the Company."

NOTICE OF THE TWENTY-THIRD ANNUAL GENERAL MEETING (CONT'D)

8. PROPOSED AMENDMENTS TO THE CONSTITUTION OF THE COMPANY**(Special Resolution 1)**

"THAT the proposed amendments to the Constitution of the Company as set out "Appendix A", be approved and adopted with immediate effect AND THAT the Directors and/or Secretaries of the Company be authorised to take all steps as are necessary and expedient in order to implement, finalise and give full effect to the said proposed amendments for and on behalf of the Company."

9. PROPOSED CHANGE OF NAME OF THE COMPANY FROM "HONG SENG CONSOLIDATED BERHAD" TO "HKL CONSOLIDATED BERHAD" ("PROPOSED CHANGE OF NAME")**(Special Resolution 2)**

"THAT the name of the Company be changed from "Hong Seng Consolidated Berhad" to "HKL Consolidated Berhad" with effect from the date of the Notice of Registration of New Name to be issued by the Companies Commission of Malaysia AND all references in the Constitution of the Company in relation to the name "Hong Seng Consolidated Berhad", wherever the same may appear, shall be deleted and substituted with "HKL Consolidated Berhad".

AND THAT the Directors and/or Secretaries of the Company be and are hereby authorised to do or procure to be done all acts, deeds, things and to execute, enter into, sign and deliver on behalf of the Company all documents as they may consider necessary, expedient and/or appropriate and to carry out all necessary formalities to give full effect to the Proposed Change of Name."

10. To transact any other business of which due notice shall have been given.

By order of the Board

TEA SOR HUA (MACS 01324) (CCM PC NO.: 201908001272)
LEE XIANG YEE (MAICSA 7068124) (CCM PC NO.: 202408000069)
Company Secretaries

Petaling Jaya, Selangor Darul Ehsan
31 July 2024

NOTICE OF THE TWENTY-THIRD ANNUAL GENERAL MEETING (CONT'D)

Notes:

- (a) A member who is entitled to attend, participate, speak and vote at the Meeting shall be entitled to appoint more than one (1) proxy to attend and vote in his/her stead. Where a member appoints more than one (1) proxy, he/she shall specify the proportion of his/her shareholdings to be represented by each proxy.
- (b) A proxy may, but need not, be a member of the Company. A proxy appointed to attend and vote at the Meeting shall have the same rights as the member to speak at the Meeting.
- (c) The instrument appointing a proxy shall be in writing under the hand of the appointor or of his attorney duly authorised in writing or, if the appointor is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
- (d) Where a member of the Company is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy in respect of each securities account it holds with ordinary shares of the Company standing to the credit of the said securities account.
- (e) Where a member of the Company is an exempt authorised nominee which holds ordinary shares in the Company for multiple beneficial owners in one (1) securities account ("omnibus account"), there is no limit to the number of proxies which the exempt authorised nominee may appoint in respect of each omnibus account it holds. The appointment of multiple proxies shall not be valid unless the proportion of its shareholdings represented by each proxy is specified.
- (f) To be valid, the instrument appointing a proxy may be made in a hard copy form or by electronic means in the following manner and must be received by the Company not less than forty-eight (48) hours before the time for holding the Meeting:-

- In hard copy form

In the case of an appointment made in hard copy form, the Proxy Form must be deposited with the Poll Administrator appointed by the Company, Tricor Investor & Issuing House Services Sdn. Bhd. at Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia or alternatively, the Customer Service Centre at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia.

- By electronic means

The Proxy Form can be electronically lodged with the Poll Administrator via TIIH Online at <https://tiih.online>. Please refer to the Administrative Notes for the 23rd AGM on the Procedure for Electronic Submission of Proxy Form via TIIH Online.

- (g) For the purpose of determining a member who shall be entitled to attend the Meeting, the Company will be requesting Bursa Malaysia Depository Sdn. Bhd. in accordance with Clause 68 of the Company's Constitution to issue a General Meeting Record of Depositors as at 22 August 2024. Only members whose names appear in the General Meeting Record of Depositors as at 22 August 2024 shall be regarded as members and entitled to attend, participate, speak and vote at the Meeting.
- (h) All the resolutions set out in this Notice of Meeting will be put to vote by poll.
- (i) The members are advised to refer to the Administrative Notes on the registration process for the Meeting.
- (j) Kindly check Bursa Securities' website at www.bursamalaysia.com and the Company's website at www.hongseng.com.my for the latest updates on the status of the Meeting.

NOTICE OF THE TWENTY-THIRD ANNUAL GENERAL MEETING (CONT'D)

EXPLANATORY NOTES TO ORDINARY BUSINESS AND SPECIAL BUSINESS

1. Item 1 of the Agenda – Audited Financial Statements for the financial period ended 31 March 2024

This Agenda is meant for discussion only as the provision of Section 340(1)(a) of the Act does not require a formal approval of shareholders for the Audited Financial Statements. Hence, this Agenda is not put forward for voting.

2. Item 2 of the Agenda – Directors' Fees and/or Benefits

Pursuant to Section 230(1) of the Act, the directors' fees and any benefits payable to the directors of a listed company and its subsidiaries shall be approved by the shareholders at a general meeting. This resolution is to facilitate payment of Directors' fees and/or benefits for the period from the date immediately after the 23rd AGM until the date of the next AGM of the Company.

In the event the proposed amount is insufficient due to more meetings or an enlarged Board size, approval will be sought at the next AGM for the shortfall.

3. Items 3 and 4 of the Agenda – Re-election of Directors

Clause 107(1)(b) of the Company's Constitution provides that one-third (1/3) of the Directors of the Company for the time being or if the number is not a multiple of three, then the number nearest to one-third (1/3) shall retire from office and an election of Directors shall take place PROVIDED ALWAYS THAT each Director shall retire from office at least once every three (3) years but shall be eligible for re-election. Hence, two (2) out of six (6) Directors of the Company (excluding Mr. Leong Seng Wui who will be retiring pursuant to Clause 100 of the Company's Constitution) are to retire pursuant to Clause 107(1)(b) of the Company's Constitution.

Clause 100 of the Company's Constitution provides that any Director appointed either to fill a casual vacancy or as an addition to the existing Directors shall hold office only until the conclusion of the next AGM, but shall be eligible for re-election (but shall not be taken into account in determining the number of Directors to retire by rotation at that meeting).

Mr. Christopher Chan Hooi Guan and Mr. Yap Kien Ming will retire by rotation pursuant to Clause 107(1)(b) of the Company's Constitution whereas Mr. Leong Seng Wui will retire pursuant to Clause 100 of the Company's Constitution ("collectively referred to as "Retiring Directors"). All these Retiring Directors being eligible, have offered themselves for re-election at the 23rd AGM.

The Board has endorsed the Nomination Committee's recommendation to seek the shareholders' approval to re-elect the Retiring Directors as they possess the required skill sets to facilitate and contribute to the Board's effectiveness and value.

The Retiring Directors had abstained from all deliberations and decisions on their own eligibility to stand for re-election at the Board meeting.

The details and profiles of the Retiring Directors are provided in the Profile of the Board of Directors on the Company's Annual Report 2024.

4. Item 6 of the Agenda – General Authority for the Directors to allot and issue shares pursuant to Sections 75 and 76 of the Act

The Ordinary Resolution 6 proposed under item 6 of the Agenda, is to seek a general mandate for issuance and allotment of shares by the Company pursuant to Sections 75 and 76 of the Act. This Ordinary Resolution, if passed, is to empower the Directors to issue and allot new Shares in the Company up to an amount not exceeding in total ten per centum (10%) of the total number of issued shares of the Company for such purposes as the Directors consider would be in the interest of the Company. This would avoid any delay and cost involved in convening at a general meeting to approve the issuance and allot of new Shares. This authority, unless revoked or varied by the Company at a general meeting, will expire at the conclusion of the next AGM or the expiration of the period within which the next AGM is required by law to be held, whichever is earlier.

NOTICE OF THE TWENTY-THIRD ANNUAL GENERAL MEETING (CONT'D)

EXPLANATORY NOTES TO ORDINARY BUSINESS AND SPECIAL BUSINESS (CONT'D)

4. Item 6 of the Agenda – General Authority for the Directors to allot and issue shares pursuant to Sections 75 and 76 of the Act (Cont'd)

This general mandate will provide flexibility to the Company for issuance and allotment of shares for any possible fund raising activities, including but not limited to further possible fund raising exercises and/or further placing of shares, for the purpose of funding existing and/or future business expansion and/or existing and/or future investment activities and/or existing and/or future project(s), working capital, repayment of borrowings and/or acquisition(s).

As at the date of this Notice, no new shares in the Company were issued pursuant to the general mandate granted to the Directors at the 22nd AGM which will lapse at the conclusion of this 23rd AGM.

5. Item 7 of the Agenda – Proposed New Shareholders' Mandate for Recurrent Related Party Transactions of a Revenue and/or Trading Nature

The Ordinary Resolution 7 proposed under item 7 of the Agenda, if passed, will give the mandate for the Group to enter into recurrent related party transactions of a revenue and/or trading nature pursuant to Paragraph 10.09 of the Listing Requirements of Bursa Securities.

Please refer to the Circular to Shareholders dated 31 July 2024 for further information.

6. Item 8 of the Agenda – Proposed Amendments to the Constitution of the Company ("Proposed Amendments")

The Proposed Amendments are mainly to streamline the Constitution with the relevant regulatory requirements as well as to enhance administrative efficiency.

The Proposed Amendments shall take effect once the special resolution has been passed by a majority of not less than seven-five per centum (75%) of such members who are entitled to vote and do vote in person or by proxy at the Meeting.

7. Item 9 of the Agenda – Proposed Change of Name

On 4 July 2024, the Company announced to Bursa Securities that the Board of Directors had proposed to change the Company's name from "Hong Seng Consolidated Berhad" to "HKL Consolidated Berhad" ("Proposed Change of Name").

The proposed name of "HKL Consolidated Berhad" was approved and reserved by the Companies Commission of Malaysia ("CCM") on 4 July 2024.

The Proposed Change of Name is subject to the approval of shareholders of the Company by way of Special Resolution which requires a majority of not less than seven-five per centum (75%) of such members of the Company as being entitled to vote in person or by proxy at the Meeting. The Proposed Change of Name, if approved by the shareholder, will take effect from the date of issuance of the Notice of Registration of New Name by the CCM to the Company.

Please refer to the Circular to Shareholders dated 31 July 2024 for further information.

APPENDIX A

PROPOSED AMENDMENTS TO THE CONSTITUTION OF HONG SENG CONSOLIDATED BERHAD (“THE COMPANY”)

This is Appendix A referred to in Agenda 8 of the Notice of Twenty-Third Annual General Meeting (“23rd AGM”) of the Company dated 31 July 2024.

Clause No.	Existing Clause	Proposed Clause
56 <i>New shares to be offered to existing Members</i>	Subject to any direction to the contrary that may be given by the Company in a Meeting of Members, all new shares or other convertible securities shall, before issue, be offered to such persons as at the date of the offer are entitled to receive notices from the Company of Meeting of Members in proportion as nearly as the circumstances admit, to the amount of the existing shares or Securities to which they are entitled. The offer shall be made by notice specifying the number of shares or Securities offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and, after the expiration of that time, or on the receipt of an intimation from the person to whom the offer is made that he declines to accept the shares or Securities offered, the Directors may dispose of those shares or Securities in such manner as they think most beneficial to the Company. The Directors may likewise also dispose of any new share or Securities which (by reason of the ratio which the new shares or Securities bear to shares or Securities held by persons entitled to an offer of new shares or Securities) cannot, in the opinion of the Directors, be conveniently offered under this Constitution. For the avoidance of doubt, where the approval of Members is obtained in a general meeting for any issuance of shares or convertible securities, including approvals obtained for implementation of a scheme that involves a new issuance of shares or other convertible securities to employees of the Company and its subsidiaries or approval obtained under Sections 75 and 76 of the Act, such approval shall be deemed to be a direction to the contrary given in general meeting which will render the pre-emptive rights above inapplicable. In any case and in respect of any issuance of shares or convertible securities, the preemptive rights of Members are strictly as contained in the Constitution and accordingly, the provisions of Section 85 of the Act in respect of pre-emptive rights to new shares, shall not apply.	Subject to any direction to the contrary that may be given by the Company in a Meeting of Members, all new shares or other convertible securities shall, before issued, be offered to such persons as at the date of the offer are entitled to receive notices from the Company of Meeting of Members in proportion as nearly as the circumstances admit, to the amount of the existing shares or Securities to which they are entitled. The offer shall be made by notice specifying the number of shares or Securities offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and, after the expiration of that time, or on the receipt of any intimation from the person to whom the offer is made that he declines to accept the shares or Securities offered, the Directors may dispose of those shares or Securities in such manner as they think most beneficial to the Company. The Directors may likewise also dispose of any new shares or Securities which (by reason of the ratio which the new shares or Securities bear to shares or Securities held by persons entitled to any offer of new shares or Securities) cannot, in the opinion of the Directors be conveniently offered under this Constitution. Notwithstanding the above, the Directors shall not be required to offer any new ordinary shares for the time being unissued and not allotted and any new shares or other convertible securities from time to time to be created to the holders of the existing shares where the said shares or Securities are to be issued as consideration or part consideration for the acquisition of shares or assets by the Company. For the avoidance of doubt, where the approval of Members is obtained in a general meeting for any issuance of shares or convertible securities, including approvals obtained for implementation of a scheme that involves a new issuance of shares or other convertible securities to employees of the Company and its subsidiaries or approval obtained under Sections 75 and 76 of the Act, such approval shall be deemed to be a direction to the contrary given in general meeting which will render the pre-emptive rights above inapplicable.

APPENDIX A (CONT'D)

PROPOSED AMENDMENTS TO THE CONSTITUTION OF HONG SENG CONSOLIDATED BERHAD ("THE COMPANY") (CONT'D)

Clause No.	Existing Clause	Proposed Clause
56 (Cont'd)		In any case and in respect of any issuance of shares or convertible securities, the preemptive rights of Members are strictly as contained in the Constitution and accordingly, the provisions of Section 85 of the Act in respect of pre-emptive rights to new shares, shall not apply and the Company is not required to offer new shares or convertible securities in proportion to the shareholdings of the existing Members.

ADMINISTRATIVE NOTES

ADMINISTRATIVE NOTES FOR THE TWENTY-THIRD ANNUAL GENERAL MEETING OF HONG SENG CONSOLIDATED BERHAD (“HONG SENG” OR “COMPANY”) (“23rd AGM” OR “MEETING”)

Date : Thursday, 29 August 2024

Time : 9:00 a.m. or at any adjournment thereof

Venue : Ballroom V, Main Wing, Tropicana Golf & Country Resort, Jalan Kelab Tropicana, 47410 Petaling Jaya, Selangor Darul Ehsan, Malaysia

REGISTRATION ON THE DAY OF MEETING

1. Registration will commence at 8:00 a.m.
2. Please present your original National Registration Identity Card (NRIC) or Passport to the registration staff for verification.
3. A voting slip and an identification wristband will be given to you thereafter. No one will be allowed to enter the meeting room without an identification wristband.
4. Registration must be done in person. No person is allowed to register on behalf of another.
5. The registration counter will handle verification of identity, registration and revocation of proxy/proxies.

APPOINTMENT OF PROXY OR ATTORNEY OR CORPORATE REPRESENTATIVE

Shareholders who appoint proxy(ies) to participate at the Meeting must ensure that the duly executed proxy forms are deposited in a hard copy form or by electronic means to Tricor Investor & Issuing House Services Sdn. Bhd. not later than **Tuesday, 27 August 2024 at 9:00 a.m.**

The appointment of a proxy may be made in a hard copy form or by electronic means in the following manner:-

(i) In hard copy form

In the case of an appointment made in hard copy form, the proxy form must be deposited with the Poll Administrator appointed by the Company, Tricor Investor & Issuing House Services Sdn. Bhd., at Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia or alternatively, the Customer Service Centre at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Malaysia not later than **Tuesday, 27 August 2024 at 9:00 a.m.**

(ii) By electronic form

The Proxy Form can be electronically lodged with the Poll Administrator via TIIH Online at <https://tiih.online>. Please refer to the Administrative Notes for the 23rd AGM on the Procedures for Electronic Submission of Proxy Form via TIIH Online.

Please ensure ALL the particulars as required in the proxy form are completed, signed and dated accordingly.

Any authority pursuant to which such an appointment is made by a power of attorney must be deposited with the Poll Administrator, Tricor Investor & Issuing House Services Sdn. Bhd., Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia or alternatively, the Customer Service Centre at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia not later than Tuesday, 27 August 2024 at 9:00 a.m. to participate in the Meeting. A copy of the power of attorney may be accepted provided that it is certified notarially and/or in accordance with the applicable legal requirements in the relevant jurisdiction in which it is executed.

ADMINISTRATIVE NOTES (CONT'D)

APPOINTMENT OF PROXY OR ATTORNEY OR CORPORATE REPRESENTATIVE (CONT'D)

For a corporate member who has appointed a representative, please deposit the **ORIGINAL** certificate of appointment with the Poll Administrator, Tricor Investor & Issuing House Services Sdn. Bhd., Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia or alternatively, the Customer Service Centre at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia not later than **Tuesday, 27 August 2024 at 9:00 a.m.** to participate in the Meeting. The certificate of appointment should be executed in the following manner:-

- (i) If the corporate member has a common seal, the certificate of appointment should be executed under seal in accordance with the constitution of the corporate member.
- (ii) If the corporate member does not have a common seal, the certificate of appointment should be affixed with the rubber stamp of the corporate member (if any) and executed by:-
 - (a) at least two (2) authorised officers, of whom one shall be a director; or
 - (b) any director and/or authorised officers in accordance with the laws of the country under which the corporate member is incorporated.

PROCEDURES FOR ELECTRONIC SUBMISSION OF PROXY FORM

The procedures to submit your proxy form electronically via Tricor's **TIIH Online** website are summarised below:-

Procedure		Action
i. Steps for Individual Shareholders		
(a)	Register as a User with TIIH Online	- Using your computer, please access the website at https://tiih.online. Register as a user under the "e-Services" by selecting "Create Account by Individual Holder". Please do refer to the tutorial guide posted on the homepage for assistance. - If you are already a user with TIIH Online, you are not required to register again.
(b)	Proceed with submission of Proxy Form	- After the release of the Notice of Meeting by the Company, login with your user name (i.e. email address) and password. - Select the corporate event: "HONG SENG CONSOLIDATED BERHAD 23RD AGM – SUBMISSION OF PROXY FORM". - Read and agree to the Terms & Conditions and confirm the Declaration. - Insert your CDS account number and indicate the number of shares for your proxy(ies) to vote on your behalf. - Appoint your proxy(ies) and insert the required details of your proxy(ies) or appoint Chairman as your proxy. - Indicate your voting instructions – FOR or AGAINST, otherwise your proxy(ies) will decide your vote. - Review and confirm your proxy(ies) appointment. - Print proxy form for your record.

ADMINISTRATIVE NOTES (CONT'D)

PROCEDURES FOR ELECTRONIC SUBMISSION OF PROXY FORM (CONT'D)

The procedures to submit your proxy form electronically via Tricor's **TIIH Online** website are summarised below:- (Cont'd)

Procedure		Action
ii. Steps for Corporation or Institutional Shareholders		
(a)	Register as a User with TIIH Online	• Access TIIH Online at https://tiih.online. • Under e-Services, the authorised or nominated representative of the corporation or institutional shareholder selects "Create Account by Representative of Corporate Holder". • Complete the registration form and upload the required documents. • Registration will be verified, and you will be notified by email within one (1) to two (2) working days. • Proceed to activate your account with the temporary password given in the email and re-set your own password. Note: The representative of a corporation or institutional shareholder must register as a user in accordance with the above steps before he/she can subscribe to this corporate holder electronic proxy submission. Please contact the persons stated under "ENQUIRY" section below if you need clarifications on the user registration.
(b)	Proceed with submission of Proxy Form	• Login to TIIH Online at https://tiih.online. • Select the corporate event: "HONG SENG CONSOLIDATED BERHAD 23RD AGM – SUBMISSION OF PROXY FORM" • Read and agree to the Terms & Conditions and confirm the Declaration. • Proceed to download the file format for "SUBMISSION OF PROXY FORM" in accordance with the Guidance Note set therein. • Prepare the file for the appointment of proxy(ies) by inserting the required data. • Submit the proxy appointment file. • Login to TIIH Online, select corporate event: "HONG SENG CONSOLIDATED BERHAD 23RD AGM – SUBMISSION OF PROXY FORM". • Proceed to upload the duly completed proxy appointment file. • Select "Submit" to complete your submission. • Print the confirmation report of your submission for your record.

PROCEDURES OF THE MEETING

In the interest of public health including the well-being of our members, members must cooperate with the following precautionary measures put in place by the Company should members or proxies wish to attend the Meeting in person. Your safety and health are the Company's top priority.

The date of Record of Depositors for the Annual General Meeting ("AGM") is 22 August 2024. As such, only members whose name appears in the Record of Depositors of the Company as at 22 August 2024 shall be entitled to attend the AGM and to attend, participate, speak and vote thereat.

- Members are encouraged to appoint the Chairman of the Meeting to act as a proxy to attend and vote at the Meeting on their behalf by submitting the Proxy Form with predetermined voting instructions.
- Members or proxies must sanitise their hands and to wear a face mask throughout the Meeting if they are attending the Meeting in person. Please note that no face mask will be provided at the Meeting venue.
- Members or proxies are advised to observe/maintain social distancing of at least 1 meter from each other throughout the Meeting.

ADMINISTRATIVE NOTES (CONT'D)

PROCEDURES OF THE MEETING (CONT'D)

- (d) Members or proxies are advised to arrive early at the Meeting venue given the above-mentioned precautionary measures which may cause a delay in the registration process.
- (e) **NO door gift** will be provided to the members/proxies.
- (f) The Company will closely monitor the situation and reserve the right to take further measures or short-notice arrangements as and when appropriate in order to minimise any risk to the Meeting.
- (g) **Recording/Photography**

By participating in this AGM, you agree that no part of the AGM proceedings may be recorded, photographed, stored in any retrieval systems, reproduced, transmitted or uploaded in any form, platform or social media or by any means whether it is mechanical, electronic, photocopying, recording or otherwise without the prior written consent of the Company. The Company reserves the right to take appropriate legal actions against anyone who violates this rule.

Kindly check Bursa Malaysia Securities Berhad's and Company's website at <http://www.hongseng.com.my/> for the latest updates on the status of the Meeting.

ENQUIRY

If you have any questions regarding the Proxy Form, please contact the Company's Poll Administrator during office hours on Mondays to Fridays from 8:30 a.m. to 5:30 p.m. (except public holidays) prior to the Meeting:-

Tricor Investor & Issuing House Services Sdn. Bhd.

General Line : +603-2783 9299
Fax Number : +603-2783 9222
Email : is.enquiry@my.tricorglobal.com
Contact Person : Nur Qaisara Naaila
+603-2783 9272 (Nur.Qaisara.Naaila@my.tricorglobal.com)
Mohammad Amirul Iskandar
+603-2783 9279 (Mohammad.Amirul@my.tricorglobal.com)

**HONG SENG CONSOLIDATED BERHAD**

REGISTRATION NO. 200101001581 (537337-M)

PROXY FORM

(Before completing this form please refer to the notes below)

NO. OF SHARES HELD	CDS ACCOUNT NO.

I/We* _____
(Full name in block)

NRIC/Passport/Registration No.* _____

of _____
(Address)

with email address: _____ mobile phone no.: _____

being a member/members* of **HONG SENG CONSOLIDATED BERHAD** ("the Company") hereby appoint(s):-

Full Name (in Block)	NRIC/Passport No.	Proportion of Shareholdings	
		No. of Shares	%
Address			
Email Address			
Mobile Phone No.			

and / or*

Full Name (in Block)	NRIC/Passport No.	Proportion of Shareholdings	
		No. of Shares	%
Address			
Email Address			
Mobile Phone No.			

or failing him/her*, the Chairman of the Meeting as my/our* proxy to vote for me/us* on my/our* behalf at the Twenty-Third Annual General Meeting ("23rd AGM" or "the Meeting") of the Company to be held at Ballroom V, Main Wing, Tropicana Golf & Country Resort, Jalan Kelab Tropicana, 47410 Petaling Jaya, Selangor Darul Ehsan, Malaysia on Thursday, 29 August 2024 at 9:00 a.m. or at any adjournment thereof.

Please indicate with an "X" in the appropriate spaces how you wish your votes to be cast. If no specific direction as to vote is given, the Proxy will vote or abstain from voting at his/her* discretion.

NO.	ORDINARY RESOLUTIONS	FOR	AGAINST
1.	To approve the payment of Directors' fees and/or benefits of RM450,000.00 for the period commencing from the date immediately after this 23rd AGM until the date of the next Annual General Meeting ("AGM") of the Company.		
2.	To re-elect Mr. Christopher Chan Hooi Guan as a Director of the Company.		
3.	To re-elect Mr. Yap Kien Ming as a Director of the Company.		
4.	To re-elect Mr. Leong Seng Wui as a Director of the Company.		
5.	To re-appoint Grant Thornton Malaysia PLT as Auditors of the Company.		
6.	To approve the general authority for the Directors to issue and allot shares pursuant to Sections 75 and 76 of the Companies Act 2016.		
7.	To approve the Proposed New Shareholders' Mandate.		
	SPECIAL RESOLUTION		
8.	To approve the Proposed Amendments to the Constitution of the Company.		
9.	To approve the Proposed Change of Company's name.		

* delete whichever not applicable

Dated this _____ day of _____ 2024

Signature of Member(s) / Common Seal

Notes:-

- (a) A member who is entitled to attend, participate, speak and vote at the Meeting shall be entitled to appoint more than one (1) proxy to attend and vote in his/her stead. Where a member appoints more than one (1) proxy, he/she shall specify the proportion of his/her shareholdings to be represented by each proxy.
- (b) A proxy may but need not be a member of the Company. A proxy appointed to attend and vote at the Meeting shall have the same rights as the member to speak at the Meeting.
- (c) The instrument appointing a proxy shall be in writing under the hand of the appointor or of his attorney duly authorised in writing or, if the appointor is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
- (d) Where a member of the Company is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy in respect of each securities account it holds with ordinary shares of the Company standing to the credit of the said securities account.
- (e) Where a member of the Company is an exempt authorised nominee which holds ordinary shares in the Company for multiple beneficial owners in one (1) securities account ("omnibus account"), there is no limit to the number of proxies which the exempt authorised nominee may appoint in respect of each omnibus account it holds. The appointment of multiple proxies shall not be valid unless the proportion of its shareholdings represented by each proxy is specified.
- (f) To be valid, the instrument appointing a proxy may be made in a hard copy form or by electronic means in the following manner and must be received by the Company not less than forty-eight (48) hours before the time for holding the Meeting:-
- In hard copy form

In the case of an appointment made in hard copy form, the Proxy Form must be deposited with the Poll Administrator appointed by the Company, Tricor Investor & Issuing House Services Sdn. Bhd. at Unit 32-01, Level 32, Tower A, Vertical Business Suite, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia or alternatively, the Customer Service Centre at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan, Malaysia.
 - By electronic means

The Proxy Form can be electronically lodged with the Poll Administrator via TIIH Online at <https://tiih.online>. Please refer to the Administrative Notes for the 23rd AGM on the Procedure for Electronic Submission of Proxy Form via TIIH Online.
- (g) For the purpose of determining a member who shall be entitled to attend the Meeting, the Company will be requesting Bursa Malaysia Depository Sdn. Bhd. in accordance with Clause 68 of the Company's Constitution to issue a General Meeting Record of Depositors as at 22 August 2024. Only members whose names appear in the General Meeting Record of Depositors as at 22 August 2024 shall be regarded as members and entitled to attend, participate, speak and vote at the Meeting.
- (h) All the resolutions set out in this Notice of Meeting will be put to vote by poll.
- (i) The members are advised to refer to the Administrative Notes on the registration process for the Meeting.
- (j) Kindly check Bursa Securities' website at www.bursamalaysia.com and the Company's website at www.hongseng.com.my for the latest updates on the status of the Meeting.

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AFFIX
STAMP

The Poll Administrator of

HONG SENG CONSOLIDATED BERHAD
c/o Tricor Investor & Issuing House Services Sdn. Bhd.

Unit 32-01, Level 32, Tower A,
Vertical Business Suite, Avenue 3, Bangsar South,
No. 8, Jalan Kerinchi,
59200 Kuala Lumpur,
Wilayah Persekutuan, Malaysia

Fold this flap for sealing



HONG SENG CONSOLIDATED BERHAD

Reg No: 200101001581 (537337-M)

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No. 6, Jalan SS7/19, Kelana Jaya
47301 Petaling Jaya, Selangor

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